NEW ISSUE – BOOK ENTRY ONLY

RATINGS (See "RATINGS"): Moody's: "Aaa"
S&P: "AAA"
Fitch: "AAA"

In the opinion of Bond Counsel, under existing law, (1) interest on the Series 2017 Bonds will be excludible from gross income of the owners thereof for purposes of federal income taxation, (2) interest on the Series 2017 Bonds will not be a specific item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations and (3) to the extent interest on the Series 2017 Bonds is excluded from gross income for federal income tax purposes, such interest is not subject to income taxation by the State of Colorado, all subject to the qualifications described in "TAX MATTERS."

CITY AND COUNTY OF DENVER, COLORADO
ACTING BY AND THROUGH ITS
BOARD OF WATER COMMISSIONERS

DENVER WATER

$142,665,000
WATER REVENUE BONDS
SERIES 2017A
(GREEN BONDS)

$41,765,000
WATER REVENUE BONDS
SERIES 2017B

Dated: Date of Delivery **Due: September 15, as shown below**

The Water Revenue Bonds, Series 2017A (Green Bonds) (the "Series 2017A Bonds") and the Water Revenue Bonds, Series 2017B (the "Series 2017B Bonds," and, together with the Series 2017A Bonds, the "Series 2017 Bonds") will be issued in fully registered book entry form in denominations of $5,000 or integral multiples thereof. The Series 2017 Bonds will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, securities depository for the Series 2017 Bonds. U.S. Bank National Association will act as Paying Agent for the Series 2017 Bonds. Individual purchases are to be made in book entry only form in authorized denominations. Purchasers, as Beneficial Owners, will not receive certificates evidencing their ownership interest in the Series 2017 Bonds. Interest is payable September 15, 2017 and semiannually thereafter on each March 15 and September 15 to and including the maturity dates shown below, unless the Series 2017 Bonds are redeemed earlier.

See Inside Cover Page for Maturities, Principal Amounts, Interest Rates, Prices and Yields

The Series 2017 Bonds are being issued for the purpose of (1) financing certain capital improvements to the water works system and plant (collectively, the "System") of the City and County of Denver, Colorado, acting by and through its Board of Water Commissioners (the "Board"), and (2) paying the costs of issuing the Series 2017 Bonds. The Series 2017 Bonds are special, limited obligations of the Board payable solely out of and secured by an irrevocable and nonexclusive pledge of and lien on the Net Revenue of the System. Such lien is on a parity with the lien thereon of certain outstanding water revenue bonds of the Board and is to be on parity with the lien thereon of any Additional Parity Bonds that may be issued by the Board, all as described herein. See "SECURITY AND FLOW OF FUNDS."

The Series 2017 Bonds are not a debt or indebtedness or a multiple fiscal year debt or other financial obligation of the City and County of Denver, Colorado (the "City"), the State of Colorado (the "State") or any political subdivision of the State within the meaning of any constitutional charter or statutory limitation of the City or the State. The Series 2017 Bonds are not payable from the proceeds of general property taxes or any other form of taxation, and the full faith and credit of the City is not pledged for their payment.

The Series 2017 Bonds are subject to optional and mandatory sinking fund redemption prior to maturity as described under the caption "THE SERIES 2017 BONDS – Redemption."

This cover page is not a summary of the issue. Investors should read the Official Statement in its entirety in order to make an informed investment decision.

The Series 2017 Bonds are offered when, as and if issued by the Board, subject to the approval of validity and certain other matters by Becker Stowe Partners LLC, Denver, Colorado, as Bond Counsel, and certain other conditions. Sherman & Howard L.L.C. has been retained as Special Counsel to the Board in connection with the preparation of this Official Statement. George K. Baum & Company, Denver, Colorado, has acted as Financial Advisor to the Board. Certain legal matters will be passed upon for the Underwriters by Ballard Spahr LLP, Denver, Colorado. It is expected that the Series 2017 Bonds will be available for delivery on or about May 23, 2017.

BofA Merrill Lynch

Citigroup **Stifel**

The date of this Official Statement is May 11, 2017.

CITY AND COUNTY OF DENVER, COLORADO
ACTING BY AND THROUGH ITS
BOARD OF WATER COMMISSIONERS

MATURITY SCHEDULES
CUSIP 24916P[(1)]©

$142,665,000
WATER REVENUE BONDS
SERIES 2017A
(GREEN BONDS)

Maturity (September 15)	Principal Amount	Interest Rate	Yield	CUSIP[(1)]©	Maturity (September 15)	Principal Amount	Interest Rate	Yield	CUSIP[(1)]©
2020	$2,285,000	5.000%	1.140%	FQ5	2025	$2,885,000	5.000%	1.940%	FV4
2021	2,395,000	5.000	1.290	FR3	2026	3,030,000	5.000	2.140	FW2
2022	2,515,000	4.000	1.460	FS1	2027	3,180,000	5.000	2.250	FX0
2023	2,615,000	5.000	1.620	FT9	2028	3,275,000	4.000	2.440[(2)]	FY8
2024	2,750,000	3.000	1.820	FU6	2029	970,000	5.000	2.520[(2)]	FZ5

$48,575,000 4.000% Term Bond due September 15, 2042 – Yield 3.450%[(2)] CUSIP© GA9
$68,190,000 5.000% Term Bond due September 15, 2047 – Yield 3.140%[(2)] CUSIP© GB7

$41,765,000
WATER REVENUE BONDS
SERIES 2017B

Maturity (September 15)	Principal Amount	Interest Rate	Yield	CUSIP[(1)]©	Maturity (September 15)	Principal Amount	Interest Rate	Yield	CUSIP[(1)]©
2029	$2,440,000	5.000%	2.520%[(2)]	GC5	2034	$4,265,000	5.000%	2.890%[(2)]	GH4
2030	3,580,000	5.000	2.600[(2)]	GD3	2035	4,480,000	3.375	3.450	GJ0
2031	3,760,000	5.000	2.670[(2)]	GE1	2036	4,630,000	3.375	3.490	GK7
2032	3,945,000	3.000	3.160	GF8	2037	4,790,000	3.500	3.530	GL5
2033	4,065,000	5.000	2.830[(2)]	GG6	2038	5,810,000	3.500	3.550	GM3

(1) Denver Water and the Underwriters take no responsibility for the accuracy of CUSIP numbers, which are included solely for the convenience of owners of the Series 2017 Bonds.
(2) Priced to the par call on September 15, 2027.
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USE OF INFORMATION IN THIS OFFICIAL STATEMENT

This Official Statement, which includes the cover page, the inside cover page and the appendices, does not constitute an offer to sell or the solicitation of an offer to buy any of the Series 2017 Bonds in any jurisdiction in which it is unlawful to make such offer, solicitation, or sale. No dealer, salesperson, or other person has been authorized to give any information or to make any representations other than those contained in this Official Statement in connection with the offering of the Series 2017 Bonds, and if given or made, such information or representations must not be relied upon as having been authorized by the Board. The Board maintains an internet website; however, the information presented there is not a part of this Official Statement and should not be relied upon in making an investment decision with respect to the Series 2017 Bonds.

The information set forth in this Official Statement has been obtained from the Board and from the other sources referenced throughout this Official Statement which the Board believes to be reliable. No representation is made by the Board, however, as to the accuracy or completeness of such information received from parties other than the Board. This Official Statement contains, in part, estimates and matters of opinion which are not intended as statements of fact, and no representation or warranty is made as to the correctness of such estimates and opinions, or that they will be realized.

The underwriters set forth on the cover page hereof (the "Underwriters") have provided the following sentence for inclusion in this Official Statement. The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their respective responsibilities under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information, and this Official Statement is not to be construed as the promise or guarantee of the Underwriters.

The information, estimates, and expressions of opinion contained in this Official Statement are subject to change without notice, and neither the delivery of this Official Statement nor any sale of the Series 2017 Bonds shall, under any circumstances, create any implication that there has been no change in the affairs of the System, or in the information, estimates, or opinions set forth herein, since the date of this Official Statement.

This Official Statement has been prepared only in connection with the original offering of the Series 2017 Bonds and may not be reproduced or used in whole or in part for any other purpose.

The Series 2017 Bonds have not been registered with the Securities and Exchange Commission due to certain exemptions contained in the Securities Act of 1933, as amended. The Series 2017 Bonds have not been recommended by any federal or state securities commission or regulatory authority, and the foregoing authorities have neither reviewed nor confirmed the accuracy of this document.

THE PRICES AT WHICH THE SERIES 2017 BONDS ARE OFFERED TO THE PUBLIC BY THE INITIAL PURCHASERS OF THE SERIES 2017 BONDS (AND THE YIELDS RESULTING THEREFROM) MAY VARY FROM THE INITIAL PUBLIC OFFERING PRICES OR YIELDS APPEARING ON THE INSIDE COVER PAGE HEREOF. IN ADDITION, THE INITIAL PURCHASERS MAY ALLOW CONCESSIONS OR DISCOUNTS FROM SUCH INITIAL PUBLIC OFFERING PRICES TO DEALERS AND OTHERS. IN ORDER TO FACILITATE DISTRIBUTION OF THE SERIES 2017 BONDS, THE INITIAL PURCHASERS MAY ENGAGE IN TRANSACTIONS INTENDED TO STABILIZE THE PRICE OF THE SERIES 2017 BONDS AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

CITY AND COUNTY OF DENVER, COLORADO
ACTING BY AND THROUGH ITS
BOARD OF WATER COMMISSIONERS

Board of Water Commissioners

Paula Herzmark, *President*
John R. Lucero, *First Vice President*
H. Gregory Austin, *Vice President*
Thomas A. Gougeon, *Vice President*
Penfield Tate III, *Vice President*

Selected Officers and Executives

James S. Lochhead, *Chief Executive Officer/Manager, Secretary to the Board*
Julie A. Anderson, *Chief of Staff*
Brian D. Good, *Chief Administrative Officer*
Angela C. Bricmont, *Chief Finance Officer*
Patricia L. Wells, *General Counsel*
Mike E. King, *Chief Planning Officer*
Robert J. Mahoney, *Chief Engineering Officer*
Thomas J. Roode, *Chief Operations Maintenance Officer*

Auditor

CliftonLarsonAllen LLP

Bond Counsel

Becker Stowe Partners LLC

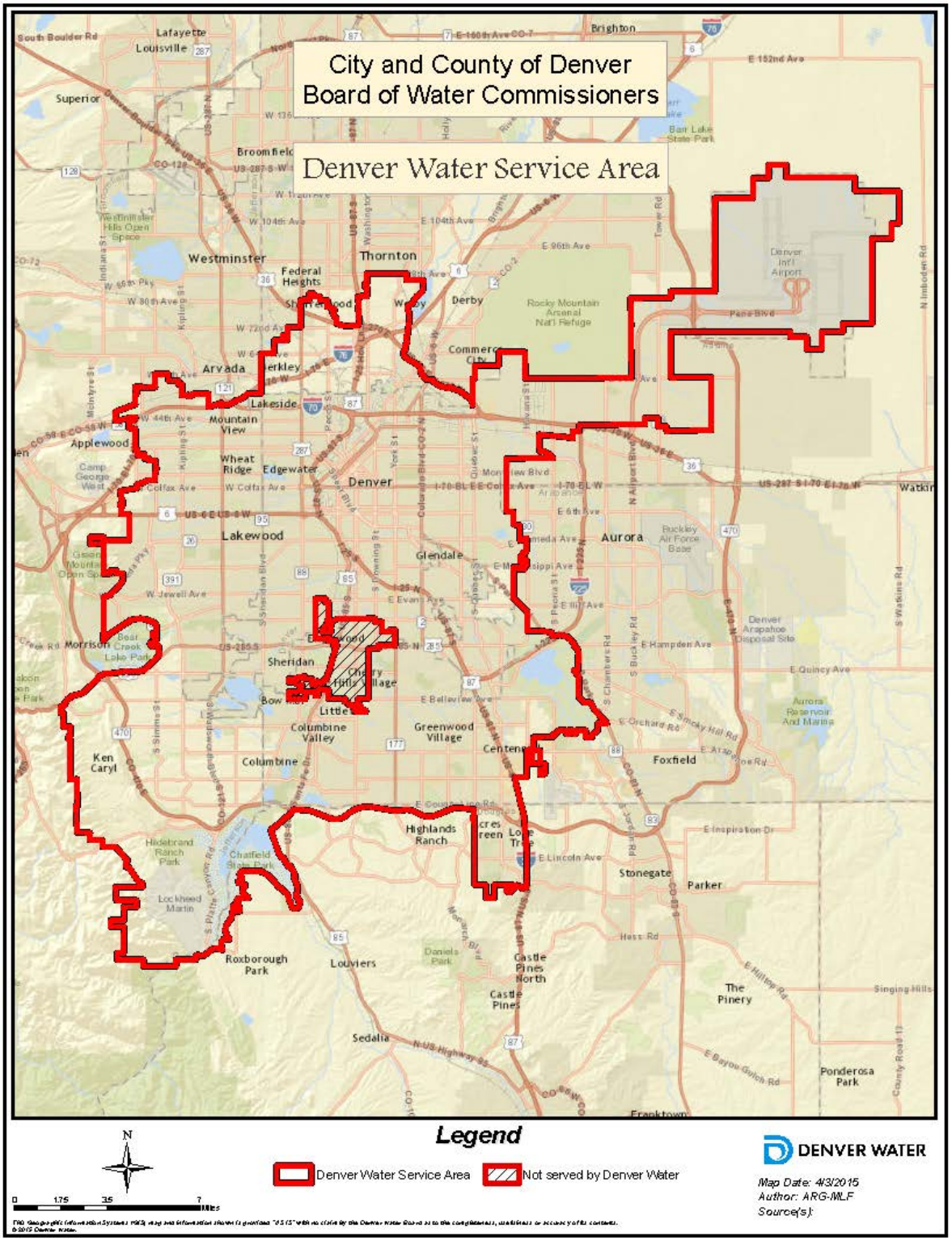
Special Counsel

Sherman & Howard L.L.C.

Financial Advisor

George K. Baum & Company

DENVER WATER SERVICE AREA MAP



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OFFICIAL STATEMENT

Relating to

CITY AND COUNTY OF DENVER, COLORADO
ACTING BY AND THROUGH ITS
BOARD OF WATER COMMISSIONERS

$142,665,000	**$41,765,000**
WATER REVENUE BONDS	**WATER REVENUE BONDS**
SERIES 2017A	**SERIES 2017B**
(GREEN BONDS)	

INTRODUCTION

General

This Official Statement, including its cover page, inside cover page and appendices, is furnished in connection with the issuance and sale by the City and County of Denver, Colorado, acting by and through its Board of Water Commissioners (the "Board"), of its Water Revenue Bonds, Series 2017A (Green Bonds), in the aggregate principal amount of $142,665,000 (the "Series 2017A Bonds") and its Water Revenue Bonds, Series 2017B, in the aggregate principal amount of $41,765,000 (the "Series 2017B Bonds," and, together with the Series 2017A Bonds, the "Series 2017 Bonds").

The offering of the Series 2017 Bonds is made only by way of this Official Statement, which supersedes any other information or materials used in connection with the offer or sale of the Series 2017 Bonds. The following introductory material is only a brief description of and is qualified by the more complete information contained throughout this Official Statement. A full review should be made of the entire Official Statement and the documents summarized or described herein particularly the section entitled "Investment Considerations." Detachment or other use of this "INTRODUCTION" without the entire Official Statement, including the cover page and appendices, is unauthorized. Unless otherwise provided, capitalized terms used herein are defined in Appendix A hereto.

The Issuer

The Board is an independent, autonomous and non-political agency of the City and County of Denver, Colorado (the "City") organized and existing under the home rule charter of the City (the "Charter"). See "DENVER WATER."

Environmental Stewardship and Sustainability

Denver Water collects, stores, treats and distributes water to meet the needs of over 1.4 million customers in the Denver metropolitan area. As a result, Denver Water's environmental footprint across Colorado is significant. Denver Water has taken a leadership role in understanding and promoting sustainability in the State of Colorado (the "State"), and in water utility planning, through continued environmental stewardship. Guiding principles for an Environmental Stewardship Statement executed in 2016 by Denver Water's Chief Executive Officer include adherence to best practices and performance standards in environmental sustainability, dedication to sustainable growth and operation of its assets, and leading by example in order to share experience and expertise. For more information about Denver

Water's environmental stewardship and sustainability initiatives, see "THE SYSTEM – Environmental Stewardship and Sustainability."

Authority for Issuance

The Series 2017 Bonds are issued under authority of the Charter and the constitution and laws of the State. The Board has designated and currently maintains the System (as defined in Appendix A) as an "enterprise" for purposes of Article X, Section 20 of the Colorado Constitution. See "DEBT STRUCTURE – Denver Water as an Enterprise." As bonds of an enterprise, the Series 2017 Bonds are authorized to be issued by the Board without prior approval by the electors of the City. See "DEBT STRUCTURE – Outstanding Bonds and Other Obligations."

The Series 2017 Bonds are also being issued by the Board pursuant to the amended and restated Master Bond Resolution (3/22/17) (the "Master Bond Resolution") and the Series 2017A-B Supplemental Bond Resolution and related Sale Certificate (the "Series 2017A-B Supplemental Resolution") executed on behalf of the Board by the Chief Finance Officer upon the sale of the Series 2017 Bonds.

The Master Bond Resolution encompasses previous amendments and supplements provided in the Supplemental Resolutions as described in greater detail in Appendix A. These Supplemental Resolutions provide for the issuance of the Outstanding Parity Bonds. The Master Bond Resolution and the Series 2017A-B Supplemental Resolution are together described in this Official Statement as the "Bond Resolution."

Purpose

The Series 2017 Bonds are being issued for the purpose of financing, in whole or in part, the cost of additions and improvements to the System operated by the Board (collectively, the "Series 2017 Project"). See "SOURCES AND USES OF FUNDS – The Series 2017 Project."

Designation of Series 2017A Bonds as Green Bonds

In support of Denver Water's sustainability efforts, the Board has designated the Series 2017A Bonds as "Green Bonds." The term "Green Bonds" is used herein for identification purposes only. The purpose of labeling the Series 2017A Bonds as Green Bonds and describing particular characteristics of the System and Denver Water in detail in this Official Statement is to allow investors seeking to invest directly in bonds that finance environmentally beneficial projects to evaluate the environmental merits and benefits of the projects financed by the Series 2017A Bonds. The owners of the Series 2017A Bonds do not assume any specific project risk or economic benefit related to the projects financed by the Series 2017A Bonds as a result of the Green Bonds designation. No independent certification is being obtained with respect to the treatment of the Series 2017A Bonds as Green Bonds. See "SOURCES AND USES OF FUNDS – The Series 2017 Project – Green Bonds Projects."

The Series 2017 Bonds; Prior Redemption

The Series 2017 Bonds are issued solely as fully registered certificates in the denomination of $5,000, or any integral multiple thereof. The Series 2017 Bonds are dated, mature and bear interest (calculated based on a 360-day year consisting of twelve 30-day months) as set forth on the cover page and inside cover page of this Official Statement. The payment of principal of and interest on the Series 2017 Bonds is described in "THE 2017 BONDS – Registration and Payment." The Series 2017 Bonds initially will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"), the securities depository for the Series 2017 Bonds. Purchases of the Series 2017 Bonds are to be made in book-entry form only. Purchasers will not receive certificates representing their beneficial ownership interest in the Series 2017 Bonds. See "THE 2017 BONDS – Book Entry Only System."

The Series 2017 Bonds are subject to optional and mandatory sinking fund redemption prior to maturity as described in "THE SERIES 2017 BONDS – Redemption."

Security

Limited Revenue Obligations. The Series 2017 Bonds are special limited revenue obligations of the Board payable solely from and secured by an irrevocable and nonexclusive pledge of and lien on the Net Revenue of the System, which consists generally of all revenue derived by the Board from rates, fees, tolls and charges for use of the System after payment of all reasonable and necessary expenses of operating, maintaining and repairing the System. The Series 2017 Bonds are payable only out of the Parity Bonds Debt Service Account of the Water Works Fund, into which the Board covenants and agrees to deposit Net Revenue at the times and in the amounts sufficient to pay when due the principal of and interest on the Parity Bonds, including the Series 2017 Bonds.

The lien of the Series 2017 Bonds on the Net Revenue is on a parity with the lien of the Series 2007A Bonds, the Series 2008A Bonds, the Series 2009A Bonds, the Series 2010B Bonds, the Series 2012A-B Bonds, the Series 2014A Bonds and the Series 2016A-B Bonds, which as of the date of this Official Statement are outstanding in the aggregate principal amount of $438,580,000. The Bond Resolution prohibits the Board from issuing or incurring any additional obligations, including refunding obligations, with a lien on the Net Revenue that is superior to the lien of the Parity Bonds, including the Series 2017 Bonds. The Board may issue Additional Parity Bonds as described in "SECURITY AND FLOW OF FUNDS – Additional Obligations Payable from Net Revenue."

The Series 2017 Bonds are not secured by any encumbrance, lien or mortgage on any property of Denver Water or the City, other than the lien on the Net Revenue and any other moneys lawfully pledged

for the payment of the Series 2017 Bonds, and the Registered Owners (the "Owners") of the Series 2017 Bonds may not look to the General Fund or any other fund of the City, or compel the levying of any tax, for payment of the Series 2017 Bonds. The Series 2017 Bonds do not constitute a debt, indebtedness or multiple fiscal year debt or other financial obligation of the City within the meaning of any constitutional, charter or statutory provision or limitation of the City or the State, do not constitute general obligations of the City and are not secured by a pledge of the full faith and credit of the City.

The creation, perfection, enforcement and priority of the pledge of the Net Revenue to secure or pay the Series 2017 Bonds are governed by the Supplemental Act and the Bond Resolution. The Supplemental Act provides that the Net Revenue, as received by or otherwise credited to the Board, will immediately be subject to the lien of each such pledge without any physical delivery, filing or further act. The lien of such pledge on the Net Revenue and the obligation to perform the contractual provisions made in the Bond Resolution will have priority over any or all other obligations and liabilities of the Board. The lien of such pledge will be valid, binding and enforceable as against all persons having claims of any kind in tort, contract or otherwise against the Board irrespective of whether such persons have notice of such liens.

Professionals

Becker Stowe Partners LLC, Denver, Colorado has acted as Bond Counsel to the Board. Sherman & Howard L.L.C. has acted as Special Counsel to the Board in connection with preparation of this Official Statement. The System's financial advisor in connection with the Series 2017 Bonds is George K. Baum & Company, Denver, Colorado. See "FINANCIAL ADVISOR." The financial statements in Appendix C of this Official Statement have been audited by CliftonLarsonAllen LLP, certified public accountants, Denver, Colorado as stated in their report appearing herein. See "INDEPENDENT AUDITORS." U.S. Bank National Association will act as the registrar and paying agent for the Series 2017 Bonds (the "Registrar" and "Paying Agent"). Certain legal matters will be passed upon for the Underwriters by Ballard Spahr LLP, Denver, Colorado.

Continuing Disclosure Undertaking

The Board will execute a continuing disclosure undertaking (the "Disclosure Certificate") at the time of the closing for the Series 2017 Bonds. The Disclosure Certificate will be executed for the benefit of the beneficial owners of the Series 2017 Bonds and the Board will covenant in the Bond Resolution to comply with its terms. The Disclosure Certificate will provide that so long as the Series 2017 Bonds remain outstanding, the System will provide the following information to the Municipal Securities Rulemaking Board ("MSRB") through the EMMA system: (i) annually, certain financial information and operating data; and (ii) notice of the occurrence of certain specified events; all as more particularly described in the Disclosure Certificate. The form of the Disclosure Certificate is attached hereto as Appendix G. Within the last five-year period from the date of this Official Statement, the Board has complied in all material respects with previous undertakings made pursuant to Rule 15c2-12 promulgated under the Securities Exchange Act of 1934 (the "Rule").

Tax Matters

In the opinion of Becker Stowe Partners LLC, Bond Counsel, under existing law, (1) interest on the Series 2017 Bonds will be excludible from gross income of the owners thereof for purposes of federal income taxation, (2) interest on the Series 2017 Bonds will not be a specific item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations and (3) to the extent interest on the Series 2017 Bonds is excluded from gross income for federal income tax purposes,

such interest is not subject to income taxation by the State of Colorado, all subject to the qualifications described in "TAX MATTERS."

Additional Information

This introduction is only a brief summary of the provisions of the Series 2017 Bonds and the Bond Resolution; a full review of the entire Official Statement should be made by potential investors. Brief descriptions of the System, the Board, the Series 2017A Projects, the Net Revenues, the Series 2017 Bonds and the Bond Resolution are included in this Official Statement. All references herein to the Series 2017 Bonds, the Bond Resolution and other documents or statutes are qualified in their entirety by reference to such documents and all capitalized terms used herein which are not defined have the meanings given such terms in the Bond Resolution. This Official Statement speaks only as of its date, and the information contained herein is subject to change.

Copies of the Bond Resolution, the other documents and additional information may be obtained from the Board and the Financial Advisor at the following addresses:

Denver Water, Treasurer
1600 W. 12th Avenue
Denver, Colorado 80204
Phone: (303) 628-6410
Email: investorrelations@denverwater.org

George K. Baum & Company
1400 Wewatta Street, Suite 800
Denver, Colorado 80202
Phone: (303) 292-1600

INVESTMENT CONSIDERATIONS

The purchase of the Series 2017 Bonds involves special risks and the Series 2017 Bonds may not be appropriate investments for all types of investors. Each prospective investor is encouraged to read this Official Statement in its entirety and to give particular attention to the factors described below, which, among others factors discussed herein, could affect the payment of the Series 2017 Bonds and could affect the market price of the Series 2017 Bonds to an extent that cannot be determined at this time. *The following does not purport to be an exhaustive or definitive listing of risks and other considerations which may be relevant to investing in the Series 2017 Bonds. In addition, the order in which the following information is presented is not intended to reflect the relative importance of such risks. There can be no assurance that other risk factors not discussed herein will not become material in the future*.

Special Limited Obligations

The Series 2017 Bonds are not a debt or indebtedness or a multiple fiscal year debt or other financial obligation of the City, the State or any political subdivision of the State within the meaning of any constitutional charter or statutory limitation of the City or the State. The Series 2017 Bonds are not payable from the proceeds of general property taxes or any other form of taxation, and the full faith and credit of the City is not pledged for their payment.

No Mortgage or Lien Interests Secure the Series 2017 Bonds

The Series 2017 Bonds are not secured by any encumbrance, mortgage or other pledge of property of the System or the Board, except for the Net Revenues and any moneys pledged in the future for payment of the Series 2017 Bonds. For a discussion of existing liens on the Net Revenues, see "DEBT STRUCTURE."

Future Capital Expenditures; Additional Bonds

As discussed in "THE SYSTEM – Capital Improvements," the Board has significant capital needs in the next decade. Capital needs for the next five years are currently budgeted to total approximately $1,348.5 million (less reimbursements) from 2017 through 2021. The Board currently estimates that approximately 36% of this amount will be cash-funded and the remaining 64% will be funded from the proceeds of future bond issues. However, such percentages are only estimates and are subject to change at any time.

The Board may issue Additional Parity Bonds at any time legal requirements are met as described in "SECURITY AND FLOW OF FUNDS – Additional Obligations Payable from Net Revenues." Issuance of Additional Parity Bonds will dilute the Net Revenues available to pay debt service on the Series 2017 Bonds and prior Parity Bonds.

Fluctuations in Net Revenues

The Net Revenues derived from the Board's water sales are subject to significant fluctuation due to weather, particularly wetter or drier than normal conditions. In addition, customers continue to use less water each year in response to drought conditions, water restrictions, indoor conservation/efficiency, and increased water rates. Some customer behavior may result in permanent change, such as when lawns are abandoned or replaced with water-efficient landscaping.

The annual fluctuations in water revenues are exacerbated by the fixed nature of the System's costs. The System is designed to meet peak day demand which also includes fire flows, reliability and redundancy requirements, and increasingly stringent regulatory requirements. Moreover, the rate structures used to recover the cost of service are designed to encourage water efficiency and conservation and are, therefore, variable in nature because the vast majority of revenue comes from highly variable commodity use. In December 2015, Denver Water adopted a new rate structure, which began to shift rate revenue from a heavy reliance on water use toward a more stable fixed fee over the following three years. The 2017 rate schedule, effective in April 2017, is set to recover an estimated 15% of total revenue from a fixed fee with a goal to increase the fixed fee revenue recovery to 20%. See "THE SYSTEM – Rate Structure." Nevertheless, the inconsistency between a fixed cost structure and a variable revenue structure causes financial instability and uncertainty.

It is not possible to predict what impacts, if any, changing demand patterns will have on the Net Revenues in the future.

Climate Change

Planning for climate change in Colorado and its impact on the operations of the System is particularly challenging. Colorado's climate is exceedingly variable and projections of future conditions range significantly. While projections in Colorado indicate rising average temperatures, precipitation projections are much less clear and often contradictory. Seasonally, winter precipitation is not projected to decrease, although some spring and fall precipitation could fall in the form of rain instead of snow and snowpack lifespan may change as the climate warms. Other potential impacts include changes in the length, intensity, and frequency of droughts and floods; evaporation, evapotranspiration and sublimation patterns; soil moisture, ground water levels; and watershed changes from forest fires, dust-on-snow deposits, and vegetation composition. Such changes may lead to lower supply and higher demand for water. The financial impact of the climate change is not yet known and therefore its future impact on Net Revenues cannot be quantified reliably at this time. See "THE SYSTEM – Climate Adaptation Strategy" and "THE SYSTEM – Drought Response Strategy."

Environmental Regulations

Federal and state legislation and regulations impact the operation of the System through the regulation of land use, appropriation of water, and water quality. The Board believes that the System is in substantial compliance with all applicable regulations; however, the constraints imposed by environmental laws and regulations can potentially limit the current yield or further expansion of existing water projects as well as prohibit new project development. The financial impact of these constraints on the Board is not yet known and therefore cannot be quantified at this time.

Forward-Looking Statements

This Official Statement, particularly (but not limited to) any sections discussing expected or interim financial results of the Board for 2017 or amounts budgeted for 2017 (or future fiscal years) contains statements relating to future results that are "forward-looking statements" as defined in the Private Securities Litigation Reform Act of 1995. When used in this Official Statement, the words "estimate," "forecast," "intend," "expect" and similar expressions identify forward-looking statements. Any forward-looking statement is subject to uncertainty. Accordingly, such statements are subject to risks that could cause actual results to differ, possibly materially, from those contemplated in such forward-looking statements. Inevitably, some assumptions used to develop forward-looking statements will not be realized or unanticipated events and circumstances may occur. Therefore, investors should be aware that there are likely to be differences between forward looking statements and actual results. Those differences could be material and could impact the availability of funds to pay debt service on the Series 2017 Bonds.

Secondary Market

No assurance can be given that a secondary market for the Series 2017 Bonds will be maintained by the Underwriters or by any other entity. Prospective purchasers of the Series 2017 Bonds should therefore be prepared to bear the risk of the investment represented by the Series 2017 Bonds to maturity.

SOURCES AND USES OF FUNDS

Sources and Uses of Funds

The Board estimates the following sources and uses of funds in connection with the sale of the Series 2017 Bonds:

Sources:	Series 2017A Bonds	Series 2017B Bonds
Principal amount	$142,665,000	$41,765,000
Net Original issue Premium	18,009,914	3,424,455
Total Sources	$160,674,914	$45,189,455
Uses:		
Deposit to the Series 2017 Bonds Project Accounts	$160,000,000	$45,000,000
Costs of issuance[1]	674,914	189,455
Total Uses	$160,674,914	$45,189,455

(1) Includes underwriting discount, ratings fees, legal fees, printing costs and other costs of issuing the Series 2017 Bonds.

The Series 2017 Project

A portion of the net proceeds of the Series 2017 Bonds is to be used to fund various Capital Improvements to the System. See "THE SYSTEM – Capital Improvements."

Green Bonds Projects. Proceeds from the Series 2017A Bonds will be used to finance, in part, the redevelopment of Denver Water's main operating and administrative complex (the "Operations Complex Redevelopment Project"). The buildings in the current operating and administrative complex are outdated, inefficient and inadequate to support Denver Water's operations. The Operations Complex Redevelopment Project is designed to improve efficiency, functionality, security and safety of operations. Sustainability is a key factor in the design of the Operations Complex Redevelopment Project. In October 2015, the Operations Complex Redevelopment Project was registered with the U.S. Green Building Council and will be submitted for certification upon completion of construction. The project is expected to offer many environmentally beneficial features, such as:

- LEED® certification (Leadership in Energy & Environmental Design) for the meter shop, warehouse, trades shop, fleet maintenance building, administration building and wellness/clinic.

- Significant energy efficiency in the administration building through appropriate envelope design, high efficiency heating, ventilation, air conditioning and lighting systems and controls.

- Central utility plant that utilizes existing water pipeline on site for radiant heating and cooling in new facility floors.

- "One Water" water reduction and use strategy - maximize use of non-potable water from an on-site ecological wastewater treatment system, rainwater capture via a utility integrated augmentation plan, best management practices in stormwater management, and reuse of water to extinction whenever legally possible.

- Recycling of construction/demolition debris and use of recycled materials where possible.

- Sustainable education and engagement programs to inform users of the site green features and empower them to actively participate in sustainable operations.

See "THE SYSTEM – Capital Improvements – Largest Projects."

The Board intends to pursue different levels of LEED certifications for all of the new buildings constructed on the site. LEED is a green building certification program offered by the U.S. Green Building Council. Projects submitted for LEED certification are reviewed by the Green Building Certification Institute, a third-party organization, and assigned points based on the project's implementations of strategies and solutions aimed at achieving high performance in: sustainable site development, water efficiency, energy efficiency, materials selection and indoor environmental quality, among other sustainable qualities. There can be no assurance that any particular minimum LEED certification level will be achieved for the Green Bonds Projects, and the failure to achieve any particular LEED certification level will not constitute a default under the Bond Resolution. Denver Water will not be pursuing a certification for the 2017A Bonds, other than LEED certification for various projects financed in whole, or in part, from the proceeds of the Series 2017A Bonds.

Denver Water expects to provide information regarding (i) progress toward allocation of Series 2017A Bond proceeds to the Operations Complex Redevelopment Project, (ii) if received, any LEED certifications relating to the Operations Complex Redevelopment Project, and (iii) the expected environmental sustainability objectives and progress toward such objectives to the investors on Denver Water's website at least annually until all proceeds of the Series 2017A Bonds are spent.

THE SERIES 2017 BONDS

General

The Series 2017 Bonds are in the denominations, bear interest, mature, and are subject to the other terms and conditions stated on the cover page and inside cover page of this Official Statement.

Registration and Payment

The Series 2017 Bonds will be registered in the name of Cede & Co., as nominee of The Depository Trust Company ("DTC"), as securities depository for the Series 2017 Bonds. For so long as the Series 2017 Bonds are in book entry form, the principal of and interest on the Series 2017 Bonds will be payable at the office of U.S. Bank National Association, or its successors, as paying agent and registrar (the "Paying Agent"). Interest on the Series 2017 Bonds is payable by wire transfer to Cede & Co. upon written instruction or by check or draft mailed by the Paying Agent to the registered owners of the Series 2017 Bonds whose names and addresses appear in the registration books of the Board on the Regular Record Date, *i.e.*, the last day, whether or not a business day, of the calendar month preceding the interest payment date. Under certain circumstances a Special Record Date may be fixed by the Paying Agent to establish ownership of the Series 2017 Bonds for the purpose of paying interest not paid when due or interest accruing after maturity.

Redemption

The Series 2017 Bonds are subject to redemption prior to maturity as follows:

Optional Redemption. The Series 2017 Bonds maturing on or before September 15, 2027, are not subject to optional redemption prior to their stated maturities. The Series 2017 Bonds maturing on and after September 15, 2028, are subject to redemption prior to maturity, at the option of the Board, as a whole or in integral multiples of $5,000, in any order of maturity and in whole or partial maturities, as determined by the Board, on September 15, 2027, and on any date thereafter, upon payment of the principal amount so redeemed plus accrued interest to the redemption date, without redemption premium.

Mandatory Sinking Bond Redemption. The Series 2017A Bonds maturing on September 15, 2042 are subject to mandatory redemption from sinking fund installments, at a redemption price equal to the principal amount of such Series 2017A Bonds redeemed plus accrued interest to the redemption date, on September 15 in each of the years and in the principal amounts set forth in the following table:

Year of Redemption	Principal Amount To Be Redeemed
2038	$4,400,000
2039	9,500,000
2040	11,265,000
2041	11,475,000
2042[(1)]	11,935,000

[(1)] Maturity

The Series 2017A Bonds maturing on September 15, 2047 are subject to mandatory redemption from sinking fund installments, at a redemption price equal to the principal amount of such Series 2017B Bonds redeemed plus accrued interest to the redemption date, on September 15 in each of the years and in the principal amounts set forth in the following table:

Year of Redemption	Principal Amount To Be Redeemed
2043	$12,300,000
2044	13,000,000
2045	13,605,000
2046	14,285,000
2047[(1)]	15,000,000

[(1)] Maturity

Notice of Redemption. Notice of redemption of any Series 2017 Bonds is to be given by the Registrar by sending a copy of such notice by first class mail, postage prepaid, at least 30 days prior to the redemption date, to the registered owner of each Series 2017 Bond all or a portion of which is called for prior redemption, in the manner set forth in the Bond Resolution. The redemption of the Series 2017 Bonds may be contingent or subject to such conditions as may be specified in the notice. In addition, the Paying Agent is authorized to comply with any operational procedures and requirements of DTC relating to redemption of Series 2017 Bonds and notice thereof. All Series 2017 Bonds so called for redemption will cease to bear interest after the specified redemption date, provided funds for their redemption are on deposit at the place of payment at that time. See also Appendix F – DTC Book Entry System.

In the event of a call for redemption, the Board's notification to DTC initiates DTC's standard call procedure. In the event of a partial call, DTC's practice is to determine by lot the amount of the interest of each Participant in the Series 2017 Bonds to be redeemed, and each such Participant then selects by lot the ownership interest in such Series 2017 Bonds to be redeemed. When DTC and Participants allocate the call, the Beneficial Owners of the book entry interests called are to be notified by the broker or other organization responsible for maintaining the records of those interests and subsequently credited by that organization with the proceeds once the Series 2017 Bonds are redeemed. Any failure of DTC to advise any Participant, or of any Participant or indirect participant to notify the Beneficial Owner, of any such notice and its content or effect does not affect the validity of the redemption of the Series 2017 Bonds called for redemption or any other action premised on that notice.

Book Entry Only System

DTC will act as securities depository for the Series 2017 Bonds. The Series 2017 Bonds will be issued as fully registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully registered Series 2017 Bond will be issued for each maturity of the Series 2017 Bonds, each in the aggregate principal amount of such maturity, and each of such Series 2017 Bonds will be deposited with DTC. For information regarding DTC, see "Appendix F – DTC Book Entry System."

None of the Board, the City, the Underwriters, the Paying Agent or the Registrar will have any responsibility or obligation to any Beneficial Owner with respect to (1) the accuracy of any records maintained by DTC or any DTC Participant, (2) any notice that is permitted or required to be given to the Owners of the Series 2017 Bonds under the Bond Resolution, (3) the selection by DTC or any DTC Participant of the recipient of payment in the event of a partial redemption of the Series 2017 Bonds, (4) the payment by DTC or any DTC Participant of any amount with respect to the principal of or interest due with respect to the Owners of the Series 2017 Bonds, or (5) any other related matter.

SECURITY AND FLOW OF FUNDS

Net Revenue

The Net Revenue pledged to the payment of the Series 2017 Bonds consists of the Gross Revenue after deducting the Operation and Maintenance Expenses. Gross Revenue is defined in the Bond Resolution and generally consists of all income and revenues directly or indirectly derived by the Board from the operation and use of the System including, primarily, the rates, fees and system development charges for the services furnished by, or for the use of, the System. Operation and Maintenance Expenses is defined in the Bond Resolution and generally consists of all reasonable and necessary current expenses of the Board, paid or accrued, for operating, maintaining and repairing the System, including legal and other overhead expenses of the Board related to the administration of the System, insurance premiums, payments of claims under a self-insurance program, salaries and administrative expenses, labor and the cost of materials and supplies for current operation. Operation and Maintenance Expenses do not include, among other things, any allowance for depreciation or payments due in connection with any bonds or other obligations issued or entered into to provide Capital Improvements. For the complete definitions of "Gross Revenue" and "Operation and Maintenance Expenses" see Appendix A – Glossary of Terms).

Application of the Net Revenue

Pursuant to the Bond Resolution, the Net Revenue is to be credited in the following order:

FIRST: To the Parity Bonds Debt Service Account, concurrently and on a *pari passu* basis with any payments required to be made pursuant to any Parity Credit Facility Obligations and Financial Products Payments pursuant to any Parity Financial Products Agreement the amounts described in "The Parity Bonds Debt Service Account" below.

SECOND: To the reserve accounts for Series 2008A Bonds, the Series 2009A Bonds, the Series 2010B Bonds and each other account established in the Water Works Fund by Supplemental Resolution for the purpose of providing any reserve requirements for a series of Additional Parity Bonds (collectively, "Parity Bonds Reserve Accounts") the pro rata portion of the amount, if any, required to cause the amount in such Parity Bonds Reserve Accounts to equal the amount required under the applicable Supplemental Resolutions (or for repayment pursuant to any insurance policy, surety bond, letter or line of credit or similar credit facility utilized in lieu of such account).

THIRD: To any other fund or account subsequently established for the payment of: (1) the Debt Service Requirements on Subordinate Lien Obligations in the amounts required by the resolution or other enactment authorizing the issuance of the Subordinate Lien Obligations, including Subordinate Credit Facility Obligations and Subordinate Financial Products Agreements and Financial Products Termination Payments; and (2) Capital Improvements Lease Payments.

FOURTH: Any remaining Net Revenue is to be credited to any other fund or account designated by the Board to be used for any lawful purpose.

Moneys on deposit in the Water Works Fund may be invested or deposited as provided in the Charter and pursuant to Board policy. See "FINANCIAL INFORMATION – Sources of Revenue – Interest on Investments."

Funds and Accounts

The Water Works Fund and the Parity Bonds Debt Service Account. The Water Works Fund is created and maintained pursuant to the Charter and is required by the Charter to be the repository for all revenues received from the operation of the System and all moneys received by the Board from other sources. The Bond Resolution further requires that the Board is to credit to the Water Works Fund all Gross Revenue immediately upon receipt. All Operation and Maintenance Expenses are to be paid from the Water Works Fund as they become due and payable, including payments to the Series 2017 Bonds Rebate Account as required by the Bond Resolution and the Series 2017 Bonds Tax Certificate.

The Bond Resolution creates within the Water Works Fund the Parity Bonds Debt Service Account, including therein the Interest Subaccount and the Principal Subaccount, into which the Board covenants and agrees to deposit Net Revenue at the times and in the amounts sufficient to pay when due the principal of and interest on the Parity Bonds, including the Series 2017 Bonds. See also "The Parity Bonds Debt Service Account" below. The Series 2017A-B Supplemental Resolution creates within the Water Works Fund, with respect to the Series 2017 Bonds, and the Series 2017 Bonds Capital Project Account (discussed in "USE OF PROCEEDS – The Series 2017 Bonds Rebate Account"), which accounts are to be maintained by the Board in accordance with the Bond Resolution, and, in the case of

the Series 2017 Rebate Account, the Series 2017 Bonds Tax Certificate. See also "– The Series 2017 Bonds Rebate Account" below.

Parity Bond Accounts. Accounts similar to those described in the preceding section have been established within the Water Works Fund for each Series of Parity Bonds. Upon the issuance of a series of Additional Parity Bonds, the Board is to establish by Supplemental Resolution any related Project Account, Rebate Account and any other account as may be determined to be necessary for the issuance of such Additional Parity Bonds, including accounts that may be necessary in connection with any Credit Facility or Financial Products Agreement. Such additional accounts are to be maintained by the Board in accordance with the Bond Resolution and the related Supplemental Resolution, and, in the case of any Rebate Account, any related certificate in respect of the tax-exempt status of the interest on such Additional Parity Bonds executed and delivered by the Board in connection with the issuance of such Additional Parity Bonds.

The Parity Bonds Debt Service Account

The Parity Bonds Debt Service Account is to be used to pay the principal, premium, if any, and interest with respect to the Parity Bonds.

Subject to the availability of Net Revenue therefor as discussed in "– Application of the Net Revenue" above, on or before the 15th day of each month, commencing with the month in which the Series 2017 Bonds are issued and delivered, the Board is to make the following deposits of Net Revenue to the Parity Bonds Debt Service Account:

> FIRST: There is to be deposited to the Interest Subaccount of the Parity Bonds Debt Service Account an amount equal to the pro rata portion of the interest to come due on each issue of outstanding Parity Bonds on the next succeeding interest payment date. Such pro rata portion is determined by dividing the amount of interest to come due on the next interest payment date by the number of monthly credits required to be made prior to such payment date.
>
> SECOND: There is to be deposited to the Principal Subaccount of the Parity Bonds Debt Service Account an amount equal to the pro rata portion of the principal to come due (including any mandatory sinking fund payment) on each issue of outstanding Parity Bonds on the next succeeding principal payment date. Such pro rata portion is determined by dividing the amount of principal to come due on the next principal payment date by the number of monthly credits required to be made prior to such payment date.
>
> THIRD: There is to be deposited to any other subaccount that may be created in the Parity Bonds Debt Service Account by Supplemental Resolution the amounts necessary to provide for the Debt Service Requirements of or related to any series of Parity Bonds.

Moneys credited to the Parity Bonds Debt Service Account may only be invested or deposited in Permitted Investments. Any investment income earned on amounts on deposit in the Parity Bonds Debt Service Account is to remain in such Account unless otherwise provided in the Parity Bonds resolution or a related tax certificate. The credits of Net Revenue to the Parity Bonds Debt Service Account may be reduced to the extent of investment income or other moneys credited to the Parity Bonds Debt Service Account at the time any required credit of a pro rata portion of interest or principal is to be made.

No Series 2017 Bonds Reserve Account

Pursuant to the Fifth Supplemental Resolution adopted on April 11, 2012, the Master Bond Resolution eliminated the requirement of a Parity Bonds Reserve Account for future issues of Parity Bonds. The Series 2017 Bonds will not be secured by a Parity Bonds Reserve Account established for the Series 2017 Bonds and the Parity Bonds Reserve Accounts funded for each series of Parity Bonds issued before the Fifth Supplemental Resolution will not secure the Series 2017A Bonds.

The Series 2017 Bonds Rebate Account

Amounts, if any, deposited to the Series 2017 Bonds Rebate Account are to be used to pay from time to time any amounts required to be rebated to the United States of America pursuant to Section 148(f) of the Federal Tax Code and any temporary, proposed or final Treasury Regulations as may be applied to the Series 2017 Bonds from time to time. The payment of such rebate amounts supersedes all other provisions of the Bond Resolution concerning the deposit and transfer of interest earnings to or from any other Fund or Account. Moneys set aside to pay such rebate amounts, whether set aside in the Series 2017 Rebate Account or otherwise, are not subject to any lien created by the Bond Resolution for the benefit of the Owners. See Appendix B – Summary of Certain Provisions of the Bond Resolution – Tax Covenants.

Rate Covenants

Charter Requirements. Pursuant to the Charter, the Board is required to fix rates for which water is furnished for all purposes within the City, which rates are to be as low as good service will permit. The Board is not so limited with respect to water furnished to customers outside the boundaries of the City. Rates for customers within the City may be sufficient to provide for (1) operation, maintenance, reserves, debt service, additions, extensions, betterments, including those reasonably required for the anticipated growth of the Denver metropolitan area, and to provide for the City's general welfare, and (2) the accumulation of reserves for improvements of such magnitude that they cannot be acquired from the surplus revenues of a single year. Rates for outside City customers must be sufficient to recover all costs plus an additional amount that currently reflects a return on investment. See "THE SYSTEM – Rate Structure."

Bond Resolution Covenant. Subject to the provisions of the Charter, the Board covenants in the Bond Resolution that it will use its best efforts to maintain, enforce and collect rates, fees, system development charges, participation payments, tap fees, availability fees, tolls and charges for services furnished by or the use of the System to create Gross Revenue, together with any Other Available Funds (defined below), each "Fiscal Year" (being the calendar year) sufficient to pay Operation and Maintenance Expenses and to create Net Revenue in an amount equal to not less than 110% of the amount necessary to pay when due the Debt Service Requirements on the Outstanding Parity Bonds, including the Series 2017 Bonds, any Additional Parity Bonds and the Capital Improvements Lease Payments coming due during such Fiscal Year, and to make up any deficiencies in any Parity Bonds Reserve Accounts and any reserve accounts as required by the resolutions authorizing the Parity Bonds. In the event that the Gross Revenue at any time is not sufficient to make such payments, the Board covenants to increase such rates, fees, system development charges, participation payments, tap fees, availability fees, tolls and charges to an extent which will allow the payments and accumulations required by the Bond Resolution. See also "THE SYSTEM – Rate Structure," "DEBT STRUCTURE – Outstanding Bonds and Other Obligations" and Appendix B – Summary of Certain Provisions of the Bond Resolution.

As used above, "Other Available Funds" means, for any Fiscal Year, the amount determined by the Director of Finance to be transferred from the Water Works Fund to the debt service account for the

Parity Bonds Debt Service Account, but in no event may such aggregate amount exceed 10% of the Combined Average Annual Debt Service Requirements of the Parity Bonds and the Capital Improvements Lease Payments.

Additional Obligations Payable from the Net Revenue

Superior Obligations Prohibited. The Bond Resolution provides that no additional bonds, notes, interim securities or other obligations, including refunding obligations, may be issued or incurred by the Board that are payable from the Gross Revenue or the Net Revenue and have a lien thereon that is superior to the lien thereon of the Parity Bonds, including the Series 2017 Bonds.

Additional Parity Bonds. The Bond Resolution provides that the Board may issue Additional Parity Bonds for the purpose of funding the acquisition, construction and installation of Capital Improvements to the System (a "Capital Project") or refunding any financial obligations or securities issued or executed by the Board and payable in whole or in part from a lien on the Net Revenue, including the Parity Bonds, but not including any Credit Facility Obligations, Financial Products Agreements or any similar contractual arrangements (a "Refunding Project"), subject to the following requirements:

(1) At the time of issuance of any Additional Parity Bonds, the Board is not in default in making any payments required by the Bond Resolution.

(2) At the time of issuance of the Additional Parity Bonds, the Board is current in the accumulation of all amounts required to be then accumulated in the Parity Bonds Debt Service Account and any Parity Bonds Reserve Account established in connection with any outstanding Parity Bonds as required by the Bond Resolution.

(3) The Net Revenue for the 12-month period ending with the most recently completed calendar quarter for which financial statements are available, together with any Other Available Funds, is sufficient to pay an amount representing not less than 120% of the Combined Average Annual Debt Service Requirements for the then outstanding Parity Bonds, the Additional Parity Bonds proposed to be issued and the Capital Improvements Lease Payments, plus 100% of the amount required to repay any unreimbursed draws on the reserve policy delivered in respect of the Series 2007A Bonds and related expenses and accrued interest thereon (there is no comparable requirement with respect to any other series of Parity Bonds, including the Series 2017 Bonds). For purposes of this test, the Net Revenue may be increased if there has been adopted a schedule of increases in rates, fees, system development charges, participation fees, tap fees, availability fees, tolls and charges during or since such preceding 12-month period by adding to the actual Gross Revenue for such preceding 12-month period the estimated increase in Gross Revenue that would have been realized during such preceding 12-month period had such increase been in effect during all of the preceding 12-month period.

(4) In the case of a Refunding Project, compliance with (3) is not required so long as the Debt Service Requirements on all Parity Bonds to be outstanding after the issuance of such Additional Parity Bonds in each Fiscal Year prior to the final maturity date of the bonds to be refunded in the Refunding Project does not exceed the Debt Service Requirements on all such Parity Bonds outstanding immediately prior to the issuance of such Additional Parity Bonds in each Fiscal Year.

A written certificate by the Chief Finance Officer that the requirements of (1) through (4) above have been met will conclusively determine the right of the Board to authorize, issue, sell and deliver Additional Parity Bonds.

Parity Credit Facility Obligations and Parity Financial Products Agreement. The Board may enter into Parity Credit Facility Obligations and Parity Financial Products Agreements relating to the Parity Bonds as is determined by the Board to be in the best interests of the Board and in accordance with the provisions of the Charter and the constitution and laws of the State. Notwithstanding any other provision of the Bond Resolution, no Financial Products Termination Payment required under any such Parity Financial Products Agreements may be secured by a lien on the Net Revenue that is senior to or on a parity with the lien thereon of the Parity Bonds. As of the date of this Official Statement, there are no outstanding Parity Credit Facility Obligations or Parity Financial Product Agreements.

Subordinate Lien Obligations. The Bond Resolution provides that so long as no default under the Bond Resolution (an "Event of Default") has occurred and is continuing, nothing therein will prohibit the Board from issuing Subordinate Lien Obligations. See "THE SERIES 2017 BONDS" and Appendix B – Summary of Certain Provisions of the Bond Resolution – Defaults and Remedies – Events of Default. The subordinate 2013 Line of Credit described in "DEBT STRUCTURE – Outstanding Bonds and Other Obligations" is the only currently outstanding Subordinate Lien Obligation.

Additional Provisions of the Bond Resolution

See Appendix B – Summary of Certain Provisions of the Bond Resolution for a summary of certain additional provisions of the Series 2017 Bonds and the Bond Resolution, including, without limitation, certain covenants of the Board, the rights and remedies of the Owners of the Series 2017 Bonds upon the occurrence of an Event of Default, provisions relating to amendments and supplements to the Bond Resolution and procedures for defeasance of the Series 2017 Bonds.

THE CITY

The City was originally incorporated by a special act passed at the first session of the Legislative Assembly of the Territory of Colorado, adopted and approved on November 7, 1861. The State Constitution was adopted by the people of the State on March 14, 1876, and the Territory was admitted into the Union as a state by proclamation of President Grant on August 1, 1876. Article XX was added to the State Constitution at the State's general election in November 1902. The City was reorganized thereunder as the consolidated municipal government known as the City and County of Denver and exists as a "home-rule" city under the City Charter adopted by the qualified electors of the City on March 29, 1904, as amended from time to time. As a home rule municipality, the City operates under its Charter, City ordinances adopted pursuant thereto and State statutes on matters of statewide concern or mixed statewide and local concern as to which the City has not acted by Ordinance. For general information concerning City and neighboring areas, see Appendix E – Economic and Demographic Overview of the Denver Metropolitan Area.

DENVER WATER

Organization and Charter Mandates

The Board, commonly known as Denver Water, was established in 1918 by the people of the City as an independent, autonomous and non-political agency with duties and responsibilities specifically set forth in the Charter. Since that time, the Board has supplied water to the citizens of Denver and contract distributors in the Denver metropolitan area in accordance with Charter directives.

Pursuant to the Charter, the Board has all the powers of the City, including those granted by the constitution and laws of the State and by the Charter in regard to purchasing, condemning and purchasing, acquiring, constructing, leasing, extending and adding to, maintaining, conducting and operating the System for all uses and purposes, and everything necessary, pertaining or incidental thereto, including authority to dispose of real or personal property not useful for or required in the water works operation. The Board also has authority to generate and dispose of electric energy for water works purposes or any other purpose of the City. The Board also has the power in the name of the City to make and execute contracts, take and give instruments of conveyance and do all other things necessary or incidental to the powers granted in the Charter.

The Board

Denver Water has a five-member governing body, the members of which are appointed by the Mayor of the City for overlapping six-year terms, which is charged with ensuring a continuous supply of water to the citizens of the City and Denver Water's suburban customers. Commissioners are not subject to term limits. The current Commissioners are as follows:

Board of Water Commissioners

Paula Herzmark, President Executive Director, Denver Health Foundation	Commissioner since October 2009 Term expires July 2019
John R. Lucero, First Vice President Former Deputy Director, Denver Mayor's Office of Economic Development Currently Principal, Lucero Development Services	Commissioner since July 2007 Term expires July 2021
H. Gregory Austin, Vice President Former Partner, Holland & Hart LLP	Commissioner since July 2009 Term expires July 2019
Thomas A. Gougeon, Vice President President, Gates Family Foundation	Commissioner since August 2004 Term expires July 2017
Penfield Tate III, Vice President Attorney, Kutak Rock LLP	Commissioner since October 2005 Term expires July 2017

Administration

The Board designates a CEO/Manager to execute its policies and directives. Reporting to the CEO/Manager are the directors of eight divisions, including Administrative Services, Engineering, Finance, Human Resources, Information Technology, Operations and Maintenance, Planning and Public Affairs, as well as the general counsel, Chief of Staff and the internal auditor. Denver Water is a non-union employer currently employing approximately 1,100 people.

The following is a description of selected Denver Water officials involved in the management of Denver Water.

Selected Denver Water Administration

Name	Title	Year First Employed at Denver Water
James S. Lochhead	Chief Executive Officer/Manager, Secretary to the Board	2010
Julie A. Anderson	Chief of Staff	2008
Brian D. Good	Chief Administrative Officer	2000
Angela C. Bricmont	Chief Finance Officer	2010
Patricia L. Wells	General Counsel	1991
Mike E. King	Chief Planning Officer	2016
Robert J. Mahoney	Chief Engineering Officer	2006
Thomas J. Roode	Chief Operations Maintenance Officer	2009

James S. Lochhead, CEO/Manager. Mr. Lochhead was appointed Denver Water's CEO/Manager in 2010. He currently serves on the boards of the Association of Municipal Water Agencies, the Water Research Foundation, the Western Urban Water Coalition, the Water Utility Climate Alliance, the Denver Metro Chamber of Commerce and the Metro Denver Economic Development Council. Prior to joining Denver Water, Mr. Lochhead was a shareholder at the Denver law firm of Brownstein Hyatt Farber Schreck, LLP, where he worked on a wide variety of water resource issues. He served as executive director of the Colorado Department of Natural Resources from 1994 to 1998 and as the governor's representative on interstate Colorado River operations. He also served on the boards of the Colorado Conservation Trust, Colorado Open Lands, the Colorado Water Trust, the Legal Aid Foundation of Colorado and The Nature Conservancy Colorado Program. Mr. Lochhead received his bachelor's degree in environmental biology from the University of Colorado in 1974 and his law degree from the University of Colorado School of Law in 1978.

Julie A. Anderson, Chief of Staff. Ms. Anderson was appointed Chief of Staff in April of 2016. She joined Denver Water in 2008 and served as the manager of Customer Care from 2008 - 2011 and the director of the Customer Relations division from 2011 to 2016, when the division merged with Public Affairs. Prior to joining Denver Water, Ms. Anderson was the group manager of Molson Coors Brewing Company's consumer affairs department, where she oversaw all North American contact center operations, 2001-2008 and she was the manager of the advisor and investor services contact center for OppenheimerFunds, 1996-2001. She received her Bachelor of Science degree in business administration from the University of Colorado.

Brian D. Good, Chief Administrative Officer. Mr. Good has been with Denver Water since 2000 and has served in the roles of Marston Treatment Plant Supervisor, Recycled Water Treatment Plant Manager, the Director of Operations and Maintenance and most recently as the Deputy Manager of Organizational Improvement before being appointed as Chief Administrative Officer in 2016. Mr. Good is a past president of the WateReuse Association, where he also served for nine years as a board member. Mr. Good provided input and assistance with development of the Water Engineering and Management program at the University of Colorado, for which he currently serves as a Lecturer. Mr. Good has a Bachelor of Science in civil engineering from the University of Illinois and a Master's Degree in Business Administration from the University of Colorado.

Angela C. Bricmont, Chief Finance Officer. Ms. Bricmont was appointed Denver Water's Chief Finance Officer in 2010. Prior to joining Denver Water, she was the Manager of Financial Services for Carollo Engineers, the largest U.S. firm solely dedicated to water-related engineering. She served as Director of Budget and Operations at the University of Denver's Josef Korbel School of International Studies and as Vice President of Rates and Regulatory Matters for TCI and AT&T Broadband. She worked for Denver Water as a Senior Analyst from 1993 to 1995. Ms. Bricmont has a bachelor's degree in finance and a Master of Business Administration from the University of Denver, Daniels College of Business. She is currently the Chair of the American Water Works Association's Finance, Accounting, Management and Controls Committee, the Chair of the Denver Hispanic Chamber of Commerce and serves on the Denver Urban Renewal Authority Board of Directors.

Patricia L. Wells, General Counsel. Ms. Wells has served as Denver Water's General Counsel since 1991. Prior to joining Denver Water, she served for eight years in the administration of Denver Mayor Federico Peña as Deputy City Attorney and then City Attorney. She also worked as a staff attorney for the Environmental Defense Fund. Ms. Wells serves on the Governor-appointed Colorado Water Conservation Board and was also a member of that board from 1995-2001. She served as a member of the Governor-appointed Water Quality Control Commission from 2007-2013 and was a board member of the Colorado Water Trust for eight years. Ms. Wells is a graduate of Auburn University and Harvard Law School.

Mike E. King, Chief Planning Officer. Mr. King was appointed Denver Water's Chief Planning Officer in February 2016. Prior to joining Denver Water, Mr. King served as executive director of the Colorado Department of Natural Resources, leading the organization through several major regulatory achievements, including creating a strong and balanced program of oil and gas development while protecting the environment and human communities; working with the public and the U.S. Forest Service on the Colorado Roadless Rule that increases protection of forests; and, resolving water allocation challenges between West and East slope interests, including the development of the state water plan. Mr. King received his Bachelor's degree in journalism from CU-Boulder, law degree from the University of Denver and a Master's in Public Administration from CU-Denver's Graduate School of Public Affairs.

Robert J. Mahoney, Chief Engineering Officer. Mr. Mahoney was appointed Denver Water's Chief Engineering Officer in 2006. He has more than 30 years of experience in municipal projects, including treatment plants, pipelines and pump stations, as well as having served as Consultant Project Manager for the construction of the first phase of Denver Water's new recycling plant while employed at Boyle Engineering Corporation (1983-2000) and Brown & Caldwell (2000-2006). Mr. Mahoney has a Bachelor of Science in Civil Engineering from the South Dakota State University, a Master of Business Administration Degree from Regis University and a Master of Science in Leadership and Project Delivery.

Thomas J. Roode, Chief Operations Maintenance Officer. Mr. Roode was appointed Denver Water's Chief Operations Maintenance Officer in 2011. Prior to joining Denver Water, he spent three years at the City of Aurora, Colorado managing the transmission system infrastructure for Aurora's Prairie Waters Project. Mr. Roode has a Bachelor of Science Degree in Mechanical Engineering from Colorado State University and Master of Business Administration from University of Colorado.

THE SYSTEM

General

Denver Water is the largest and oldest supplier of water in the State and one of the largest water suppliers in the western United States. Denver Water is the third largest public landowner in the State. Denver Water was established in 1918 after Denver residents voted to buy the water system from a private company. Denver Water provides water in an area covering the boundaries of the City and many of its suburbs, constituting approximately 335 square miles with a treated and raw water customer base of approximately 1.4 million people (approximately ¼ of the residents of the State). The combined service area includes the service areas of 66 treated water distributors in the Denver metropolitan area. Denver Water also provides treated and raw water within the metropolitan area outside of its service area under multiple contracts with fixed contract amounts. See "DENVER WATER SERVICE AREA MAP" at page i.

Denver Water's primary water sources include: the South Platte River, Blue River, Williams Fork River and Fraser River watersheds. Other water sources include: the South Boulder Creek, Ralston Creek and Bear Creek watersheds. The System has more than 3,100 miles of water mains (pipelines), 26 pumping stations, 12 raw water reservoirs and 32 underground reservoirs. Three water treatment plants (Marston, Moffat and Foothills) have a combined treatment capacity of 715 million gallons per day. In the past five years, the maximum daily consumption of the System has not exceeded 398.2 million gallons per day. In addition, the System also has a recycled water treatment plant with a 45 million gallons per day capacity.

Denver Water's treated water use is divided between: single-family and small multi-family homes (34%), business and industry (33%), irrigation (3%), City and County of Denver (3%) and water for resale (27%). Set forth in the following table is a summary of basic statistical data relating to the System for the past five years.

Statistical Summary of the System

	2012	2013	2014	2015	2016
Service area population (treated water only)	1,147,000	1,161,000	1,172,000	1,210,000	1,249,000
Total treated water consumption (million gallons)	71,968.70	60,212.44	61,185.27	60,115.97	65,003.83
Average daily consumption (million gallons)	196.64	164.97	167.63	164.70	178.09
Average daily consumption per capita (gallons)	171	142	143	136	142
Maximum daily consumption (million gallons)	398.20	354.50	335.20	344.26	355.88
Maximum hour treated water use rate (million gallons)	628.00	591.00	603.60	499.30	592.00
Treated water pumped (million gallons)	39,484.07	34,895.37	36,088.94	27,677.64	26,767.23
Raw water storage capacity (acre-feet)	569,534	569,534	569,534	569,534	568,642
Replacement reservoir storage capacity (acre-feet)	122,432	122,432	122,432	122,432	122,432
Supply from South Platte River (acre-feet)	85,765	142,915	148,680	166,561	158,324
Supply from Blue River/Roberts Tunnel system (acre-feet)	54,394	111,564	77,765	39,801	40,795
Supply from Moffat system (acre-feet)	54,523	141,159	73,585	73,016	75,551
Treated water pumping capacity (millions of gallons per day)	1,003.3	1,007.9	1,007.9	1,048.4	1,048.4
Raw water pumping capacity (millions of gallons per day)	112.2	112.2	112.2	112.2	112.2
Treatment plant capacity (millions of gallons per day)	715.0	715.0	715.0	715.0	715.0
Treated water reservoir capacity (million gallons)	381.65	353.30	353.30	351.4	351.4
Raw water supply mains in miles (mountain collection system)	77.5	77.4	77.4	77.4	77.4
Raw water supply mains in miles (metropolitan Denver area)	47.7	52.3	54.0	55.0	54.3
Transmission & distribution mains (miles) - Inside City and Outside City Total Service Contract distributors	3,050.1	3,058.2	3,074.2	3,091.7	3,109.3
Recycled water transmission & distribution mains (miles)	49.0	63.1	67.0	67.2	73.5
Total active taps - end of year	310,463	312,228	312,908	312,653	312,653
Fire hydrants operated & maintained	19,670	19,818	20,030	20,269	20,556
Fire hydrants tested and repaired	25,112	25,177	29,506	18,093	23,909
Breaks in mains - Denver	232	222	191	262	225
Service leaks	402	719	337	542	503
Total employees (actual, not authorized)	1,082.5	1,064.9	1,064.6	1,057.3	1,118.6
Additions to capital assets (thousands)	$128,277	$93,421	$125,374	$131,054	$112,832
Total long-term debt (thousands)	$419,351	$402,541	$418,200	$416,196	$463,553

Denver Water does not depend on any one individual customer or any group of customers for a major portion of its revenue. With the exception of its sales to the City for its governmental and proprietary operations (2.18 million gallons of treated water generating revenues of approximately $5.75 million in 2016), the 10 largest retail customers accounted for approximately 4.41% of total water sales revenue received in 2016.

10 Largest Retail Customers – 2016

	Consumption		Revenue	
Account Type	**Gallons Sold (000)**	**Percent of Total Consumption**	**Water Revenue[1] ($000)**	**Percent of Total Revenue**
Oil and Gas Company	608,901	0.96%	$2,407	0.90%
Public School System	487,818	0.77	1,661	0.62
Public Utility	437,776	0.69	1,535	0.58
Housing Authority	345,445	0.55	1,218	0.46
Parks System	221,970	0.35	1,348	0.51
Retail Grocer - 1	175,190	0.28	481	0.18
Beverage Company	145,643	0.23	384	0.14
Retail Grocer - 2	129,481	0.20	522	0.20
State Government	125,653	0.20	405	0.15
Hospital	114,087	0.18	286	0.11
Total	2,791,964	4.41%	10,247	3.85%
Total sales of treated water	63,257,284		$266,385	

(1) This column represents actual billings made for treated water and private fire protection service during the year. The difference from amounts on an accrual basis is immaterial.

Source: Denver Water Comprehensive Annual Financial Report for 2016, Statistical Section.

Water Supplies

General. Denver Water derives its raw water supplies primarily from alluvial (surface) sources such as river systems, which are supplied by precipitation and snowpack runoff. See Appendix D – System Information Rate Schedules and Water Supply – The Prior Appropriation System of Water Rights for a description of the legal framework governing the water supply of the western United States. Traditionally, Denver Water expects to receive a major portion of the precipitation that fills its reservoirs in late winter and early spring as snowfall. As the snow melts, it is collected and stored in a number of reservoirs in the Rocky Mountains and the Denver metropolitan area and transported to treatment facilities and delivered to customers, as needed. Denver Water's plan to provide long-term, reliable supplies in the face of changing climatic conditions and a growing customer base relies on three strategies for augmenting existing supplies:

- Enhancement of Supplies and Storage – enlarging capacity at an existing reservoir, converting several previously mined gravel pits into additional storage facilities, and maximizing use of existing reusable water supplies (exchange, storage and recycling);

- Recycling – providing highly treated wastewater for nonpotable uses such as irrigation and industrial applications; and

- Water Conservation – helping its customers use water more efficiently.

Enhancement of Supplies and Storage. The Moffat System currently has approximately 10% of Denver Water's reservoir storage. To achieve a better balance between collection systems, the Board has recommended enlarging Gross Reservoir (the "Gross Reservoir Expansion Project"), the primary storage facility in the Moffat System. Adding capacity in this reservoir will help address potential supply shortages, assist in dealing with future droughts and serve as a safety net if the south end of the water system faces unexpected challenges such as those caused by wildfires in Denver Water's watersheds. Raising the reservoir's dam by 131 feet will provide additional storage of 72,000 acre-feet of water and additional annual yield of 18,000 acre-feet of water, enough to supply roughly 45,000 households each year and 5,000 acre-feet of space for an environmental pool (total storage increase of 77,000 acre-feet). Because the reservoir was originally contemplated to be a larger size, ancillary facilities such as the Fraser and Williams Fork water collection systems, the Moffat Tunnel and the South Boulder Diversion Canal will not have to be modified, and no new water rights will be needed.

In April 2014, the U.S. Army Corps of Engineers released a Final Environmental Impact Statement addressing public comments received after the publication of the 2009 Draft Environmental Impact Statement related to Denver Water's application for a Clean Water Act ("CWA") section 404 permit to enlarge Gross Reservoir. Denver Water obtained a CWA section 401 certification, a required part of the section 404 permit process, from the Colorado Department of Public Health and Environment in 2016. The design and construction of the Gross Reservoir Expansion Project is contingent upon Denver Water obtaining a number of permits at the Federal, State and local level. For more details on the Gross Reservoir Expansion Project, see "CAPITAL IMPROVEMENTS – Largest Projects."

Recycling. Denver Water receives and treats wastewater effluent from the Metro Wastewater Reclamation District's ("Metro") Central Treatment Plant to augment supplies and reduce demand for potable water. The System currently treats and distributes recycled water for irrigation and certain industrial purposes to parks, schools, City facilities and an Xcel Energy power plant.

Water Conservation. Denver Water has been active in water conservation programs, historically, as part of a least-cost future water supply planning which brought both short-term incremental savings from reduced pumping and chemical costs and long-term savings of deferred capital costs. Denver Water's current water conservation program includes ongoing programs in water efficiency and leadership on recent statewide legislation to phase out inefficient indoor fixtures. Denver Water's Conservation Plan outlines the programs it implements to educate and assist customers in using water more efficiently. Programs include: providing technical assistance and financial incentives to reduce water use by large commercial customers to increase cooling tower and process efficiency; offering plumbing fixture rebates; performing water audits for large-scale irrigation, commercial and residential customers; incentivizing water efficiency on new construction; and promoting water-efficient landscaping throughout the service area. Denver Water and its marketing consultant have developed a nationally recognized water conservation advertising campaign built upon the premise of "Use Only What You Need" and "You Can't Make This Stuff."

The Board set a goal to reduce demand from the 2000-01 water use level by 22% by 2016 based on gallons per capita per day ("GCD") usage (moving from 211 GCD to 165 GCD). To date, the conservation programs (along with rates and sustained water-use habits from the drought) have reduced water used by more than 30% to 142 GCD in 2016. The conservation program developed and promoted by Denver Water has made its customers among the lowest water users in the arid west.

Rate Structure

Under the Charter, the Board is empowered to set rates for all of its customers. For customers within the City, these rates are to be as low as good service will permit, although sufficient to pay for operation, maintenance, reserves, debt service, additions, extension and improvements, including those reasonably required for the anticipated growth of the Denver metropolitan area, and to provide for Denver's general welfare. The rates also may be sufficient to provide for the accumulation of reserves for improvements of such magnitude that they cannot be acquired from the surplus revenues of a single year. Since its inception, the Board has set rates at a level sufficient to service its debt and to meet its expenses of operation and maintenance. See also "SECURITY AND FLOW OF FUNDS – Rate Covenants."

All Denver Water customers are grouped into customer classes (residential, non-residential, irrigation only, etc.), and by location of residence or facility, either inside City boundaries or outside City boundaries, and inside or outside the service area. The Board sets the rates for the Denver Water service area based on the results of the annual cost of service rate study. The cost of service rate study process assigns costs in proportion to the cost of providing the service typically prepared on an annual basis to each customer class. The Charter specifies that rates for Outside City customers are to be based on the cost to provide service plus an additional amount.

There are two components to Denver Water's service rates: a monthly fixed fee based on the meter size and a volume rate charge per 1,000 gallons consumed. The volume charge structure varies based on the customer class. Customers are billed on a monthly basis. The monthly fixed fee recovers the cost of meter reading and billing, as well as a portion of general administrative expenses and a portion of capacity-related costs. The volume charge recovers the remainder of operation and maintenance costs, annual payments on existing and proposed debt service and cash-funded capital expenditures.

The Board reviews and updates the financial plan annually to ensure revenue from rates is sufficient to meet annual expenditures. The rate adoption process includes a 30-day public comment period prior to a vote by the Board on proposed rates. Rates are effective 90 days after the successful adoption of the rates. Rate increases are generally adopted in December and implemented in April of the following year. In December 2016, Denver Water adopted a new rate schedule, which went into effect April 1, 2017. Denver Water's current rate structure is set forth in Appendix D – System Information, Rate Schedules and Water Supply. See also "FINANCIAL INFORMATION – Sources of Revenue – Water Sales."

Denver Water assesses a system development charge (the "System Development Charge") for new connections to the System that represents the value of the capacity used by the new customer. The System Development Charge, instituted in 1973, assists in funding expansion-related capital expenditures and water rights costs. The System Development Charge applies to any applicant who is granted a license to take water through the System or through a system deriving its supply from Denver Water. This charge is assessed upon application for a new tap and is based on: (a) the gross square footage of a single family residential lot; (b) the number of units in a multi-family residential building; (c) the size of the connection (meter size) required for a non-residential building; and (d) the estimated acre-feet of water demand.

The following table shows Board-approved changes in total System water rate revenues and System Development Charge price changes for ¾ inch equivalent taps since 2008.

Approved Water Rate Revenues and
System Development Charges

Water Rate Revenues Changes		System Development Charges (¾" equivalent tap sizes)	
Effective Date	**Increase in Revenues[1]**	**Effective Date**	**Incremental Increase**
2008	5.0%	2008	7.0%
2009	9.0	2009	(5.4)[2]
2010	6.0	2010	14.0
2011	9.5	2011	11.4
2012	5.5	2012	4.2
2013	2.5	2013	10.0
2014	3.5	2014	0.0
2015	2.2	2015	0.0
2016	3.8	2016	0.0
2017	3.0	2017	0.0

(1) Does not represent actual increases in water rate revenues, but instead reflects the projected increases for the next year in water rate revenues at the time the Board approved such changes based on approved rates and then-existing assumptions regarding growth and demand.

(2) The reduction in System Development Charges in 2009 was the result of a comprehensive review of the customer water consumption and system reserve capacity assumptions used in the SDC pricing model.

The following table compares annual residential bills for Denver Water and other water utilities in Colorado. Annual consumption is based on 115,000 gallons per year.

Estimated Annual Residential Water Bills

Municipality (Inside and Outside Municipal Boundaries)	Annual Water Service and Consumption Charges
Arapahoe	$1,379.42
Colorado Springs	1,027.21
Erie	923.10
Aurora	778.63
Parker	756.09
Brighton	706.06
Denver Water Total Service	**$677.58**
Thornton	667.98
Westminster	665.88
Golden	658.06
Northglenn	637.98
Louisville	595.24
Highlands Ranch	573.19
Denver Water Inside City	**$571.74**
Boulder	543.74
Fort Collins	543.55
Arvada	482.36
Broomfield	472.06
Pueblo	381.14

Source: Denver Water. Rates reflect 2017 rates.

Because of its rates, billing and collections and customers' dependence on water service, Denver Water collects approximately 99.7% of all outstanding receivables annually. For a more complete description of the System's rates and charges, please see Appendix D – System Information, Rate Schedules and Water Supply – Water Rates.

Climate Adaptation Strategy

Denver Water is a nationally recognized leader in understanding and preparing for the new and complex challenge of climate change and adaptation planning. A multifaceted approach to the issue includes the following strategies:

Partnerships. Denver Water initiated and led the 2012 Joint Front Range Climate Change Vulnerability Study to develop the tools and data Front Range water utilities needed to examine Denver Water's vulnerability to various climate projections. Denver Water remains the leader of this group, which meets quarterly to understand emerging science and collaboration opportunities. Nationally, Denver Water works with other large water utilities through groups like the Water Utility Climate Alliance ("WUCA"). These collaborations allow Denver Water to pool resources, have a strong, unified voice and learn from other water utilities leading the way in climate adaptation. Additionally, Denver

Water continues to be an active partner with the Department of Environmental Health and others involved with the City's climate adaptation planning.

Knowledge and Capacity. Denver Water was one of the first water utilities in the nation to hire staff specifically focused on climate science and adaptation. Staff maintains expertise and transfer knowledge to continuously advance Denver Water's institutional understanding and use of climate information.

Research. To better understand the potential risks and challenges, Denver Water directly engages with climate scientists to "co-produce" the data, tools, and methods needed to incorporate climate change into their planning. These collaborations keep Denver Water at the forefront of climate science while providing critical feedback and encouraging climate scientists to better address decision-making needs.

Long-Range Planning. Denver Water was one of the first water utilities in the nation to incorporate climate change in its long-range planning, including detailed scenario planning and decision-making approaches, and investigation of the viability of various adaptation strategies.

Drought Response Strategy

Colorado's semi-arid climate creates environmental conditions that subject Denver Water's water supply to drought from time to time. The amount of water available for use under water rights owned by Denver Water may be limited by the operation of Colorado's water rights administration system, the prior appropriation doctrine. Additionally, Colorado is a party to numerous Interstate Compacts and United States Supreme Court decrees which apportion water deliveries to Colorado's neighboring states from six river basins that flow from Colorado. In times of drought, interstate delivery obligations could limit the amount of water available for use in Colorado. For a more complete description of the legal framework governing the water supply of the western United States please see Appendix D – System Information, Rate Schedules and Water Supply – The Prior Appropriation System of Water Rights. Despite drought conditions that affected certain other western states (but not Colorado) in 2015 and 2016, Denver Water's water supply was not limited by the Interstate Compacts.

Denver Water's drought response strategy is outlined in its 2016 Drought Response Plan (the "DRP"). The DRP establishes a progressive response to developing drought conditions. The Board will consider a range of hydrologic indicators such as snowpack, precipitation and stream flow which consequently determine the reservoirs' storage levels. In addition, the Board will consider other factors such as political, social and economic conditions to determine appropriate drought response actions.

Specific drought response actions are aimed at increasing water supplies and reducing water use. The DRP also outlines specific operational and financial measures to be taken to address any possible decrease in revenues corresponding with the severity and potential duration of drought. Pursuant to the DRP, Denver Water maintains a strategic water reserve of 200,000 acre-feet to help reduce the impacts of severe drought and other potential water supply problems.

Long-Range Planning

Denver Water Strategic Plan. The Denver Water Strategic Plan (the "Strategic Plan") is organized by four major perspectives: customer, financial, organizational and external. These perspectives are fundamental to the daily operation and sustained success of Denver Water. The Strategic Plan further identifies the desired outcomes to be achieved from each perspective.

Customer:	Satisfied and supportive customers
Financial:	A financially strong and stable organization
Organizational:	An effective, efficient and strategically driven organization
External:	Strategically effective relationships and reputation

Denver Water identified specific initiatives to support these perspectives, which are reviewed annually by the Board and Executive Team and incorporated in the organization's annual goals and objectives. Several major intergovernmental agreements to address water supply resiliency in Colorado and across the Western United States are a direct output of Strategic Plan, (including the Colorado River Cooperative Agreement, the Water Infrastructure and Supply Efficiency partnership ("WISE") and the Colorado River System Conservation Program. Denver Water's leadership in creating partnerships to meet the water resourcing challenges was recognized as one of the top water performance initiatives of the year during the 2015 Global Water Summit. See "Key Intergovernmental Agreements" below. Some of the key organizational initiatives for 2017 include work on the Integrated Resource Plan, enhancement of budget and procurement processes, continuation of work on the Integrated Resource Plan, and development of an information technology master plan.

Integrated Resource Plan. Denver Water's Integrated Resource Plan (the "IRP") informs long-range planning decisions over the next 50 years and is integrated with the Board's 10-year capital and financial plans. The IRP goes through periodic review by the staff and Board to ensure the validity of assumptions in the plan. The staff then makes adjustments as necessary. The IRP investigates future water collection, treatment, distribution, and recycling system needs along with levels of service to customers, water-demand projections, and demand-management alternatives to guide decisions regarding quality and treatment, conservation and water efficiency opportunities, and new supply and facility needs. The IRP examines potential challenges to the System such as climate change effects, more severe and frequent droughts, changes in demographics and water use patterns, watershed alterations such as those caused by beetle kill and forest fires, Colorado River water shortages, and economic and regulatory changes. In addition, the IRP process informs the Board's goals regarding System reliability, strategic water reserves and Denver Water's role in regional and statewide water activities. Finally, the IRP process prepares against future supply uncertainties by planning for a range of alternative outcomes rather than taking the more traditional approach of projecting a single outcome and planning for that. Incorporated into the IRP is a demand model that enhances the Board's understanding of the key determinants of water use and aids in preparation for a variety of changing demand patterns. A large, complex water system operations model is used to evaluate the supply side of the System. In 2016, Denver Water started a new IRP process that is expected to be completed by 2018.

Capital and Financial Planning. In addition to the Strategic Plan and the IRP, Denver Water maintains long-range, ten-year, capital, operation and maintenance, and financial plans that are updated annually. The Capital Plan forecasts additions, improvements and replacements to system facilities based on projected demands for water, Federal and State regulations and ongoing System requirements. The Operation and Maintenance Plan includes the ongoing costs of operating and maintaining the System and the impact of the Capital Plan on operations. The Financial Plan projects the year-end total investment balances. These balances result from the application of projected revenue sources available for projected

capital, operation and maintenance and debt service expenditures. Alternative financial plans that address estimated revenue shortfalls are also analyzed as a part of the long-range planning effort. These ten-year plans are used as the starting point for annual budgets. See "THE SYSTEM – Capital Improvements."

Key Intergovernmental Agreements

Denver Water participates in several intergovernmental agreements to ensure a consistent water supply to its customers.

Colorado River Cooperative Agreement. Denver Water obtains about half its water supply from the Blue, Williams Fork and Fraser rivers located on the west side of the Continental Divide. The Colorado River Cooperative Agreement ("CRCA") resolves several longstanding controversies and potential legal issues between Denver Water and the communities in Colorado's Western Slope, enhances the security of Denver Water's current water supply and provides opportunities for future additional water supply development. The CRCA became effective on September 26, 2013 after several years of mediated negotiations. The agreement has no expiration date. Denver Water and 17 Western Slope water providers, local governments, and ski areas signed the CRCA, and another 25 entities in the headwaters counties (Summit and Grand) have or will receive water or funding from Denver Water under the CRCA. Denver Water expects to fund approximately $25 million under the CRCA between 2014 and 2027, to be used by West slope entities for capital projects and improvements to the environment. Approximately $5 million has been paid out so far.

Denver Water gains greater certainty regarding continued use of Western Slope water with the CRCA in place, ending opposition by the West Slope participants to the Gross Reservoir Expansion Project, which will increase water supply and system reliability in the north end of Denver Water's water delivery system. The CRCA also resolved legal disputes over Denver Water's use of water from the Blue River, which should eliminate a longstanding risk of water court litigation that could have impaired the use of that water in the south end of the System. See "WATER SUPPLIES – Enhancement of Water Supplies and Storage" and "CAPITAL IMPROVEMENTS – Largest Projects."

The WISE Partnership. The Water, Infrastructure, and Supply Efficiency ("WISE") Partnership is a cooperative regional water supply project between Denver Water, Aurora Water, and the South Metro Water Supply Authority ("South Metro"). WISE combines excess infrastructure capacity with excess water supplies to create a new permanent water supply. As-available excess water supplies from Denver and Aurora will be diverted into as-available excess capacity in Aurora's Prairie Waters System. The supply will then be treated at Aurora's Binney Treatment Plant and delivered to South Metro and Denver Water through an existing pipeline owned by South Metro and Denver Water.

The excess water supplies and infrastructure capacities are highly variable, and therefore deliveries will vary from year to year. Permanent agreements are in place to provide a guaranteed volume of water to South Metro each decade and to allow Denver Water to take delivery of its water supplies through the Prairie Waters System when needed. Connecting infrastructure is currently being built, and WISE water deliveries will begin in 2017. WISE is unique in Colorado and has been supported by a wide range of interests including the Governor of Colorado, the Colorado River Water Conservation District and environmental groups.

Arvada Intergovernmental Agreement. Denver Water and the City of Arvada ("Arvada") entered into an intergovernmental agreement in 1999 to permit Arvada to participate in the financing of future water supply projects to expand the Board's Moffat Collection System (including the current Gross Reservoir Expansion Project) for a maximum amount of 3,000 acre-feet of contingent water.

In 2013, the Board entered into a financing agreement with Arvada for contingent water from the Gross Reservoir Expansion Project. Arvada will be required to pay a capital charge in the form of its proportionate share of the cost to mitigate, permit, design and construct the enlargement of Gross Reservoir Dam and a raw water capacity charge of $11,274 per acre-foot. Capital charge payments and the raw water charge payments totaling approximately $37.5 million have been deposited into an interest bearing escrow account by Arvada.

The funds in the capital charge account are to be paid to Denver Water within 30 days from issuance of the Section 404 permit from the Army Corps of Engineers authorizing the Gross Reservoir Expansion Project. The monies in the raw water capacity charge account will be paid in 20 consecutive calendar quarters beginning the first quarter after a notice to proceed for construction has been issued by the Board. The design of the Gross Reservoir Expansion Project may start as soon as 2017, with site development and quarry development in 2019, dam construction beginning in 2021 and the project ready to store water by 2026 (contingent on the receipt of all project permits).

Environmental Stewardship and Sustainability

Denver Water collects, stores, treats and distributes water to meet the needs of over 1.4 million customers in the Denver metropolitan area. As a result, Denver Water's environmental footprint across Colorado is significant. Denver Water has taken a leadership role in understanding and promoting sustainability in the State and in water utility planning, through continued environmental stewardship. Environmental stewardship is one of the key priorities of the Denver Water's Strategic Plan. Guiding principles for an Environmental Stewardship Statement executed in 2016 by Denver Water's Chief Executive Officer include adherence to best practices and performance standards in environmental sustainability, dedication to sustainable growth and operation of its assets, and leading by example in order to share experience and expertise. Examples of activities fostering Denver Water's commitment to sustainability include:

- Strengthening the health of Colorado's rivers and streams – through the Colorado River Cooperative Agreement, which aims to ensure more water in the Fraser and Blue Rivers in dry years, fund multiple water improvement and stream restoration efforts and improve or change stream channels to strengthen aquatic habitat.

- Generating clean, renewable energy – through seven hydroelectric plants in Denver Water's system, which generated more than 67 million kilowatt hours of energy in 2016, more than enough to power all of Denver Water's facilities, from pump stations to treatment plants.

- Protecting endangered species – through participation in the Colorado River Recovery Program and the Platte River Recovery Implementation Program.

- Protecting watersheds – through partnerships with the U.S. Forest Service to restore forest health on more than 38,000 acres of forest land and working with multiple federal agencies and other Front Range water providers to identify and prioritize at-risk watersheds.

- Using water efficiently – through water conservation campaign, as well as capturing reusable water and using it for water exchanges or in the recycling plant.

- Tracking Denver Water's greenhouse gas footprint – through participation in the Climate Registry since 2008.

- Reducing waste - through materials recycling, composting, efficient lighting upgrades at Denver Water's facilities and investigating ways to reduce vehicle idling and water evaporation loss.

- Developing environmental management systems for treatment plants and the Water Quality Laboratory in 2016,

- Integrating environmental considerations into daily operations and helping to identify and track progress toward sustainability goals.

- Hiring a Sustainability Manager in 2016 who is currently working on Denver Water's first sustainability plan.

Denver Water's efforts in the area of sustainability and environmental stewardship have been recognized through multiple awards, such as the Silver Partner Award as part of the State's Environmental Leadership Program, for outstanding environmental achievements and a commitment to continual improvement (2016), multiple EPA WaterSense Excellence Awards (2015, 2014), Trout Unlimited River Stewardship Honoree for advances in water conservation and watershed stewardship, and working with conservation groups to improve conditions on the Colorado River through the "Learning by Doing" partnership (2016), Global Water Award for water performance initiative of the Year (2015) and the Association of Municipal Water Agencies' Platinum Award for Utility Excellence (2015).

Capital Improvements

General. For planning purposes, Denver Water classifies capital expenditures by the system that they support. Currently, there are six capital systems, four of which characterize Denver Water's primary function of delivering quality water to its customers and two of which support service functions. The systems are: Collection, Distribution, Expansion, Operations Support, Treatment and Information Technology. Each system is further broken up by programs that specify unique activities and work that can be measured against key operational metrics. Expansion includes supply development and downstream reservoir programs. Collection programs are dams and reservoirs, the Treatment system is made up of the water treatment plants, and the Distribution system includes the main replacements, vaults, and conduit programs. The remaining two systems, Operations Support and Information Technology, provide services such as fleet, metal shop work, warehousing, and technology infrastructure to the organization. Capital expenditures are prioritized across systems to ensure alignment with the Strategic Plan. Capital projects are financed through a combination of participation receipts (payments for capacity in specific facilities owned by Denver Water to serve specific groups of customers), System Development Charges, reimbursements for relocations of water facilities as a result of highway and other construction, bond proceeds, reserves and other sources.

2017 Capital Budget. The 2017 capital budget includes total capital expenditures of $184.8 million. Approximately $8.7 million of these capital expenditures are projected to be paid by developers and others in the Denver metropolitan area through participation receipts. The categorization of capital projects in the budget may differ in certain respects from that used in the capital improvement plan discussed below as the long term financial plan categorizes capital projects at a much higher level than budget.

Some of the larger projects in the 2017 capital budget include Operations Complex Redevelopment project ($44.5 million), replacement of Hillcrest tanks ($26.8 million), Northwater Treatment Plant upgrades ($11.7 million), Conduit 16 and 22 replacement ($10.2 million), development of Lupton Lakes ($7.8 million), Downstream Reservoir – North Complex EI&C ($5.8 million),

replacement of storage reservoirs at Ashland ($4.4 million) and Antero Reservoir rehabilitation ($3.5 million). The remaining $70.1 million is projected to be spent on numerous small projects for improvements and replacements to facilities, equipment, conduits, hydrants, vaults, mains and pump stations, and reservoir rehabilitation.

A summary of the capital improvements plan for the next five years is set forth in the following table.

Denver Water 2017-2021 Capital Budget and Capital Improvement Plan
(amounts expressed in thousands)[1]

	2017	2018	2019	2020	2021	Total
Capital by System						
Collection	$ 16,068	$38,047	$50,046	$ 69,759	$92,949	$266,869
Distribution	76,759	98,070	91,113	74,000	42,200	382,142
Expansion	15,293	11,444	40,181	34,847	17,765	119,530
Information Technology	6,446	1,259	1,411	1,355	2,358	12,829
Operations Support	52,884	71,126	71,905	27,135	10,542	233,592
Treatment	17,375	28,918	76,281	90,807	120,166	333,547
Total Capital Program	**$184,826**	**$248,863**	**$ 330,937**	**$297,903**	**$285,980**	**$1,348,509**
Less						
Reimbursements -Cooperative Projects	$211	$ 211	$ 150	$150	$ 150	$ 872
Participation Receipts [2]	8,531	11,230	9,132	13,905	18,414	61,212
Total	**$8,742**	**$11,441**	**$ 9,282**	**$14,055**	**$18,564**	**$62,084**
Total Capital Program Minus Reimbursements	**$176,084**	**$237,422**	**$321,655**	**$283,848**	**$267,416**	**$1,286,425**

(1) Figures may not total due to rounding.
(2) Payments for capacity in specific facilities owned by Denver Water to serve specific groups of customers.

Largest Projects. The largest projects for the years 2017 through 2021 in the schedule above include the replacement of the Moffat Water Treatment Plant (Northwater Treatment Plant Upgrades), the redevelopment of Denver Water's operation complex, the replacement of Hillcrest tanks and pump station, the replacement of Conduit 16, and the Gross Reservoir Expansion Project (formerly the Moffat Collection System Project).

The Moffat Water Treatment Plant began operations in 1938. The plant contained 10 rapid sand filters with a total filtration capacity of 50 million gallons a day ("MGD"). The plant was enlarged in 1955 and again in 1974 adding 18 rapid sand filters and an additional 135 MGD in capacity for a total of 185 MGD. Because the Plant is coming to the end of its useful life, studies were conducted to evaluate renovating the existing plant or constructing a new plant at Ralston Reservoir. The most recent study determined there are more risks associated with renovating the existing plant and the cost differential between the two options is not significant. Design work began in 2017 and construction of the Northwater Treatment Plant is expected to start in year 2018 and could take three to five years to complete. The current estimate to build a replacement treatment plant at Ralston Reservoir is $400 million, of which $277.7 million would be expended over the next 5 years.

The Operations Complex Redevelopment Project, consisting of the renovation and replacement of the existing buildings on 35 acres at Denver Water's main complex at 1600 W. 12th Avenue, will consolidate functions, increase energy efficiency, reduce maintenance costs and increase productivity. The original complex was developed in the early 1900's and has expanded over time to 15 buildings

including the administrative and operations functions. Construction activities on Phase I of the OCR project started in early 2016 for the new operations buildings, with completion anticipated in the summer of 2017. Design is in progress for Phase II, the administrative buildings and construction, is scheduled to commence in late 2017, with completion scheduled for the 1st quarter of 2020. Sustainability is a key factor in the redevelopment, as the complex has been designed to incorporate LEED® (Leadership in Energy & Environmental Design) certification, educational demonstrations of net zero energy and leading-edge concepts around the management of all water sources. The project is expected to cost $196 million, of which $152.2 million would be expended over the next 5 years. See "SOURCES AND USES OF FUNDS – The Series 2017 Projects – Green Bonds Projects."

Replacement of Hillcrest Tanks and Pump Station project will replace two existing 15 million gallon tanks with three 15 million gallon tanks and construct a replacement pump station with 115 MGD capacity connected to two pressure zones. Yard piping, valves, HVAC, electrical appurtenances, landscaping, and other site improvements will also be included. Construction started in March, 2016 and is scheduled to be completed by August, 2020. The project is expected to cost $102.0 million, of which $61.4 million is expected to be expended over the next 5 years.

Conduit 16 Replacement project will replace existing Conduit 16 between Ralston Reservoir and Moffat Treatment Plant with approximately 8.5 Miles of 84-Inch diameter welded steel pipeline. The aging 42 and 54-inch concrete pipelines are nearing the end of their useful lives. Additionally, the conduit will be upgraded to a portable water line to coincide with construction of the Northwater Treatment Plant. Construction of the conduit is anticipated to take approximately 3-4 years to complete. Design resumed in 2016, and construction will start in 2017 and take approximately 5 years to complete. The project is expected to cost approximately $86.4 million, all of which is expected to be expended over the next 5 years.

The Gross Reservoir Expansion Project would raise the elevation of the Gross Reservoir dam by 131 feet and increase the raw water storage capability of the dam by 72,000 acre-feet and the annual yield by 18,000 acre-feet. The additional capacity will mitigate possible supply shortages to the north end of the system during periods of severe drought and provide increased operational redundancy to the system. The project is currently estimated to cost $382 million, of which $174.3 million would be expended over the next 5 years. Site and quarry development could start as early as 2019, with dam construction beginning in 2021, and project completion expected by 2025, contingent on the timing of required federal, state and local permits.

FINANCIAL INFORMATION

Financial Policies

The Board establishes financial policies that constitute the basic framework for the financial management of Denver Water. These policies serve as a foundation for long-term financial planning and annual budgeting and support one of the Board's strategic objectives of financial strength and stability. The major financial policies govern cash reserves, investments, debt issuance, post-issuance debt compliance and pension funding and are summarized below.

The Cash Reserve Policy allows the Board to maintain adequate flexibility in terms of cash balances while maintaining sufficient reserves as required from a legal or operational perspective. The Cash Reserve Policy contains descriptions of reserve types, target levels, events or conditions prompting the use of the reserves and indicates periodic review dates for balances. Additionally, Cash Reserve Guidelines are used during the financial planning process. These guidelines outline detailed target reserve formulas and summarize reserve guidelines from rating agencies and/or industry standards to be

used as benchmarks during the financial planning process. Current guidelines include reserves sufficient to provide 25% of the next year's operating costs, the greater of average annual depreciation cost and 2% of current total capital assets (before depreciation) for replacement capital and equipment purchases, 50% of expected annual debt service for the year following the budget year and an exposure reserve of $10 million.

The Investment Policy applies to all monetary assets of the Water Works fund used by the Board as an operating fund or a reserve fund. The policy identifies the governing authority the investments must conform with, the investment objectives related to safety, liquidity and yield, the standards of care, safekeeping and custody, authorized brokers and dealers and internal control requirements.

The Debt Management Policy summarizes the objectives and practices of debt management to ensure Denver Water has the ability to repay its debt obligations, is able to maintain appropriate levels of financial flexibility, seek optimal financing options for capital and manage interest rate risk while maintaining Denver Water's credit rating. The policy provides guidelines on the type of expenditures that are appropriate for debt financing and establishes general debt guidelines. In general, debt may be used to fund capital improvements and to refund existing debt.

The objective of the Post-Issuance Debt Compliance Policy is to ensure compliance with federal tax law with regard to the Board's debt. The Policy assigns the responsibility for monitoring compliance and maintaining records. Additionally, it authorizes the retention of rebate analysts and other professionals to file necessary tax forms.

The objective of the Pension Funding Policy is to create sustainable funding of the Employees' Retirement Plan by providing sufficient assets to pay all benefits promised under the Plan and by minimizing the volatility of contribution payments from year to year. The policy also establishes funding guidelines and summarizes main actuarial methods used to estimate plan liabilities. See "RETIREMENT AND PENSION MATTERS."

Sources of Revenue

Denver Water derives revenue from the following sources:

Water Sales. Operating revenues are generated from sales of water to customers. These revenues are used to pay for normal operation and maintenance, replacement of facilities, plant additions and debt service. Approximately 56% of 2016 billed treated water sales revenue was derived from outside the City, although only approximately 48% of customers are located outside the City. Water provided to outside City customers is billed at a higher rate than inside City customers. See also "THE SYSTEM – Rate Structure" and Appendix D – System Information, Rate Schedules and Water Supply.

Hydropower Receipts. Hydropower receipts are receipts from the sale of surplus power provided by seven generating facilities in the System. The Board has contracts with local energy companies to purchase energy for the System and sell surplus energy generated back to these companies. The energy generated substantially offsets the energy purchased, limiting the Board's exposure to future increases in energy purchases.

Nonoperating Receipts. Nonoperating receipts are derived from payments for services rendered by Denver Water such as ditch assessments for delivery of nonpotable water for irrigation, main inspections, installation of taps, the calculation and mailing of sewer bills, rents on Denver Water facilities and other such services.

System Development Charges. System Development Charges are tap fees for new connections to the Denver Water System that represent the value of the capacity used by the new customer. See also "THE SYSTEM – Water Supplies," "THE SYSTEM – Rate Structure" and Appendix D – System Information, Rate Schedules and Water Supply.

Participation Receipts. Participation receipts consist of payments for capacity in specific facilities owned by Denver Water to serve specific groups of customers. These can be in the form of cash or in-kind contributions.

Reimbursements and Grants. Reimbursements and grants consist of reimbursements from other entities for costs incurred by the Board for jointly financed or operated projects, and grants from the EPA and other governmental agencies for various projects.

Interest on Investments. Denver Water's investment portfolio is designed to meet daily and annual needs for cash, as well as longer term needs such as exposure reserves and future capital projects. The majority of the portfolio is invested in highly rated short-term instruments, but may also include investment grade corporate bonds and government securities. The maximum maturity of any investment is five years. The portfolio is accounted for in accordance with Government Accounting Standards Board Statement No. 72 *Fair Value Measurement and Application*.

Other. Other receipts consist of reimbursements for the relocation of mains and fire hydrants, proceeds from the sale of surplus assets, employee payments for health and dental insurance and minor items not included elsewhere.

Historical Financial Operations

Set forth in the following table are comparative operating statements of the System for the past five years presented in accordance with accounting principles generally accepted in the United States of America ("GAAP") applicable to governmental entities. The information in the table should be read together with the 2016 audited financial statements appended to this Official Statement. Preceding years' annual financial statements may be obtained upon request directed to the Board or the Financial Advisor. See also "DEBT STRUCTURE – Historical and Budgeted Net Revenue and Debt Service Coverage," "THE SYSTEM – Capital Improvements" and "– Sources of Revenue" in this section.

Water Works Fund

Operating Revenues:	**2012**	**2013**	**2014[1]**	**2015**	**2016**
Water	$271,575	$230,482	$239,288	$241,836	$273,238
Power Generation and Other	12,764	12,141	11,380	10,224	11,216
Total Operating Revenues	$284,339	$242,623	$250,668	$252,060	$284,454
Operating Expenses:					
Source of Supply, Pumping, Treatment and Distribution	75,846	68,722	83,091	75,972	82,418
General and Administration	66,433	81,494	85,347	81,994	103,380
Customer Service	13,929	12,894	10,851	9,962	11,370
Depreciation and Amortization	46,363	45,805	45,772	47,897	50,352
Total Operating Expenses	202,571	208,915	225,061	215,825	247,520
Operating income:	81,768	33,708	25,607	36,235	36,934
Nonoperating Revenues (expenses)					
Investment Income	1,451	1,488	1,552	1,479	1,603
Interest Expense, Less Capitalized Interest	(14,217)	(13,602)	(12,664)	(13,049)	(11,446)
Loss on Disposition of Cap Assets	(4,331)	(2,171)	(5,394)	(4,720)	(6,348)
Other Income	5,882	6,606	6,143	5,595	7,426
Other Expense	(2,164)	(2,939)	(2,252)	(2,499)	(1,861)
Total nonoperating expenses, net	(13,379)	(10,618)	(12,615)	(13,194)	(10,626)
Income (loss) before capital contributions	68,389	23,090	12,992	23,041	26,308
Capital Contributions					
Contributions in Aid of Construction	17,163	21,424	23,190	33,256	22,147
System Development Charges	19,543	34,461	32,736	36,109	38,962
Total Capital Contributions	36,706	55,885	55,926	69,365	61,109
Increase in Net Assets	105,095	78,975	68,918	92,406	87,417
Net Assets, Beginning of Year	1,638,058	1,743,153	1,822,128	1,825,624	1,918,030
2014 Adjustment[2]	--	--	(65,422)	--	--
Net Assets, End of Year	$1,743,153	$1,822,128	$1,825,629	$1,918,030	$2,005,447

(1) Operating expenses in 2014 were restated to reflect a $6.2 million reduction in pension expenses as a result of implementation of GASB Statement No. 68 and GASB Statement No. 71.

(2) Cumulative effect of GASB 68 implementation.

Management's Discussion and Analysis

A narrative overview and analysis by management of the financial activities of the Board for 2016 and 2015 is included as part of the 2016 Audited Financial Statements of the Board appended to this Official Statement.

Budgets

The CEO/Manager, along with the executive team, provides organizational guidance consistent with Denver Water's strategic plan priorities for the development of the annual budget in the context of a long-range financial plan. The financial plan incorporates the results of the IRP and long-range capital planning and is reviewed with the Board prior to the annual budget process. The proposed budget is submitted to the Board annually for approval. Revisions to the approved budget may occur during the Fiscal Year due to unanticipated expenditures and receipts. These mid-year adjustments require executive level approval (and depending on the amount of the adjustment, approval by the Board) in accordance with established spending authorities.

2016-2017 Budget Summary and Comparison. Set forth below is a summary of Denver Water's 2017 budget compared to the 2016 budget and actual year to date financial results. The 2016 actual numbers are different than the 2016 numbers provided in the foregoing table captioned Water Works Fund since the foregoing table is presented in conformance with GAAP and the following table is presented on a budgetary basis.

Water Works Fund Receipts and Expenditures 2016-2017
(Budgetary Basis)
(amounts expressed in thousands)

	2016 Budget	2016 Actual	2017 Budget
Beginning Investment Balance	$240,889	$240,889	$287,394
Sources of Funds			
Operating	$273,112	$274,229	269,481
Nonoperating	11,254	4,215	5,435
Hydropower	4,528	4,009	4,607
System Development Charges	20,294	38,752	34,035
Participation, Reimbursement and Grants	8,129	2,335	0
Interest on Investments	2,260	1,638	848
Other	1,440	10,242	7,230
Subtotal	$321,017	$335,490	$321,636
Debt Proceeds	56,923	71,238	207,185
Total Sources of Funds	$377,940	$406,728	$528,821
Uses of Funds			
Operating Expenditures:			
Salaries	80,338	78,267	78,073
Benefits	38,592	34,432	45,415
Materials and Supplies	17,966	18,627	18,076
Utilities	10,410	9,218	9,258
Professional and Other Services	45,214	44,141	45,685
Conservation and Refunds	963	1,197	1,598
Other Expenditures	6,062	2,298	3,165
Total Operating Expenditures	$199,545	$188,180	$201,270
Capital Expenditures:			
Distribution	50,732	45,153	76,759
Treatment	6,264	9,584	17,375
Collection	20,255	20,406	16,068
Expansion	19,751	12,225	15,293
Operations Support	40,648	55,506	52,884
Information Technology	6,490	3,847	6,446
Total Capital	$144,139	$146,721	$184,825
Debt Service:	43,835	41,121	45,456
Total Uses of Funds	$387,519	$376,022	$431,551
Net Cash Flow	(9,579)	30,792	97,270
Ending Investment Balance	$231,310	$271,595	$384,664

RETIREMENT AND PENSION MATTERS

Employees' Retirement Plan

The Employees' Retirement Plan of the Denver Board of Water Commissioners (the "Plan") is a single-employer defined benefit pension plan, sponsored and administered by the Board. The Plan provides retirement benefits with limited annual cost-of-living adjustments to retired members and, if elected by the member, to his or her surviving spouse. Members of the Plan include substantially all regular and discretionary full-time and part-time employees of the Board. It also provides retirement service in the event of disability, and a $5,000 death benefit to retirees receiving annuity payments from the Plan. The Plan contains provisions regarding amendments, including a provision for employees voting on amendments in specifically described situations. The Plan, originally started in 1944, has been amended from time to time by the Board. The Plan issues a publicly available audited financial report that includes financial statements and required supplementary information. The report may be obtained by writing to: Treasurer, MC 210, Denver Water, 1600 West 12th Avenue, Denver, CO 80204-3412.

Net Pension Liability

The Net Pension Liability, (*i.e.*, the difference between the Total Pension Liability and the Pension Plan's Net Position or market value of assets) is shown for the last 4 years in the schedule below in accordance with Governmental Accounting Standards Board Statement No. 68, *Accounting and Financial Reporting for Pensions.* See Note 10 in the 2016 Audited Financial Statements included in APPENDIX C. The Net Pension Liability for the last four Fiscal Years are shown in the table below:

Schedule of the Net Pension Liability[(1)]

FY Ending December 31,	Total Pension Liability	Plan Net Position	Net Pension Liability	Plan Net Position as a % of Total Pension Liability
2016	$381,718,280	$314,417,000	$67,301,280	82.37%
2015	371,430,910	298,574,600	72,856,310	80.38
2014	348,593,869	302,339,000	46,254,869	86.73
2013	337,844,301	289,825,400	48,018,901	85.79

(1) Unaudited.

Actuarial Assumptions and Funding Policy

The Board's actuary performs valuation of the Plan on an annual basis, using actuarial assumptions and methods, and determines the annual contribution. The Board, acting under the advice of the actuary of the Plan, intends to make contributions to the Plan in such amounts and at such times as are required to maintain the Plan on a sound actuarial basis. The Board expects to continue such contributions to the Plan, but assumes no responsibility to do so and reserves the right to suspend, reduce, or permanently discontinue all contributions at any time, subject to the provision in the Plan.

In anticipation of accounting changes required by Statement 67 and Statement 68, the Board adopted a pension funding policy (the "Funding Policy") in 2013. The Funding Policy defines the objectives of the Board in funding the benefits to be paid by the Plan and outlines the strategy the Board will use to determine the contributions needed to achieve those objectives. In years 2013 and earlier the Board determined pension funding based on the actuarial calculation of the Annual Required Contribution ("ARC"). Under the revised policy the pension funding is based upon the Annual Determined

Contribution ("ADC") calculated annually, which separates funding decisions from accounting methods. The ADC is determined using the actuarial cost method, the actuarial asset valuation method, and the amortization of unfunded liability.

The actuarial cost method allocates pension costs and contributions over an employee's working career, with the goal of fully funding pension benefits by the expected retirement date and keeping contributions relatively stable. The Board uses the entry age normal actuarial cost method to meet these objectives.

The actuarial asset valuation method values assets with a smoothing method over a 3-year period. It is used to recognize gains and losses in Plan assets over a period of time to help reduce the effects of market volatility and provide stability to contributions.

The goal of amortization of the unfunded liability is to achieve full funding over a period of time that matches the employee demographics while minimizing contribution volatility. The Plan currently has an Unfunded Actuarial Accrued Liability ("UAAL") which means the accrued employee benefits are not fully covered by the actuarial value of Plan assets. The UAAL is amortized in level dollar amounts over 15 years on a layered basis, which more closely reflects the average period of active service of Plan members.

The actuarial methods and assumptions used to determine the ADC are evaluated for reasonableness by the Board's actuary during the annual valuation of the Plan. Changes to such methods and assumptions, if deemed necessary, are presented to the Board for their approval.

Effective with the funding valuation as of January 1, 2015, the long-term expected rate of return on pension plan investments was changed from 7.50% to 7.25% and the actuarial assumptions were updated based on an experience study performed in 2015. Assumptions related to inflation, mortality, retirement patterns and salary were also changed.

In August 2016, the Board approved a change to the expected rate of return on investments from 7.25% to 7.0% and the adoption of the fully generational mortality table RP 2014 with projection scale MP 2015. The updated assumptions reflect the long term return expectations as well as longer life expectancy and are effective January 1, 2017.

Funding Progress

Like other pension plans nationally, the Plan experienced significant market loss during 2008 and the funded ratio dropped from 92.9% to 72.7%. As a result, the Board's annual contribution to the Plan increased significantly starting in 2009. The Board has continued to contribute the ADC each year. In fact, the contributions in the last five years have been higher than the ADC to ensure actuarial soundness of the Plan. Provided below is the history of contributions for the last five Fiscal Years:

History of Contributions

Fiscal Year Ended December 31,	Actuarially Determined Contribution (ADC)	Actual Contribution	Percentage of ADC Contributed
2016	$14,016,685	$14,500,000	103%
2015	14,067,795	14,500,000	103
2014	13,523,013	14,500,000	107
2013	11,957,548	15,000,000	125
2012	12,256,238	14,300,000	117

As of January 1, 2016, the most recent actuarial valuation date, the plan was 84.9% funded. The actuarial accrued liability for benefits was $368.1 million, and the actuarial value of assets was $312.4 million, resulting in a UAAL of $55.7 million. Provided below is a schedule of funding progress for the last five Fiscal Years:

Schedule of Funding Progress

Actuarial Valuation Date January 1	Actuarial Valuation of Assets	Actuarial Accrued Liability (AAL)	Unfunded AAL (UAAL)	Funded Ratio	Covered Payroll	UAAL as a Percentage of Covered Payroll
2016	$312,384,696	$368,083,104	$55,698,408	84.9%	$75,740,030	73.5%
2015	297,670,643	359,547,717	61,877,074	82.8	75,990,457	81.4
2014	272,829,275	337,844,301	65,015,026	80.8	71,847,268	90.5
2013	252,919,993	320,604,799	67,684,806	78.9	71,940,163	94.1
2012	238,384,139	311,443,403	73,059,264	76.5	71,172,362	102.7

In December, 2016, the Board approved changes to the pension plan. The changes require employees to contribute to the pension plan, commencing in 2018. Employees hired prior to January 1, 2018 will contribute 3% of their compensation that would be phased in over three years beginning in 2018. In addition, the Board created a second tier plan for new employees hired on or after January 1, 2018 with mandatory employee contributions of 3% of their compensation beginning immediately upon hire, a benefit multiplier of 1.75%, special early retirement benefits under the rule of 85 at a minimum age of 60, and no cost of living adjustment. These changes are expected to lower long term liability and help keep the Board's annual contribution stable.

Other Postemployment Benefits

The Board provides other postemployment benefits ("OPEB") as follows:

Postemployment Healthcare Benefits. For employees hired before January 16, 2012, the Board provides a postemployment healthcare subsidy through a single-employer, defined benefit plan. The benefit is in the form of partially subsidized health care costs, until the retiree attains age 65. The benefit is provided through the Board's self-insured health plan to employees and dependents meeting the eligibility requirements and retiring under the Special Early Retirement (Rule of 75) provision of the Board's defined benefit pension plan. Benefits are available to only those taking an immediate distribution of pension benefits, and being covered as an employee or dependent under the employee healthcare plan, at the time of retirement. The subsidy is separate from the Board's defined benefit retirement plan and is not paid out of retirement plan funds.

Funded Status and Funding Progress. The Board is not required to establish an irrevocable trust fund to accumulate assets for payment of future OPEB benefits and has elected not to do so. Payments of OPEB benefits are made on a "pay-as-you-go" basis in amounts necessary to provide current benefits to recipients. The Board approved changes in the eligibility requirements for Postemployment Healthcare Benefits in 2013. The minimum eligible age changed from 55 to 60 years while the Rule of 75 remained intact, converting it to a maximum five year benefit. Certain employees, who had completed 25 years of service as of the end of 2013, retained the right to receive subsidy, available at the time of their retirement, if retired under the Rule of 75, but before reaching age 65. This change significantly lowered the total long term liability related to Postemployment Healthcare Benefits. As of January 1, 2015, the actuarial accrued liability for benefits was $19.2 million, and the actuarial value of assets was $0, resulting in an unfunded actuarial accrued liability of $19.2 million. The OPEB liability reflected on

the Board's 2016 financial statements is $10.1 million. This amount is the accumulation of the difference between the annual actuarially required contribution and the actual amounts paid for OPEB benefits and is recorded in accordance with the requirements of GASB 45.

DEBT STRUCTURE

Denver Water as an Enterprise

Denver Water is an "enterprise" of the City within the meaning of Article X, Section 20 of the State Constitution, referred to therein as the "Taxpayers Bill of Rights" and commonly known as "TABOR," the effect of which is to exempt the Board from the restrictions and limitations otherwise applicable to the City under such constitutional provision. "Enterprises" are defined in TABOR as government-owned businesses authorized to issue their own revenue bonds and receiving less than 10% of their annual revenues in grants from all State and local governments combined. The constitutional provision contemplates that qualification as an "enterprise" is to be determined on an annual basis. The Board regards the possibility that it might be disqualified as an "enterprise" to be remote.

Outstanding Bonds and Other Obligations

Authority. As amended by City's voters at the November 5, 2002 election, the Charter authorizes the Board to issue only revenue bonds without prior voter approval. Prior to this amendment, the Board was authorized to issue both general obligation bonds and revenue bonds, in either case subject to prior approval of the City's electorate except for certain refunding bonds. There are no longer any general obligation bonds outstanding. Denver Water has no legal debt limits. However, the Board has adopted a debt policy to direct the timing and use of debt.

Outstanding Bonds. The following table sets forth the Parity Bonds that will be outstanding upon issuance of the Series 2017 Bonds.

Outstanding Parity Bonds

Issue	Principal Balance
Series 2007A	$22,675,000
Series 2008A	720,000
Series 2009A	44,000,000
Series 2010B	90,000,000
Series 2012A	36,555,000
Series 2012B	40,010,000
Series 2014A	46,395,000
Series 2016A	94,755,000
Series 2016B	63,470,000
Series 2017A	142,665,000
Series 2017B	41,765,000
Total Bonds	$623,010,000

Capital Lease. The Board entered into a capital lease agreement with the Colorado River Water Conservation District ("CRWCD") whereby the CRWCD was required to construct Ritschard Dam and Wolford Mountain Reservoir ("Wolford"). In consideration for an initial payment to CRWCD of $2.4 million and semiannual capital lease payments of $1.5 million for 27 years beginning in 1992 and ending in 2020, Denver Water receives 15,000 acre-feet of water per year from the reservoir. At the end of the lease the CRWCD will convey ownership of 40% of the capacity and 40% of the water right (but not of the land or structures) of Wolford to Denver Water. After the term of the lease, Denver Water is required to pay 40% of the operation and maintenance costs for the reservoir. As of the date of this Official Statement, total remaining minimum lease payments under the lease are $8.0 million, including interest. See also Note 7 to the 2016 Audited Financial Statements of the Board appended to this Official Statement and " – Debt Service Requirements" below. The CRWCD Capital Lease is not included in the definition of Parity Bonds under the Bond Resolution and does not have a lien on the Net Revenue.

Subordinate Line of Credit. The Board entered into the subordinate 2013 Line of Credit in an amount not to exceed $30 million with Bank of America, N.A. (the "Bank") in 2013. Upon request of the Board, the Bank can at its discretion increase the subordinate 2013 Line of Credit to $50 million. The Bank has a lien on the Net Revenue that is subordinate to the lien on the Net Revenue granted to the Parity Bonds. The 2013 Line of Credit currently terminates on November 15, 2018. The Board may make draws from time to time to finance capital improvements with the intent to be paid down with subsequent non-revolving bond issuances. As of the date of this Official Statement, no principal is outstanding on the line of credit. See "RELATIONSHIP OF CERTAIN PARTIES."

Debt Service Requirements

Set forth in the following table are the future Debt Service Requirements (as defined in "APPENDIX A – Glossary of Terms") with respect to the Series 2017 Bonds and other obligations of the Board that are payable from Net Revenue or other revenues of the System. These other obligations include the Outstanding Parity Bonds and the Board's outstanding capital lease for facilities and equipment. See also "SECURITY AND FLOW OF FUNDS – Additional Obligations Payable from the Net Revenue," "– Rate Covenants" and "DEBT STRUCTURE – Outstanding Bonds and Other Obligations."

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The Debt Service Requirements presented in the table are as of the date the Series 2017 Bonds are issued (the "Issue Date") and are presented with respect to the principal amount of such obligations that will be outstanding as of the Issue Date.

Debt Service Requirements for the Series 2017 Bonds
and Other Outstanding Financial Obligations
with a Parity Lien on Net Revenue or Payable from Other Revenue of the System[1]

	Series 2017 Bonds					
Year	**Principal**	**Interest**	**Total**	**Outstanding Parity Bonds[2]**	**Capital Lease[3]**	**Total Debt Service**
2017	--	$2,562,595	$2,562,595	$38,047,022	$3,000,000	$43,609,617
2018	--	8,236,912	8,236,912	37,470,037	3,000,000	48,706,949
2019	--	8,236,912	8,236,912	36,003,555	3,000,000	47,240,467
2020	$2,285,000	8,236,912	10,521,912	31,914,580	1,500,000	43,936,490
2021	2,395,000	8,122,662	10,517,662	31,873,355	--	42,391,017
2022	2,515,000	8,002,912	10,517,912	30,776,350	--	41,294,262
2023	2,615,000	7,902,312	10,517,312	30,766,680	--	41,283,992
2024	2,750,000	7,771,562	10,521,562	25,294,867	--	35,816,429
2025	2,885,000	7,689,062	10,574,062	24,949,717	--	35,523,779
2026	3,030,000	7,544,812	10,574,812	24,897,527	--	35,472,339
2027	3,180,000	7,393,312	10,573,312	24,846,607	--	35,419,919
2028	3,275,000	7,234,312	10,509,312	24,790,417	--	35,299,729
2029	3,410,000	7,103,312	10,513,312	23,870,938	--	34,384,250
2030	3,580,000	6,932,812	10,512,812	24,357,126	--	34,869,938
2031	3,760,000	6,753,812	10,513,812	24,393,708	--	34,907,520
2032	3,945,000	6,565,812	10,510,812	24,412,758	--	34,923,570
2033	4,065,000	6,447,462	10,512,462	24,439,283	--	34,951,745
2034	4,265,000	6,244,212	10,509,212	23,913,121	--	34,422,333
2035	4,480,000	6,030,962	10,510,962	23,857,651	--	34,368,613
2036	4,630,000	5,879,762	10,509,762	23,788,833	--	34,298,595
2037	4,790,000	5,723,500	10,513,500	23,725,090	--	34,238,590
2038	10,210,000	5,555,850	15,765,850	17,710,270	--	33,476,120
2039	9,500,000	5,176,500	14,676,500	17,586,920	--	32,263,420
2040	11,265,000	4,796,500	16,061,500	14,519,278	--	30,580,778
2041	11,475,000	4,345,900	15,820,900	14,261,850	--	30,082,750
2042	11,935,000	3,886,900	15,821,900	14,153,350	--	29,975,250
2043	12,300,000	3,409,500	15,709,500	14,157,100	--	29,866,600
2044	13,000,000	2,794,500	15,794,500	14,153,200	--	29,947,700
2045	13,605,000	2,144,500	15,749,500	4,161,200	--	19,910,700
2046	14,285,000	1,464,250	15,749,250	--	--	15,749,250
2047	15,000,000	750,000	15,750,000	--	--	15,750,000
Total	$184,430,000	$180,940,332	$365,370,332	$689,092,390	$10,500,000	$1,064,962,720

(1) As of the Issue Date. Totals may not add due to rounding.
(2) The total debt service as presented in this table does not reflect any subsidy for Build America Bond credits for bonds issued in 2009 and 2010. As of December 31, 2016, the total projected subsidy to maturity of such bonds is approximately $33.3 million which amount is subject to change.
(3) Do not have a lien on Net Revenue.

Historical and Budgeted Net Revenue and Debt Service Coverage

The following table sets forth the Net Revenue collected, the debt service coverage for the Fiscal Years 2012 through 2016 and the budgeted Net Revenue and budgeted debt service coverage for 2017. These amounts have been determined in accordance with the Bond Resolution and are not intended to be a presentation in accordance with generally accepted accounting principles. Historical coverage levels are not intended to be a projection of future levels of debt service coverage on the Board's outstanding financial obligations. See also "FINANCIAL INFORMATION – Budgets – 2016-2017 Budget Summary and Comparison" for additional historical and budgeted information with respect to the Water Works Fund.

Historical and Budgeted Net Revenue and
Historical and Pro Forma Debt Service Coverage[1]
(amounts expressed in thousands, except coverage ratios)

	Actual					Budget
	2012	**2013**	**2014**	**2015**	**2016**	**2017**
Gross Revenues						
Total Operating Revenues	$284,339	$242,623	$250,668	$252,060	$284,454	$279,523
Proceeds from Disposition of Property, Plant and Equipment	581	337	285	1,117	2,143	--
Other Income	5,882	6,606	6,143	5,595	7,426	7,230
Interest Income	1,451	1,488	1,552	1,479	1,603	848
System Development Charges	19,543	34,461	32,736	36,109	38,752	34,035
Participation Receipts (cash portion)	1,297	4,834	6,384	8,713	2,335	-
Total Gross Revenue[2]	$313,093	$290,349	$297,768	$305,073	$336,713	$321,636
Operation and Maintenance Expenses						
Total Operating Expenses	202,571	208,915	225,061[6]	215,825	247,520	198,105
Other Expense	2,164	2,939	2,252	2,499	1,861	3,165
Less Depreciation and Amortization[7]	(46,363)	(45,805)	(45,772)	(47,897)	(50,352)	-
Total Operation and Maintenance	158,372	166,049	181,541	170,427	199,029	201,270
Net Revenue	$154,721	$124,300	$116,227	$134,646	$137,684	$120,366
Historical and 2016 Coverage Ratios[4]						
Required Debt Service[1][5]	$44,455	$46,220	$46,744	$47,919	$40,076	$45,456
Coverage Ratios	3.48x	2.69x	2.49x	2.81x	3.44x	2.65x
Pro Forma Coverage Ratios – After Issuance of Series 2017 Bonds[4]						
Combined Average Annual Debt Service	$35,134	$35,134	$35,134	$35,134	$35,134	$35,134
Coverage Ratios	4.40x	3.54x	3.31x	3.83x	3.92x	3.43x
Pro Forma Coverage Ratios – After Issuance of Series 2017 Bonds[4]						
Combined Maximum Annual Debt Service	$48,707	$48,707	$48,707	$48,707	$48,707	$48,707
Coverage Ratios	3.18x	2.55x	2.39x	2.76x	2.83x	2.47x

Footnotes on next page:

(1) This schedule reflects certain reclassifications to revenues and expenses made to prior years financial statements to conform to the current year financial statement.
(2) These amounts vary from amounts shown in the table captioned "Water Works Fund" due to accrual versus cash accounting methods.
(3) For purposes of this table, "Debt Service Requirements" includes Parity Bonds and the Capital Lease.
(4) All items computed as defined in the bond covenants. The rate maintenance covenant is 1.10; the additional bonds test is 1.20 times the average annual debt service.
(5) The Subordinate Line of Credit has a subordinate lien to the lien on Net Revenues given to the outstanding Parity Bonds and is not subject to the Bond Resolution debt service coverage covenant. Therefore actual debt service requirements do not include amounts paid on the Subordinate Line of Credit.
(6) Operating expenses in 2014 were restated to reflect a $6.2 million reduction in pension expenses as a result of implementation of GASB Statement No. 68 and GASB Statement No. 71.
(7) Depreciation expense was restated for all years shown to reflect amounts on the Statements of Revenue, Expenses, and Changes in Net Position. Prior to this change depreciation expense from Note 4 of the comprehensive annual financial reports was used.

Sources: Denver Water Comprehensive Annual Financial Reports for 2012-2016; 2017 Budget; Denver Water Treasury Section; and the Financial Advisor.

Risk Management

The Board is exposed to various risks of loss, including general liability (limited under the Colorado Governmental Immunity Act as discussed below) and property damage, as well as employee life, medical, dental and accident benefits. The Board has a risk management program that includes self-insurance for commercial general liability, workers' compensation, and employee medical and dental benefits. The Board's medical, dental and workers' compensation claims are administered by commercial claims servicers. Excessive health and workers' compensation insurance claims are limited by "stop-loss" insurance plan. The Board carries commercial property insurance for catastrophic losses, including floods and earthquakes, for its major facilities (the Westside Complex, the Marston Treatment Plant and Lab, the Moffat Treatment Plant, the Foothills Water Treatment Plant and the Recycled Water Treatment Plant) and for all pump stations. It carries limited insurance for other miscellaneous locations. The Board also carries commercial insurance for employee life, disability and accident.

LITIGATION

There is no litigation now pending or threatened, to the knowledge of Board officials responsible for the issuance of the Series 2017 Bonds, that questions the validity of the Series 2017 Bonds, the powers of the Board to authorize the issuance of the Series 2017 Bonds and to take other actions in connection therewith or of any proceedings of the Board taken with respect to the issuance or sale thereof.

TAX MATTERS

General

In the opinion of Bond Counsel for the Series 2017 Bonds, based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming continued compliance of the Board with certain covenants designed to meet the requirements of Section 103 of the Internal Revenue Code of 1986, as amended (the "Code"), interest on the Series 2017 Bonds will be excludible from gross income for federal income tax purposes. Bond Counsel is also of the opinion that interest on the Series 2017 Bonds will not be a specific item of tax preference under Section 57 of the Code for purposes of the federal individual or corporate alternative minimum taxes. Furthermore, Bond Counsel is of the opinion

that under existing law and to the extent interest on the Series 2017 Bonds is excluded from gross income for federal income tax purposes, such interest is not subject to income taxation by the State of Colorado.

A copy of the opinion of Bond Counsel is set forth in Appendix H – Form of Opinion of Bond Counsel.

The Code imposes various restrictions, conditions and requirements relating to the excludability from gross income for federal income tax purposes of interest on obligations such as the Series 2017 Bonds. The Board has covenanted to comply with certain restrictions designed to ensure that interest on the Series 2017 Bonds will not be includable in gross income for federal income tax purposes. Failure to comply with these covenants could result in interest on the Series 2017 Bonds being includable in income for federal income tax purposes and such inclusion could be required retroactively to the date of issuance of the Series 2017 Bonds. The opinion of Bond Counsel assumes compliance with these covenants. However, Bond Counsel has not undertaken to determine (or to inform any person) whether any actions taken (or not taken) or events occurring (or not occurring) after the date of issuance of the Series 2017 Bonds may adversely affect either the federal or the State of Colorado tax status of the Series 2017 Bonds.

Certain requirements and procedures contained or referred to in the Bond Resolution, the Tax Certificate and other relevant documents may be changed and certain actions (including, without limitation, defeasance of the Series 2017 Bonds) may be taken or omitted under the circumstances and subject to the terms and conditions set forth in such documents. Bond Counsel expresses no opinion as to any Series 2017 Bonds or the interest thereon if any such change occurs or action is taken or omitted upon the advice or approval of bond counsel other than Becker Stowe Partners LLC.

Although Bond Counsel is of the opinion that interest on the Series 2017 Bonds will be excludible from gross income for federal and State of Colorado income tax purposes, as further described above, the ownership or disposition of, or the accrual or receipt of interest on, the Series 2017 Bonds may otherwise affect an owner's federal, state or local tax liabilities. The nature and extent of these other tax consequences may depend upon the particular tax status of the owner or the owner's other items of income or deduction. Bond Counsel expresses no opinions regarding any tax consequences other than what is set forth in its opinion, and each owner or potential owner is urged to consult with a tax advisor with respect to the effects of purchasing, holding or disposing the Series 2017 Bonds on the tax liabilities of the individual or entity. For example, although Bond Counsel is of the opinion that interest on the Series 2017 Bonds will not be a specific item of tax preference for the federal alternative minimum tax, corporations are required to include all tax-exempt interest in determining "adjusted current earnings" under Section 56(c) of the Code, which may increase the amount of any alternative minimum tax owed by such corporation.

Receipt of tax-exempt interest, ownership or disposition of the Series 2017 Bonds may result in other collateral federal, state or local tax consequences for certain taxpayers. Such effects may include, without limitation, increasing the federal tax liability of certain foreign corporations subject to the branch profits tax imposed by Section 884 of the Code, increasing the federal tax liability of certain insurance companies, under Section 832 of the Code, increasing the federal tax liability and affecting the status of certain S Corporations subject to Sections 1362 and 1375 of the Code, increasing the federal tax liability of certain individual recipients of Social Security or Railroad Retirement benefits, under Section 86 of the Code and limiting the amount of the Earned Income Credit under Section 32 of the Code that might otherwise be available. Ownership of any Series 2017 Bonds may also result in the limitation of interest and certain other deductions for financial institutions and certain other taxpayers, pursuant to Section 265 of the Code. Finally, residence of the owner of Series 2017 Bonds in a state other than the State of Colorado or being subject to tax in a state other than the State of Colorado may result in income or other

tax liabilities being imposed by such states or their political subdivisions based on the interest or other income from the Series 2017 Bonds. See "– Changes in Federal and State Tax Law" below.

Original Issue Discount

Series 2017 Bonds that are being initially offered and sold to the public at a discount ("OID") from the amounts payable at maturity thereon are referred to under this heading as "Discount Bonds." OID is the excess of the stated redemption price of a bond at maturity (the face amount) over the "issue price" of such bond. The issue price is the initial offering price to the public (other than to bond houses, brokers or similar persons acting in the capacity of underwriters or wholesalers) at which a substantial amount of bonds of the same maturity are sold pursuant to that initial offering. For federal income tax purposes, OID on each bond will accrue over the term of the bond. The amount accrued will be based on a single rate of interest, compounded semiannually (the "yield to maturity") and, during each semiannual period, the amount will accrue ratably on a daily basis. The OID accrued during the period that an initial purchaser of a Discount Bond at its issue price owns it is added to the purchaser's tax basis for purposes of determining gain or loss at the maturity, redemption, sale or other disposition of that Discount Bond. In practical effect, accrued OID is treated as stated interest is treated, that is, as excludible from gross income for federal income tax purposes.

In addition, original issue discount that accrues in each year to an owner of a Discount Bond is included in the calculation of the distribution requirements of certain regulated investment companies and may result in some of the collateral federal income tax consequences discussed above. Consequently, owners of any Discount Bond should be aware that the accrual of original issue discount in each year may result in an alternative minimum tax liability, additional distribution requirements or other collateral federal income tax consequences although the owner of such Discount Bond has not received cash attributable to such original issue discount in such year.

Owners of Discount Bonds should consult their own tax advisors as to the treatment of OID and the tax consequences of the purchase of such Discount Bonds other than at the issue price during the initial public offering and as to the treatment of OID for state tax purposes.

Original Issue Premium

"Acquisition Premium" is the excess of the cost of a bond over the stated redemption price of such bond at maturity or, for bonds that have one or more earlier call dates, the amount payable at the next earliest call date. Series 2017 Bonds that are being offered and sold at a price of more than 100% ("Premium Bonds") are being initially offered and sold to the public with Acquisition Premium.

For federal income tax purposes, the amount of Acquisition Premium on the Premium Bonds must be amortized and will reduce the owner's adjusted basis in that Premium Bond. The amount of any Acquisition Premium paid on the Premium Bonds that must be amortized during any period will be based on the "constant yield" method, using the original owner's basis in such Premium Bonds and compounding semiannually. This amount is amortized ratably over that semiannual period on a daily basis. However, no amount of amortized Acquisition Premium on the Premium Bonds may be deducted in determining an owner's taxable income for federal income tax purposes.

If Premium Bonds are callable prior to their stated maturity, the required amortization period for the Acquisition Premium will depend on which call dates produces the greatest diminution in the yield to the owner. For Premium Bonds that are not callable prior to their stated maturity date, the maturity date will determine the amortization period.

Owners of any Premium Bonds, both original purchasers and any subsequent purchasers, should consult their own tax advisors as to the actual effect of any Acquisition Premium with respect to their own tax situation and as to the treatment of Acquisition Premium for state tax purposes.

Backup Withholding

Certain purchasers may be subject to backup withholding at the application rate determined by statute with respect to interest paid with respect to the Series 2017 Bonds if the purchasers, upon issuance, fail to supply the Paying Agent or their brokers with their taxpayer identification numbers, furnish incorrect taxpayer identification numbers, fail to report interest, dividends or other "reportable payments" (as defined in the Code) properly or, under certain circumstances, fail to provide the Paying Agent with a certified statement, under penalty of perjury, that they are not subject to backup withholding. Information returns will be sent annually to the Internal Revenue Service and to each purchaser setting forth the amount of interest paid with respect to the Series 2017 Bonds and the amount of tax withheld thereon.

Other State, Local or Foreign Taxation

Other than the description of the treatment of interest on the Series 2017 Bonds for purposes of State of Colorado income taxation, the Board makes no representations regarding the tax consequences of purchase, ownership or disposition of the Series 2017 Bonds under the tax laws of any other state, locality or foreign jurisdiction. Prospective investors should consult their own tax advisors regarding such tax consequences.

Changes in Federal and State Tax Law

From time to time legislative proposals are made in Congress and in the states, federal and state regulatory actions are announced or proposed and litigation is threatened or commenced that if enacted, implemented or resolved in a certain manner could alter or otherwise affect the federal or state tax matters discussed above or adversely affect the market value of the Series 2017 Bonds. It cannot be predicted how any future legislation, regulations or judicial decisions might affect the federal or state tax matters discussed above or the market value of the Series 2017 Bonds.

Purchasers of the Series 2017 Bonds should consult their tax advisors regarding any pending or proposed legislation, regulatory initiatives or litigation. The opinions expressed by Bond Counsel are based upon existing legislation and regulations as interpreted by relevant judicial and regulatory authorities as of the date of issuance and delivery of the Series 2017 Bonds, and Bond Counsel has expressed no opinion as of any date subsequent thereto or with respect to any pending legislation, regulatory initiatives or litigation.

CONTINUING DISCLOSURE UNDERTAKING

In connection with its issuance of the Series 2017 Bonds, the Board will execute the Disclosure Certificate, a form of which is attached as Appendix G hereto, under which it will agree for the benefit of the owners of Series 2017 Bonds to provide (i) within 270 days of completion of the Board's Fiscal Year certain financial information and operating data, and (ii) notice of the occurrence of certain specified events. See "INTRODUCTION – Continuing Disclosure Undertaking" and Appendix G – "Form of Continuing Disclosure Undertaking."

RATINGS

The Series 2017 Bonds have been assigned the ratings specified on the cover page hereof by Moody's Investors Service, Inc. ("Moody's"), Standard and Poor's Ratings Services, a division of The McGraw-Hill Companies, Inc. ("S&P"), and Fitch Ratings, Inc. ("Fitch"), respectively. Such ratings reflect only the views of the respective rating agencies, and do not constitute a recommendation to buy, sell or hold securities. Explanations of the significance of such ratings may be obtained from the rating agencies. The ratings are subject to revision or withdrawal at any time by the respective rating agency and there is no assurance that the ratings will continue for any period of time or that they will not be revised or withdrawn. The Board has undertaken no responsibility either to bring to the attention of the holders of the Bonds any proposed revision or withdrawal of the ratings of the Series 2017 Bonds or to oppose any such proposed revision or withdrawal. Any downward revision or withdrawal of such ratings could have an adverse effect on the market price of the Series 2017 Bonds.

FINANCIAL ADVISOR

George K. Baum & Company, Denver, Colorado, is serving as Financial Advisor to the Board with respect to the Series 2017 Bonds, and in such capacity has assisted in the preparation of this Official Statement and in other matters relating to the planning, structuring, rating and execution and delivery of the Series 2017 Bonds. However, the Financial Advisor has not undertaken either to make an independent verification of or to assume responsibility for the accuracy or completeness of the information contained in this Official Statement, nor is the Financial Advisor permitted to underwrite the Series 2017 Bonds.

UNDERWRITING

The underwriters on the cover of this Official Statement (the "Underwriters") have agreed to purchase (i) the Series 2017A Bonds from the Board at a purchase price of $160,346,097.43, representing the aggregate principal amount thereof ($142,665,000), less an underwriting discount of $328,816.22, plus original issue premium of $18,009,913.65, and (ii) the Series 2017B Bonds from the Board at a purchase price of $45,100,962.41, representing the aggregate principal amount thereof ($41,765,000), less an underwriting discount of $88,492.29, plus a net original issue premium of $3,424,454.70. Pursuant to a Bond Purchase Agreement by and between the Board and Merrill Lynch, Pierce, Fenner & Smith Incorporated, as representative of the Underwriters (the "Bond Purchase Agreement"), the Underwriters agree to accept delivery of and pay for all of the Series 2017 Bonds if any are delivered. The obligation to make such purchase is subject to certain terms and conditions set forth in the Bond Purchase Agreement, the approval of certain legal matters by counsel and other conditions.

The Underwriters and their respective affiliates are full service financial institutions engaged in various activities, which may include securities trading, commercial and investment banking, advisory, investment management, investment research, principal investment, hedging, financing, brokerage and other financial and non-financial services. Certain of the Underwriters and their respective affiliates have, from time to time, performed, and may in the future perform, a variety of these services for the Board, for which they received or will receive customary fees and expenses.

In the ordinary course of their various business activities, the Underwriters and their respective affiliates may make or hold a broad array of investments and actively trade debt and equity securities (or related derivative securities, which may include credit default swaps) and financial instruments (including bank loans) for their own account and for the accounts of their customers and may at any time hold long and short positions in such securities and instruments. Such investment and securities activities may involve securities and instruments of the Board.

The Underwriters and their respective affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire, long and/or short positions in such assets, securities and instruments.

Citigroup Global Markets Inc., an underwriter of the Series 2017 Bonds, has entered into a retail distribution agreement with UBS Financial Services Inc. ("UBSFS"). Under this distribution agreement, Citigroup Global Markets Inc. may distribute municipal securities to retail investors through the financial advisor network of UBSFS. As part of this arrangement, Citigroup Global Markets Inc. may compensate UBSFS for their selling efforts with respect to the Series 2017 Bonds.

RELATIONSHIP OF CERTAIN PARTIES

Bank of America, N.A. is the provider of Denver Water's 2013 Line of Credit. Merrill Lynch, Pierce, Fenner & Smith Incorporated is an underwriter with respect to the Bonds. Merrill Lynch, Pierce, Fenner & Smith Incorporated and Bank of America, N.A. are affiliated and are subsidiaries of Bank of America Corporation.

LEGAL MATTERS

Legal matters incident to the authorization and issuance of the Series 2017 Bonds are subject to approval by Becker Stowe Partners, LLC, Denver, Colorado, Bond Counsel for the Series 2017 Bonds, whose opinion is expected to be delivered in substantially the form included in this Official Statement as Appendix H.

INDEPENDENT AUDITORS

CliftonLarsonAllen LLP, Denver Water's independent auditor, has not been engaged to perform and has not performed, since the date of its report included herein, any procedures on the financial statements addressed in that report. CliftonLarsonAllen LLP also has not performed any procedures relating to this Official Statement.

MISCELLANEOUS

Any statements made in this Official Statement involving matters of opinion or estimates, whether or not expressly so stated, are set forth as such and not as representations of fact, and no representation is made that any such estimates will be realized. This Official Statement shall not be construed as a contract between the Board or the City and any person.

CITY AND COUNTY OF DENVER, COLORADO,
ACTING BY AND THROUGH ITS BOARD OF
WATER COMMISSIONERS

By: /s/ Angela C. Bricmont
Chief Finance Officer

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APPENDIX A

GLOSSARY OF TERMS

Set forth below are definitions of some of the terms used in this Official Statement and the Bond Resolution. Reference is hereby made to the provisions of the Bond Resolution for a complete recital of the terms defined therein, some of which are set forth below.

"Additional Parity Bonds" means Parity Bonds issued by the Board subsequent to the issuance of the Series 2017 Bonds and pursuant to the Bond Resolution.

"Beneficial Owner" means the beneficial owner of Parity Bonds registered in the name of a Depository or its nominee.

"Board" means the City and County of Denver, Colorado, Acting by and through its Board of Water Commissioners.

"Bond Counsel" means any firm of nationally recognized municipal bond attorneys selected by the Board and experienced in the issuance of municipal bonds and the excludability of interest thereon from gross income for federal income tax purposes.

"Bond Register" means the registration books for the Parity Bonds maintained by or on behalf of the Board by any Registrar.

"Bond Resolution" means the Master Bond Resolution, as supplemented and amended from time to time by the Supplemental Resolutions.

"Build America Bonds" means obligations issued pursuant to Section 54AA(d) of the Federal Tax Code.

"Business Day" means any "Business Day" as defined in any Supplemental Resolution, and with respect to the Series 2017 Bonds means any day, other than a Saturday or a Sunday or a day (a) on which banks located in the city in which the office of the Paying Agent is located are required or authorized by law or executive order to close, or (b) on which the Federal Reserve System is closed.

"Capital Improvements" means the acquisition of land, easements, facilities, water rights and equipment (other than ordinary repairs and replacements), and the construction or reconstruction of improvements, betterments and extensions, for use by or in connection with the System.

"Capital Improvements Lease Payments" means the principal and interest components of the annual lease payments due under any lease entered into by the Board, as lessee, in order to provide Capital Improvements.

"Capital Lease" means the capital lease entered into by the Board to finance facilities and equipment with the Colorado River Water Conservation District, dated March 3, 1987, as amended.

"Capital Project" means the acquisition, construction and installation of Capital Improvements to the System, as may be more fully described in any Supplemental Resolution.

"Charter" means the home rule charter of the City.

"Chief Finance Officer" means the Chief Finance Officer of the Board or the designee of the Chief Finance Officer.

"City" means the City and County of Denver, Colorado.

"Combined Average Annual Debt Service Requirements" means, with regard to any two or more particular issues of Securities, the aggregate of all Debt Service Requirements to become due from the date of computation to the date of maturity of the latest maturing obligation of such Securities, divided by the number of years between such dates. If any particular issue of Securities, including Commercial Paper Notes, has a single principal payment date and is issued as interim notes or Securities in anticipation of permanent financing, such principal amount is to be excluded from this computation.

"Commercial Bank" means a state or national bank or trust company which is a member of the Federal Deposit Insurance Corporation or of the Federal Reserve System, which has capital and surplus of $10,000,000 or more and which is located within the United States of America.

"Commercial Paper Notes" means any bonds or notes payable from and having an irrevocable lien upon all or a portion of the Net Revenue (a) with a stated maturity date that is not more than 270 days after the date of issuance thereof, and (b) are designated as Commercial Paper Notes in the resolution authorizing their issuance, but does not include any Credit Facility Obligations relating to such bonds or notes.

"Continuing Disclosure Undertaking" means the Continuing Disclosure Undertaking in substantially the form set forth in Appendix G.

"Credit Facility" means any letter or line of credit, policy of bond insurance, surety bond or guarantee or similar instrument (other than a Reserve Policy) issued by a financial, insurance or other institution and which specifically provides security, liquidity or both in respect of Securities payable from all or a portion of the Net Revenue.

"Credit Facility Obligations" means repayment or other obligations incurred by the Board in respect of draws or other payments or disbursements made under a Credit Facility.

"C.R.S." means the Colorado Revised Statutes, as amended and supplemented.

"Debt Service Requirements" means for any period, the amount required to pay the principal of, any optional redemption premium then due on, and interest on any designated Outstanding Securities during such period, provided that:

(a) the determination of the Debt Service Requirements of any Securities is to assume the redemption and payment of such Securities on any applicable mandatory Redemption Dates and not take into account any mandatory or optional tender for purchase provisions of any Securities;

(b) in any computation relating to the issuance of Parity Bonds, there is to be excluded from the computation of Debt Service Requirements any proceeds on deposit in a bond fund for such Securities constituting capitalized interest;

(c) for Variable Rate Bonds, such amount is to be calculated assuming that the Variable Rate Bonds bear interest during the related period as follows: (i) if the Variable Rate Bonds have been Outstanding for at least 12 months, assume that the Variable Rate Bonds bear interest at the higher of the actual rate borne by the Variable Rate Bonds on the date of calculation or the average rate borne by the

Variable Rate Bonds over the 12 months immediately preceding the date of calculation, and (ii) if the Variable Rate Bonds have been Outstanding for less than 12 months or are not yet Outstanding, assume that the Variable Rate Bonds bear interest at the higher of the actual rate borne by the Variable Rate Bonds on the date of calculation or (A) if interest on the Variable Rate Bonds is excludible from gross income under the applicable provisions of the Federal Tax Code, the average rate set forth on the SIFMA Index over the 12 months immediately preceding the date of calculation, or (B) if interest is not so excludible, the average rate on direct Federal Securities with maturities comparable to the rate reset period;

(d) for purposes of this calculation, if a Financial Products Agreement has been entered into by the Board with respect to any Parity Bonds, interest on such Parity Bonds is to be included in the calculation of such principal and interest by including, for the related period, an amount equal to the amount of interest payable on such Parity Bonds during such period determined as described in paragraph (c) above plus any Financial Products Payments payable in the related period minus any Financial Products Receipts receivable in such period, but, in no event may any calculation made as described in this paragraph (d) result in a number less than zero being included in the calculation of such interest;

(e) in determining the amount of any Financial Products Payments or Financial Products Receipts on any interest rate swaps or other similar Financial Products Agreement, which Financial Products Payments or Financial Products Receipts are based on interest rates that are not fixed in percentage for the entire term of the Financial Products Agreement, such amount is to be calculated by assuming such variable interest rate is a fixed interest rate equal to: (i) if the Financial Products Agreement relates to Variable Rate Bonds, the fixed rate of interest estimated for such Variable Rate Bonds as described above in paragraph (c); or (ii) if the Financial Products Agreement relates to the Securities that bear interest at a fixed interest rate, the average of the daily interest rate for such Financial Products Payments or Financial Products Receipts under such Financial Products Agreement during the 12 months preceding the calculation or during the time the Financial Products Agreement has been in effect if less than 12 months, and if such Financial Products Agreement is not then in effect, the variable interest rate is to be deemed to be a fixed interest rate equal to the average daily interest rate for such Financial Products Payments or Financial Products Receipts that would have been applicable if such Financial Products Agreement had been in effect for the preceding 12-month period, which average daily interest rate is to be set forth in a certificate of the Chief Finance Officer;

(f) in determining the amount of any Financial Products Payments or Financial Products Receipts on any interest rate swap, cap, floor, collar or other similar Financial Products Agreement with respect to Securities that are Variable Rate Bonds, such amount is to be calculated by assuming the interest rate on the related Variable Rate Bonds will be a fixed interest rate equal to the average of the daily interest rate on such Variable Rate Bonds during the 12 months preceding the calculation or during the time the Variable Rate Bonds are Outstanding if less than 12 months, and if such Variable Rate Bonds are not at the time of calculation Outstanding, the variable interest rate is to be deemed to be a fixed interest rate equal to the average daily interest rate which such Variable Rate Bonds would have borne if they had been Outstanding for the preceding 12-month period as estimated by the Chief Finance Officer, all as set forth in a certificate of the Chief Finance Officer;

(g) in determining the amount of any Financial Products Payments or Financial Products Receipts on any interest rate swap, cap, floor, collar or other similar Financial Products Agreement with respect to Securities bearing interest at a fixed rate, such amount is to be the amount payable or receivable annually determined as of the date of issuance of the Securities as set forth in a certificate of the Chief Finance Officer; and

(h) for the purposes of this calculation, if Commercial Paper Notes are then Outstanding or are the Parity Bonds proposed to be issued, it is to be assumed that (i) the principal amount of any Commercial Paper Notes Outstanding is the principal amount of the Commercial Paper Notes Outstanding at the time the calculation is being made, and (ii) the Commercial Paper Notes will bear interest on the unpaid principal amount thereof at a fixed rate of interest equal to the 12-month average of the SIFMA Index.

"Denver Water" means the property and personnel under control of the Board to be generally referred to as "Denver Water" as provided in Section 10.1.6 of the Charter.

"Depository" means any qualified securities depository selected by the Board as provided in a Supplemental Resolution in respect of any series of Parity Bonds.

"DTC" means The Depository Trust Company, a limited purpose trust company organized under the laws of the State of New York.

"DTC Participants" means participating underwriters, security brokers or dealers, banks, trust companies, closing corporations or other persons or entities for which DTC holds bonds.

"Event of Default" means any of the events specified as such in the Master Bond Resolution.

"Federal Securities" means direct obligations of (including obligations issued or held in book-entry form on the books of), or obligations the timely payment of the principal of and interest on which are unconditionally guaranteed by, the United States of America.

"Federal Tax Code" means the Internal Revenue Code of 1986, as amended and supplemented from time to time.

"Financial Products Agreements" means any interest rate swap, cap, collar, floor, hedging agreement, arrangement or security, however denominated, entered into by the Board with a Provider with respect to any Parity Bonds or specific Securities or as otherwise permitted by State law and providing that any payments by the Board thereunder are payable from a lien on all or a portion of the Net Revenue and for the purpose of (i) reducing or otherwise managing the Board's risk of interest rate changes or interest rate costs, or (ii) effectively converting the Board's interest rate exposure, in whole or in part, from a fixed rate exposure to a variable rate exposure, from a variable rate exposure to a variable rate exposure or from a variable rate exposure to a fixed rate exposure.

"Financial Products Payments" means payments periodically required to be paid to a Provider by the Board pursuant to a Financial Products Agreement but specifically excluding Financial Products Termination Payments.

"Financial Products Receipts" means amounts periodically required to be paid to the Board by a Provider pursuant to a Financial Products Agreement but specifically excluding any Financial Products Termination Payment.

"Financial Products Termination Payment" means any termination, settlement or similar payments required to be paid upon an early termination of the Financial Products Agreement as a result of any event of default or termination event thereunder. No Financial Products Termination Payment required under any Parity Financial Products Agreement may be secured by a lien on the Net Revenue that is senior to or on a parity with the lien thereon of the Parity Bonds.

"Fiscal Year" means the 12 months commencing January 1 of any year and ending December 31 of said year.

"Gross Revenue" means all income and revenues directly or indirectly derived by the Board from the operation and use of the System, or any part thereof, including without limitation, any rates, fees, system development charges, participation payments, tap fees, availability fees, tolls and charges for the services furnished by, or for the use of, the System, and proceeds realized from any past or future dispositions of System property or rights or related contracts, settlements or judgments, and including investment income accruing from moneys held to the credit of the Water Works Fund, however, there is to be excluded from Gross Revenues any moneys borrowed and used for providing Capital Improvements; any money and securities and investment income therefrom, in any refunding account, escrow fund or similar account pledged to the payment of any bonds or other obligations; any Financial Products Receipts, any Financial Products Termination Payment, and any moneys received as grants or appropriations from the United States, the State, other local governments or enterprises or other sources, the use of which is limited or restricted to the provision of Capital Improvements (including oversizing of facilities or similar capital improvements) or for other purposes resulting in the general unavailability thereof, except to the extent any such moneys are received as payments for the use of the System, services rendered thereby, the availability of any such service or the disposal of any commodities therefrom.

"Interest Subaccount" means the subaccount of the Parity Bonds Debt Service Account so designated and established by the Master Bond Resolution.

"Issue Date" means the date of issuance and delivery of the Series 2017 Bonds.

"Master Bond Resolution" means the Master (03-22-17) Bond Resolution adopted by the Board on March 22, 2017, relating to the issuance of Parity Bonds, constituting the amendment and restatement in full of the Prior Master Bond Resolution as defined therein, as the Master Bond Resolution may be heretofore amended in accordance with its terms.

"Net Revenue" means the Gross Revenue after deducting the Operation and Maintenance Expenses.

"Official Statement" means the final version of the Official Statement prepared in connection with the sale of the Series 2017 Bonds to the Underwriters.

"Operation and Maintenance Expenses" means all reasonable and necessary current expenses of the Board, paid or accrued, for operating, maintaining and repairing the System, including without limitation legal and other overhead expenses of the Board related to the administration of the System, insurance premiums, payments of claims under a self-insurance program, audits, charges of depository banks and paying agents, professional services, salaries and administrative expenses, labor and the cost of materials, supplies for current operations, payments of rebate obligations to the United States of America as further provided in any Supplemental Resolution and any related Tax Certificate of the Board in respect of the Parity Bonds and any similar payment of rebate obligations provision of any resolution (and related tax certificate) in respect of the Capital Improvements Lease Payments, rental payments under operating leases and administrative costs and expenses related thereto, however, there is to be excluded from Operation and Maintenance Expenses any allowance for depreciation, non-cash overhead expenses of the System, payments in lieu of taxes or franchise fees, legal liabilities not based on contract, expenses incurred in connection with Capital Improvements, payments due in connection with any bonds or other obligations issued or entered into to provide Capital Improvements, Capital Improvements Lease Payments and charges for the accumulation of reserves.

"Other Available Funds" means, for any Fiscal Year, the amount determined by the Chief Finance Officer to be transferred from the Water Works Fund to the Parity Bonds Debt Service Account; but in no event may such aggregate amount exceed 10% of the Combined Average Annual Debt Service Requirements of the Parity Bonds and the Capital Improvements Lease Payments.

"Outstanding" or "outstanding" means the following:

(a) When used with reference to any Parity Bonds and as of any particular date, all such Parity Bonds theretofore executed, issued and delivered by the Board except:

(i) any Parity Bonds canceled or paid by or on behalf of the Board on or before such date as surrendered to the Board, a Registrar or a Paying Agent for cancellation and any Parity Bonds owned by the Board;

(ii) any Parity Bonds canceled or paid by or on behalf of the Board on or before such date as surrendered to the Board, a Registrar or a Paying Agent for cancellation and any Parity Bonds owned by the Board;

(iii) any Parity Bonds deemed to have been paid as described in "APPENDIX B – SUMMARY OF CERTAIN PROVISIONS OF THE PARITY BONDS RESOLUTION – Defeasance";

(iv) any Parity Bonds in lieu of, or in substitution for which, other Parity Bonds have been executed, issued and delivered by the Board and authenticated by the Registrar, unless proof satisfactory to the Registrar is presented that any such other Parity Bonds are duly held by the lawful Registered Owners thereof;

(v) any Parity Bonds (or portions thereof) for the payment or redemption of which moneys equal to the principal amount or Redemption Price thereof, as the case may be, with interest to the date of maturity or Redemption Date, are held in trust and set aside for such payment or redemption (whether at or prior to the maturity or Redemption Date), provided that if such Parity Bonds are to be redeemed, notice of such redemption has been given as provided in the Supplemental Resolution authorizing the issuance of such Parity Bonds or provision satisfactory to the Registrar of such Parity Bonds has been made for the giving of such notice;

(vi) any Parity Bonds deemed tendered or purchased as provided by any Supplemental Resolution; and

(vii) any Parity Bonds the principal and/or interest due on which have been paid by the Provider of a Credit Facility.

(b) When used with reference to (i) Securities other than the Parity Bonds, and (ii) the Capital Improvements Lease Payments and as of any particular date, all such obligations theretofore issued or incurred and not paid and discharged other than

(i) obligations theretofore cancelled by a trustee or paying agent for such obligations or by the owner of such obligations;

(ii) obligations deemed paid and no longer Outstanding as provided in the document pursuant to which the obligations were issued;

(iii) any obligations held by the Board; and

(iv) obligations in lieu of which other obligations have been authenticated and delivered pursuant to the provisions of the document pursuant to which such obligations are issued regarding transfer or exchange of the obligations or regarding mutilated, destroyed, lost or stolen obligations unless proof satisfactory to the Chief Finance Officer has been received that any such obligations are held by a bona fide purchaser.

"Outstanding Parity Bonds" means all Parity Bonds Outstanding at any time or from time to time, including, as of the date of the Series 2017 Supplemental Resolution, the Series 2007A Bonds, the Series 2008A Bonds, the Series 2009A Bonds, the Series 2010B Bonds, the Series 2012A-B Bonds, the Series 2014A Bonds and the Series 2016A-B Bonds.

"Owner" or "Registered Owner" means the registered owner of any Parity Bond as shown by the Bond Register.

"Parity Bonds" means any Securities issued pursuant to the provisions of the Bond Resolution that are payable from Net Revenue and the payment of which is secured by a pledge of and a lien on the Net Revenue. Parity Bonds do not include (a) the Capital Improvements Lease Payments, (b) Subordinate Lien Obligations, and (c) any Credit Facility Obligations or Financial Products Agreements relating to any such Securities.

"Parity Bonds Debt Service Account" or "Debt Service Account" means the book account designated the "Parity Bonds Master Resolution Debt Service Account" established in the Water Works Fund by the Master Bond Resolution.

"Parity Bonds Reserve Account" or "Reserve Account" means any account designated as a "Reserve Account" in respect of a series of Parity Bonds established in the Water Works Fund by Supplemental Resolution for the purpose of providing for the reserve requirements for such series of Parity Bonds. No Reserve Account is required to be established in respect of any series of Parity Bonds issued as Variable Rate Bonds or any Parity Bonds issued after April 11, 2012, the date of the adoption of a Supplemental Resolution amending the Prior Master Bond Resolution.

"Parity Credit Facility Obligations" means any Credit Facility Obligations payable from all or a portion of the Net Revenue on a parity with the Parity Bonds.

"Parity Financial Products Agreement" means any Financial Products Agreement pursuant to which Financial Products Payments are payable from a lien on all or a portion of the Net Revenue on parity with the Parity Bonds. No Financial Products Termination Payment required under any Parity Financial Products Agreement may have a lien on the Net Revenue that is senior to or on parity with the lien thereon of the Parity Bonds.

"Paying Agent" means the commercial or trust bank or its successor designated in a Supplemental Resolution to perform the function of paying agent for the applicable series of Parity Bonds. The Paying Agent for the Series 2017 Bonds initially is U.S. Bank National Association.

"Permitted Investments" means investments or deposits that comply with the requirements of the applicable provisions of the State, the Charter and Board policies relating to the investment or deposit of Board moneys.

"Preliminary Official Statement" means the Preliminary Official Statement relating to the offering and sale of the Series 2017 Bonds.

"Principal Subaccount" means the subaccount of the Parity Bonds Debt Service Account so designated and established by the Master Bond Resolution.

"Project Account" means any account designated a "Project Account" in respect of a series of Parity Bonds established in the Water Works Fund by Supplemental Resolution for the purpose of providing any Capital Project or Refunding Project or any combination thereof. For any Refunding Project, the Project Account may be designated as a Refunding Escrow Account.

"Project Costs" means the costs properly attributable to any Capital Project, any Refunding Project, or any part thereof, including without limitation:

(a) the costs of labor and materials, of machinery, furnishings and equipment, and of the restoration of property damaged or destroyed in connection with construction work;

(b) the costs of insurance premiums, indemnity and fidelity bonds, financing charges, bank fees, taxes or other municipal or governmental charges lawfully levied or assessed;

(c) administrative and general overhead costs;

(d) the costs of reimbursing funds advanced by the Board in anticipation of reimbursement from bond proceeds;

(e) the costs of surveys, appraisals, plans, designs, specifications and estimates;

(f) the costs, fees and expenses of printers, engineers, architects, financial consultants, legal advisors or other agents or employees;

(g) the costs of publishing, reproducing, posting, mailing or recording documents;

(h) the costs of contingencies or reserves;

(i) the costs of issuing the Parity Bonds;

(j) the costs of amending any resolution or other instrument relating to the Parity Bonds, any Capital Project or any Refunding Project;

(k) the costs of repaying any short-term financing, construction loans and other temporary loans, and of the incidental expenses incurred in connection with such loans;

(l) the costs of acquiring any property, rights, water rights, easements, licenses, privileges, agreements and franchises;

(m) the costs of demolition, removal and relocation; and

(n) all other lawful costs as determined by the Board.

"Pro Rata Portion" means when used with respect to a required credit to the Principal Subaccount or the Interest Subaccount, the dollar amount determined by dividing the amount of principal or interest to

come due on the next principal or interest payment date by the number of monthly credits required to be made prior to such payment date.

"Provider" means any financial institution or insurance company which is a party to a Financial Products Agreement with the Board.

"Rating Agencies" or "Rating Agency" means Fitch, Inc., Moody's Investor Service, Inc., Standard & Poor's Rating Services, a division of the McGraw-Hill Companies, Inc. and any other nationally recognized securities rating agency then maintaining a rating with respect to the Parity Bonds.

"Rebate Account" means any book account designated as a "Rebate Account" in respect of a series of Parity Bonds established in the Water Works Fund by Supplemental Resolution in respect of such series of Parity Bonds.

"Redemption Date" means the date fixed by the Board for the mandatory or optional redemption of any Parity Bonds prior to their respective fixed maturity dates pursuant to the terms of a Supplemental Resolution.

"Redemption Price" means the principal amount of any Parity Bond plus the applicable premium, if any, thereon payable upon the Redemption Date as provided in a Supplemental Resolution.

"Refunding Project" means the refunding of any Securities issued by the Board, as may be more fully described in any Supplemental Resolution, including the refunding of any Parity Bonds.

"Registrar" means the commercial or trust bank or its successor designated in a Supplemental Resolution to perform the registration and transfer functions with respect to the applicable series of Parity Bonds. The Registrar for the Series 2017 Bonds initially will be U.S. Bank National Association.

"Reserve Policy" means any insurance policy, surety bond, irrevocable letter of credit or similar instrument deposited in or credited to any Reserve Account created in respect of any series of Parity Bonds in lieu of or in partial substitution for moneys on deposit therein, issued by a financial, insurance or other entity having a rating at the time such policy is deposited in or credited to such Reserve Account in the highest rating category of each of the Rating Agencies then providing a rating in respect of the related series of Parity Bonds.

"Sale Certificates" means the certificates executed by the Chief Finance Officer or the Treasurer dated on or before the date of delivery of the Series 2017A Bonds and the Series 2017B Bonds, respectively, and subject to the parameters and restrictions contained in the Bond Resolution, including the Master Bond Resolution and the Series 2017 Supplemental Resolution, setting forth separately for each series:

(a) the aggregate principal amount of each series of the Series 2017 Bonds being issued and the amount of principal of each series of the Series 2017 Bonds maturing in any particular Fiscal Year;

(b) the rates of interest on the Series 2017 Bonds;

(c) the prices at which the Series 2017 Bonds will be sold;

(d) the dates on which the Series 2017 Bonds may be called for optional redemption and mandatory sinking fund redemption and the terms by which each series of the Series 2017 Bonds may be optionally redeemed; and

(e) any designation of an insurer, letter of credit bank or other provider of assurance of payment or credit enhancement in respect of the payment of either series of the Series 2017 Bonds.

"Securities" means bonds, notes, certificates, warrants, leases, contracts or other financial obligations or securities issued or executed by the Board and payable in whole or in part from a lien on the Net Revenue, including the Parity Bonds but not including any Credit Facility Obligations, Financial Products Agreements or any similar contractual arrangements.

"Series 2007A Bonds" means the Master Resolution Water Revenue Bonds, Series 2007A, originally issued in the aggregate principal amount of $100,000,000 and currently Outstanding in the aggregate principal amount of $22,675,000, as authorized by the Bond Resolution, including the Master Bond Resolution and the Series 2007A Supplemental Resolution, a $66,205,000 principal portion of which were refunded with the proceeds of the Series 2016B Bonds.

"Series 2007A Supplemental Resolution" means the Series 2007A (3-14-07) First Supplemental Bond Resolution adopted by the Board on March 14, 2007, relating to the issuance of the Series 2007A Bonds.

"Series 2008A Bond(s)" means the Master Resolution Water Revenue (Clean Renewable Energy Tax Credit) Bonds, Series 2008A, originally issued in the aggregate principal of $1,800,000 and currently Outstanding in the aggregate principal amount of $720,000, as authorized by the Bond Resolution, including the Master Bond Resolution and the Series 2008A Supplemental Resolution.

"Series 2008A Supplemental Resolution" means the Series 2008A (6-11-08) Second Supplemental Bond Resolution adopted by the Board on June 11, 2008, relating to the issuance of the Series 2008A Bonds.

"Series 2009A Bonds" means the Master Resolution Water Revenue Bonds (Taxable-Direct Pay), Series 2009A, originally issued and currently Outstanding in the aggregate principal amount of $44,000,000, as authorized by the Bond Resolution, including the Master Bond Resolution and the Series 2009A Supplemental Resolution.

"Series 2009A Supplemental Resolution" means the Series 2009A (05-13-09) Third Supplemental Bond Resolution adopted by the Board on May 13, 2009, relating to the issuance of the Series 2009A Bonds.

"Series 2010B Bonds" means the Master Resolution Water Revenue Bonds (Taxable Direct Pay Build America Bonds), Series 2010B, originally issued and currently Outstanding in the aggregate principal amount of $90,000,000, as authorized by the Bond Resolution, including the Master Bond Resolution and the Series 2010 Supplemental Resolution.

"Series 2010 Supplemental Resolution" means the Series 2010 (09-08-10) Fourth Supplemental Bond Resolution adopted by the Board on September 8, 2010, relating to the issuance of the Series 2010B Bonds.

"Series 2012A Bonds" means the Master Resolution Water Revenue Bonds, Series 2012A, originally issued and currently Outstanding in the aggregate principal amount of $36,555,000, as authorized by the Bond Resolution, including the Master Bond Resolution and the Series 2012 Supplemental Resolution.

"Series 2012B Bonds" means the Master Resolution Water Revenue Refunding Bonds, Series 2012B, originally issued in the aggregate principal amount of $108,545,000 and currently Outstanding in the aggregate principal amount of $40,010,000, as authorized by the Bond Resolution, including the Master Bond Resolution and the 2012 Supplemental Resolution.

"Series 2012A-B Bonds" means, collectively, the Series 2012A Bonds and the Series 2012B Bonds.

"Series 2012 Supplemental Resolution" means the Series 2012 (04-11-12) Sixth Supplemental Bond Resolution adopted by the Board on April 11, 2012, as amended by the Series 2012 (05-23-12) First Amendment of Sixth Supplemental Bond Resolution adopted by the Board on May 23, 2012, relating to the issuance of the Series 2012A-B Bonds. The Series 2012 Supplemental Resolution also authorized the issuance of a third series of Parity Bonds, which series is no longer outstanding.

"Series 2014A Bonds" means the Master Resolution Water Revenue Bonds, Series 2014A, originally issued in the aggregate principal amount of $48,670,000 and currently Outstanding in the aggregate principal amount of $46,395,000, as authorized by the Bond Resolution, including the Master Bond Resolution and the Series 2014A Supplemental Resolution.

"Series 2014A Supplemental Resolution" means the Series 2014A (08-13-2014) Seventh Supplemental Bond Resolution adopted by the Board on August 13, 2014, relating to the issuance of the Series 2014A Bonds.

"Series 2016A Bonds" means the Master Resolution Water Revenue Bonds, Series 2016A, originally issued and currently Outstanding in the aggregate principal amount of $94,755,000, as authorized by the Bond Resolution, including the Master Bond Resolution and the 2016A-B Supplemental Resolution.

"Series 2016B Bonds" means the Master Resolution Water Revenue Bonds, Series 2016B, originally issued and currently Outstanding in the aggregate principal amount of $63,470,000, as authorized by the Bond Resolution, including the Master Bond Resolution and the Series 2016A-B Supplemental Resolution.

"Series 2016A-B Bonds" means, collectively, the Series 2016A Bonds and the Series 2016B Bonds.

"Series 2016A-B Supplemental Resolution" means the Series 2016A-B (04-13-2016) Eighth Supplemental Bond Resolution adopted by the Board on April 13, 2016, relating to the issuance of the Series 2016A-B Bonds.

"Series 2017 Bonds" means, collectively, the Series 2017A Bonds and the Series 2017B Bonds.

"Series 2017 Supplemental Resolution" means the Series 2017A-B (03-22-2017) Supplemental Bond Resolution adopted by the Board on March 22, 2017, relating to the issuance of the Series 2017 Bonds.

"Series 2017 Bonds Tax Certificate" means the Tax Certificate of the Board to be executed and delivered by the Chief Finance Officer or the Treasurer in connection with the issuance of the Series 2017 Bonds.

"Series 2017A Bonds" means the Water Revenue Bonds, Series 2017A (Green Bonds), in an aggregate principal amount of $142,665,000, as authorized by the Bond Resolution, including the Master Bond Resolution and the Series 2017 Supplemental Resolution.

"Series 2017A Bonds Capital Project (Green Bonds)" means the acquisition, construction and installation of Capital Improvements to the System, as more fully described in the Series 2017 Supplemental Resolution.

"Series 2017A Bonds Capital Project (Green Bonds) Account" means the account designated the "Series 2017A Bonds Capital Project (Green Bonds) Account" established in the Water Works Fund by the Series 2017 Supplemental Resolution.

"Series 2017B Bonds" means the Water Revenue Bonds, Series 2017B, in an aggregate principal amount of $41,765,000, as authorized by the Bond Resolution, including the Master Bond Resolution and the Series 2017 Supplemental Resolution.

"Series 2017B Bonds Capital Project" means the acquisition, construction and installation of Capital Improvements to the System, as more fully described in the Series 2017 Supplemental Resolution.

"SIFMA Index" means the Securities Industry and Financial Markets Association Swap Index, most recently produced and published by Municipal Market Data, or if such index is not published, then such other index selected by the Chief Finance Officer that reflects the yield of tax-exempt seven-day variable rate demand bonds.

"State" means the State of Colorado.

"Subordinate Credit Facility Obligations" means any Credit Facility Obligations payable in whole or in part from the Net Revenue and having a lien on the Net Revenue that is subordinate to the lien thereon of the Parity Bonds.

"Subordinate Financial Products Agreement" means any Financial Products Agreement pursuant to which Financial Products Payments are payable from a lien on the Net Revenue that is subordinate to the lien thereon of the Parity Bonds. No Financial Products Termination Payment required under any Subordinate Financial Products Agreement may be secured by a lien on the Net Revenue that is senior to or on parity with the lien thereon of the Parity Bonds.

"Subordinate Lien Obligations" means one or more series of additional bonds, notes, interim securities or other obligations payable from and having a lien on the Net Revenue that is subordinate or junior to the lien of the Parity Bonds, including Subordinate Financial Products Agreements and Subordinate Credit Facility Obligations.

"Subordinate Line of Credit" means the Board's Line of Credit with Bank of America, N.A. dated as of November 20, 2013.

"Supplemental Act" means the Supplemental Public Securities Act, constituting part 2 of article 57 of title 11, C.R.S.

"Supplemental Resolution(s)" means each Supplemental Resolution as defined in the Master Bond Resolution and, collectively, all such Supplemental Resolutions, including the Series 2017 Supplemental Resolution.

"System" means the water works system and plant operated under the complete charge and control of the Board, including the property and personnel under control of the Board, referred to generally as Denver Water, all pursuant to Sections 10.1.1 through 10.1.22 of the Charter.

"Tax Certificate" means any certificate in respect of the tax-exempt status of the interest on a series of Parity Bonds executed and delivered by the Board in connection with the issuance of such Parity Bonds and as further provided in a related Supplemental Resolution.

"Treasurer" means the Treasurer of the Board or the designee of the Treasurer.

"Variable Rate Bonds" means any Securities issued with a variable, adjustable, convertible or other similar interest rate which is not fixed in percentage for the entire term thereof at the date of issue or the date of calculation, as the case may be.

"Water Activity Law" means article 45.1 of title 37, C.R.S.

"Water Works Fund" means the fund created and maintained pursuant to Section 10.1.7 of the Charter into which all revenues received from the operation of the System together with all moneys received by the Board from other sources is to be placed.

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APPENDIX B

SUMMARY OF CERTAIN PROVISIONS OF THE PARITY BONDS RESOLUTION

The following statements are summaries of certain provisions of the Bond Resolution, including the Series 2017 Supplemental Resolution, and are in addition and complementary to the summary found under "THE SERIES 2017 BONDS, "SOURCES AND USES OF FUNDS" and "SECURITY AND FLOW OF FUNDS." Reference is made to the Bond Resolution for a complete recital of its terms.

Protective Covenants

In addition to the other covenants discussed in this Official Statement, the Board makes the following covenants in the Bond Resolution.

Use of Proceeds. The proceeds derived from the sale of each series of Parity Bonds will be used solely for the purposes specified in the Master Bond Resolution and the related Supplemental Resolution.

Operation and Maintenance of the System. The Board will continue to operate and manage the System in an efficient and economical manner, and make or cause to be made such improvements, enlargements, extensions, repairs and betterments thereto as may be necessary or advisable to insure the economical and efficient operation of the System at all times.

Disposition of System Property. The Board will not sell or alienate any of the property constituting any part or all of the System in any manner or to any extent as might reduce the security provided for the payment of the Parity Bonds, but the Board may sell any portion of such property that has been replaced by other similar property of at least equal value, or that ceases to be necessary for the efficient operation of the System. The proceeds realized from any such sale of property is to be included as part of the Gross Revenue.

Sale of the System. The Board will not sell or dispose of the System, or any part thereof, other than in the ordinary course of business, unless (a) all Parity Bonds have been paid and retired, or (b) the Board receives an opinion of Bond Counsel to the effect that such sale will not adversely affect the excludability of interest on the Parity Bonds that have been issued on a tax-exempt basis from gross income for federal income tax purposes.

Billing and Collections. The Board will promptly render bills for services furnished by or the use of the System, will use all legal means to assure prompt payment thereof and, to the extent permitted by law, will discontinue service to any user who becomes delinquent in the payment of such charges until the delinquency and all interest, costs and expenses incident thereto have been paid in full or satisfactory arrangements for payments have been made.

Books and Records. The Board will keep and maintain separate accounts of the receipts and expenses of the Board in such manner that the Gross Revenue and the Net Revenue may at all times be readily and accurately determined.

Audits and Budgets. At least once a year, the Board will cause (a) an audit to be performed of the records relating to the revenues and expenditures of the System and (b) a budget to be prepared and adopted.

Insurance; Insurance Proceeds or Condemnation Awards. The Board will provide for fire and extended coverage, worker's compensation, public liability and such other forms of insurance or self-insurance on insurable System property as would ordinarily be carried by utilities or municipal corporations having similar properties of equal value, such insurance being in such amounts as will protect the System and its operation.

In the event of any loss or damage to the System, or in the event part or all of the System is taken by the exercise of a power of eminent domain, the insurance proceeds or the condemnation award will be used for restoring, replacing or repairing the property lost, damaged or taken, and the remainder thereof, if any, will be considered as Gross Revenue, however, if the Board determines that the operation of the System and the security for the Parity Bonds will not be adversely affected thereby, the Board may determine not to restore, replace or repair the property lost, damaged or taken and all of the insurance proceeds or condemnation award will be considered as Gross Revenue.

Fidelity Bonds. Each Board official or other person having custody of any funds derived from operation of the System, or responsible for the handling of such funds, will be fully bonded at all times.

Charges and Liens Upon the System. From the Gross Revenue, the Board will pay all taxes and assessments or other municipal or governmental charges, if any, lawfully levied, assessed upon or in respect to the System, or any part thereof, when the same become due, and it will duly observe and comply with all valid requirements of any municipal or governmental authority relative to any part of the System. In addition, the Board will not create nor suffer to be created any lien or charge upon the System or upon the Gross Revenue therefrom except as permitted by the Bond Resolution unless it has made adequate provisions to satisfy and discharge, within 60 days after the same accrue, all lawful claims and demands for labor, materials, supplies or other objects that, if unpaid, might by law become a lien upon the System or upon the Gross Revenue, however, the Board is not required to pay, cause to be discharged or make provision for any such tax, assessments, lien or charge before the time when payment thereof is due or so long as the validity thereof is contested in good faith by appropriate legal proceedings or in continuing, good faith negotiations.

Defeasance

When all Debt Service Requirements with respect to any series of Parity Bonds have been duly paid, the pledge and lien and all obligations under the Bond Resolution is discharged and such Parity Bonds are no longer Outstanding within the meaning of the Bond Resolution. Due payment of such Parity Bonds is deemed to have been made when the Board has placed in escrow and in trust with a Commercial Bank exercising trust powers, an amount sufficient (including the known minimum yield from Federal Securities in which such amount may be initially invested) to meet all requirements of principal, premium, if any, and interest as the same become due to their final maturities. The Federal Securities are to become due at or prior to the respective times on which the proceeds thereof will be needed, in accordance with a schedule established and agreed upon between the Board and such bank at the time of the creation of the escrow, or the Federal Securities are to be subject to redemption at the option of the owners thereof to assure availability as needed to meet such schedule. The sufficiency of the Federal Securities deposited to any escrow is to be verified by an Independent Accountant as defined in the Bond Resolution. The investment of the amounts deposited in the escrow is to comply with the applicable provisions of the related Supplemental Resolution and Tax Certificate.

Events of Default and Remedies

Events of Default. Each of the following events constitutes an "Event of Default" under the Bond Resolution:

- Payment of Debt Service Requirements on any of the Parity Bonds is not made when due and payable, either at maturity, by proceedings for prior redemption or otherwise; or

- The Board defaults in the punctual performance of the covenants contained in the Bond Resolution for 60 days after written notice thereof is given by the Owners of not less than 25% of the outstanding principal amount of the Parity Bonds then outstanding.

Remedies. Upon the occurrence of any Event of Default, any Owner of the Parity Bonds, or a trustee therefor, may proceed against the Board to protect and enforce the rights of any Owner of Parity Bonds by proper legal or equitable remedy deemed most effectual, including mandamus, specific performance of any covenants, injunctive relief, requiring the Board to act as if it were the trustee of an express trust or any combination of such remedies. The Parity Bonds are not subject to acceleration upon the occurrence of an Event of Default or for any other reason, and neither the Owners of the Parity Bonds nor any trustee therefor or representative thereof is permitted to declare the Debt Service Requirements of the Parity Bonds to be due and payable prior to their scheduled payment dates.

All proceedings are to be maintained for the equal benefit and protection of all Owners of the Parity Bonds. The failure of any Owner to proceed does not relieve the Board or any person of any liability for failure to perform any duty under the Bond Resolution. The foregoing rights are in addition to any other right, and the exercise of any right by any Owner will not be deemed a waiver of any other right.

Amendment of the Bond Resolution

(a) The Board may, without the consent of or notice to the Owners, adopt one or more Supplemental Resolutions for any one or more of the following purposes:

- to authorize the issuance of Additional Parity Bonds and, in connection therewith or otherwise, to specify and determine any matters and things that are not contrary to or inconsistent with the Master Bond Resolution, including, without limitation, provisions with respect to Credit Facilities and Financial Products Agreements, provisions creating and applying additional funds or accounts and provisions for the marketing or remarketing of Additional Parity Bonds;

- to subject to the Bond Resolution or pledge to the payment of the Parity Bonds, additional revenues, properties or collateral;

- to grant or confer upon the Owners any additional rights, remedies, powers or authority that may be lawfully granted to or conferred upon the Owners; and

- to cure any ambiguity, to cure, correct, or supplement any formal defect or omission or inconsistent provision contained in the Master Bond Resolution or any Supplemental Resolution, to make any provision necessary or desirable due to a change in law, to make any provisions with respect to matters arising under

the Master Bond Resolution or any Supplemental Resolution, or to make any provisions for any other purpose, if such provisions are necessary or desirable and do not materially adversely affect the interests of the Owners of the Parity Bonds. For the purposes of this paragraph, if the Rating Agencies confirm in writing that any proposed amendment or supplement, in and of itself, will not result in a downgrade in the then current ratings on the Parity Bonds, such proposed amendment or supplement will be deemed to "not materially adversely affect the interests of the Owners of the Parity Bonds."

(b) Except for Supplemental Resolutions adopted for the purposes specified in paragraph (a), the Owners of not less than 51% in aggregate principal amount of the Parity Bonds then Outstanding have the right, from time to time, to consent to and approve the adoption by the Board of such Supplemental Resolutions as may be deemed necessary or desirable by the Board for the purpose of modifying, altering, amending, adding to or rescinding, in any particular, any of the terms or provisions contained in the Master Bond Resolution or any Supplemental Resolution.

(c) Notwithstanding the provisions of paragraphs (a) and (b) above, no Supplemental Resolution may permit, without the written consent of the Owner of any outstanding Parity Bond so affected:

- the extension of the maturity of any Parity Bond;
- the reduction of the principal amount or interest rate of any Parity Bond;
- the creation of a lien upon the Net Revenue ranking prior to the lien created by the Bond Resolution;
- the reduction of the principal amount of the Parity Bonds required for consent to any waiver or modifications; or
- the establishment of priorities between Parity Bonds.

(d) If the Board desires to adopt a Supplemental Resolution requiring consent of the Owners, the Board is to cause notice of the proposed adoption of such Supplemental Resolution, containing the information required by the Bond Resolution, to be given to each Owner of a Parity Bond by certified or registered first-class mail sent at least 30 days prior to the proposed date of adoption of any such Supplemental Resolution. If, within 60 days or such longer period prescribed by the Board following the giving of such notice, the Owners of not less than the required percentage in aggregate principal amount of the Parity Bonds then outstanding at the time of the execution of any such Supplemental Resolution have consented to and approved the execution thereof, no Owner of any Parity Bond will have any right to object to any of the terms and provisions contained therein, or the operation thereof, in any manner to question the propriety of the adoption and effectiveness thereof or to enjoin or restrain the Board from adopting the same or from taking any action pursuant to the provisions thereof.

No Recourse against Officers, Agents and Employees

Pursuant to Section 209 of the Supplemental Act, if a member of the Board, or any officer, agent or employee of the Board acts in good faith, no civil recourse is available against such member, officer, agent or employee for payment of the principal, interest or prior redemption premiums on the Parity Bonds. Such recourse is not available either directly or indirectly through the Board or the public entity, or otherwise, whether by virtue of any constitution, statute, rule of law, enforcement of penalty or

otherwise. By the acceptance of the Parity Bonds and as a part of the consideration of their sale or purchase, any person purchasing or selling such Parity Bond specifically waives any such recourse.

Conclusive Recital

Pursuant to Section 210 of the Supplemental Act, the Parity Bonds will contain a recital that they are issued pursuant to certain provisions of the Supplemental Act, which recital will be conclusive evidence of the validity and the regularity of the issuance of the Parity Bonds after their delivery for value.

Holidays

If the date for making any payment or performing any action under the Bond Resolution is a legal holiday or a day on which the principal office of any Paying Agent or Registrar is authorized or required by law to remain closed, such payment may be made or act performed on the next succeeding day that is not a legal holiday or a day on which the principal office of such Paying Agent or Registrar is authorized or required by law to remain closed.

Computation of Time

In computing a period of days, the first day is included and the last day is excluded. If the last day of any period is a Saturday, Sunday or legal holiday, the period is extended to include the next day that is not a Saturday, Sunday or legal holiday. If a number of months is to be computed by counting the months from a particular day, the period ends on the same numerical day in the concluding month as the day of the month from which the computation is begun, unless there are not that many days in the concluding month, in which case the period ends on the last day of that month.

Series 2017 Supplemental Resolution

General. The Series 2017 Supplemental Resolution generally provides for the issuance and terms of the Series 2017 Bonds, the use of the proceeds thereof and the establishment of the accounts of the Water Works Fund required in connection therewith. See "SOURCES AND USES OF FUNDS," "THE SERIES 2017 BONDS," "SECURITY AND FLOW OF FUNDS" and "DEBT STRUCTURE."

Tax Covenants. In the Series 2017 Supplemental Resolution, the Board also irrevocably covenants and agrees with each and every Owner of the Series 2017 Bonds that so long as any of the Series 2017 Bonds remain outstanding:

(a) It will not make or permit to be made, any use of the original proceeds of the Series 2017 Bonds, or of any moneys treated as proceeds of such Series 2017 Bonds within the meaning of the Code and pertinent Treasury Regulations, rulings and decisions, or take, or permit to be taken, any action with respect to such proceeds, the Series 2017A Bonds Capital Project, the Series 2017B Bonds Capital Project or the System which will cause the interest on such Series 2017 Bonds to lose its excludability from gross income for federal income tax purposes under Section 103 of the Code and pertinent Treasury Regulations, rulings and decisions.

(b) It will not directly or indirectly use or permit the use of proceeds of the Series 2017 Bonds, or any other funds of the Board from whatever source derived, to acquire any investment, and it will not take or permit to be taken any other action, which would cause the Series 2017 Bonds to be characterized as "arbitrage bonds" within the meaning of Section 103 and Section 148 of the Code or

which would otherwise cause the interest on the Series 2017 Bonds to no longer be excludible from gross income for federal income tax purposes.

(c) It will pay from time to time all amounts required to be rebated to the United States of America pursuant to Section 148(f) of the Code and any temporary, proposed, or final Treasury Regulations as may be applied to the Series 2017 Bonds from time to time. The payment of such rebate amounts as required by this paragraph supersedes all other provisions of the Bond Resolution, including the Master Bond Resolution, all prior Supplemental Resolutions and the Series 2017 Supplemental Resolution, concerning the deposit and transfer of interest earnings to or from any other fund or account. Moneys set aside to pay such rebate amounts pursuant to this paragraph, whether set aside in the Series 2017 Bonds Rebate Account or otherwise, are not subject to any lien created hereunder for the benefit of the Owners. This covenant is to survive the payment in full or the defeasance of the Series 2017 Bonds.

(d) The acquisition, construction and installation of the Series 2017A Bonds Capital Project under the terms and conditions provided for in the Bond Resolution, including the Master Bond Resolution, all prior Supplemental Resolutions and the Series 2017 Supplemental Resolution, are necessary, convenient, in furtherance of and will at all times be used in connection with the Board's governmental purposes and functions.

(e) It will not take or permit to be taken any action that would cause the Series 2017 Bonds to be characterized as "private activity bonds" within the meaning of Section 141 of the Code, it will take all actions within its power and permitted by law that are or may be necessary to prevent the Series 2017 Bonds from being characterized as "private activity bonds," and it will establish reasonable procedures to comply with the foregoing covenants. To this end, the Board will not permit more than 10% of the proceeds of the Series 2017 Bonds to be used (directly or indirectly) in the trade or business of nongovernmental persons in a manner that could cause the Series 2017 Bonds to be characterized as "private activity bonds" within the meaning of the Section 141 of the Code.

(f) It will take all actions within its power and permitted by law, including complying with the provisions of the Series 2017 Bonds Tax Certificate, the Bond Resolution, including the Master Bond Resolution, all prior Supplemental Resolutions and the Series 2017 Supplemental Resolution, and all applicable requirements of the Code and Treasury Regulations, to assure that interest on the Series 2017 Bonds at all times remains excludible from gross income for federal income tax purposes.

See also "TAX MATTERS."

APPENDIX C

FINANCIAL STATEMENTS OF THE BOARD FOR 2016

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CliftonLarsonAllen LLP
CLAconnect.com

INDEPENDENT AUDITORS' REPORT

Board of Water Commissioners
Denver Water
Denver, Colorado

Report on the Financial Statements

We have audited the accompanying financial statements of the Board of Water Commissioners, City and County of Denver, Colorado (the Board), as of and for the years ended December 31, 2016 and 2015, and the related notes to the financial statements, which collectively comprise the Board's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Board's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Board's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the Board of Water Commissioners, City and County of Denver, Colorado as of December 31, 2016 and 2015, and the changes in its financial position and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis, Schedule of Changes in Net Pension Liability and Related Ratios, Schedule of Board Pension Contributions, and Schedule of OPEB Funding Progress as listed in the table of contents be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming an opinion on the financial statements that collectively comprise the Board's basic financial statements. The Other Supplemental Information and the Introductory and the Statistical Sections, as listed in the table of contents are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The Other Supplemental Information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the Other Supplemental Information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The Introductory Section and Statistical Section have not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on them.

CliftonLarsonAllen LLP

CliftonLarsonAllen LLP

Greenwood Village, Colorado
April 28, 2017

The following is management's discussion and analysis ("MD&A") of the financial activities of the Board of Water Commissioners (the "Board") for the years ended December 31, 2016 and 2015. This information should be read in conjunction with the basic financial statements which follow.

FINANCIAL HIGHLIGHTS

The Board's financial position, measured by the change in net position, improved 5% during 2016, compared to 5% during 2015. The 2014 financial statements were restated from published due to the implementation of GASB Statement No. 68 *Accounting and Financial Reporting for Pensions.*

- ***Operating income*** was $36.9 million in 2016 compared to $36.2 million in 2015, an increase of 2%.
- ***Income before capital contributions*** was $26.3 million in 2016 compared to $23.0 million in 2015, an increase of 14%.
- ***Capital contributions*** were $61.1 million in 2016 and $69.4 million in 2015, a decrease of 12%.
- ***Net position*** increased $87.4 million, or 5%, in 2016 compared to $92.4 million, or 5%, in 2015.
- ***Capital asset additions*** were $152.5 million in 2016 compared to $131.1 million in 2015, an increase of 16%.

OVERVIEW OF THE BASIC FINANCIAL STATEMENTS

This MD&A is intended to serve as an introduction to the Board's basic financial statements, which are comprised of five components: 1) statements of net position, 2) statements of revenues, expenses, and changes in net position, 3) statements of cash flows, 4) notes to the basic financial statements, and 5) required supplementary information. The Board also provides certain supplemental information which is presented for additional analysis and is not a required part of the basic financial statements.

The **statements of net position** present information on all of the Board's (a) assets and deferred outflows of resources, and (b) liabilities and deferred inflows of resources, with the difference between the two reported as ***net position***. "Deferred outflows of resources" is defined as consumption of net assets that is applicable to a future reporting period rather than the current reporting period. "Deferred inflows of resources" is defined as an acquisition of net assets that is applicable to a future reporting period rather than the current reporting period. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the Board is improving or declining.

The **statements of revenues, expenses, and changes in net position** present information showing how the Board's net position changed during the years presented. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. This is known as the accrual basis of accounting. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in the future (e.g., unbilled water revenue and earned but unused vacation leave) or that may have occurred in the past (e.g., amortization of debt premiums or discount and prepaid contributed capital). This statement measures the financial outcomes of the Board's

activities and can be used to determine whether the Board has successfully recovered all its economic costs through its water rates, capital contributions, and other charges.

The **statements of cash flows** report cash receipts, cash payments, and net changes in cash resulting from operating activities, capital and related financing activities, and investing activities for the years presented.

The **notes to the basic financial statements** provide additional information that is essential to a full understanding of the data provided in the basic financial statements, such as the Board's accounting policies, significant account balances and activities, material risks, obligations, commitments, contingencies and subsequent events, if any.

Required supplementary information provides the detail in support of the changes in the net pension liability and information pertaining to the Board's actuarially determined contributions to the pension plan and other post-employment benefits (OPEB).

Supplemental information provides details of the Board's bonded debt.

FINANCIAL ANALYSIS

In 2016, the Board re-implemented the financial system and overhauled the accounting structure to improve financial reporting and management. The restructure of the accounts resulted in reclassifications within the financial statements, variations in certain comparative data, and a shift in how indirect costs are allocated to functions.

NET POSITION

As discussed above, net position may serve over time as a useful indicator of the Board's financial position. The Board's net position was $2.0 billion at December 31, 2016, an increase of $87.4 million, or 5%, from December 31, 2015. The Board's net position was $1.9 billion at December 31, 2015, an increase of $92.4 million, or 5%, from December 31, 2014 (see Figures 1 and 2 and Table 1).

Figure 1 - Net Position

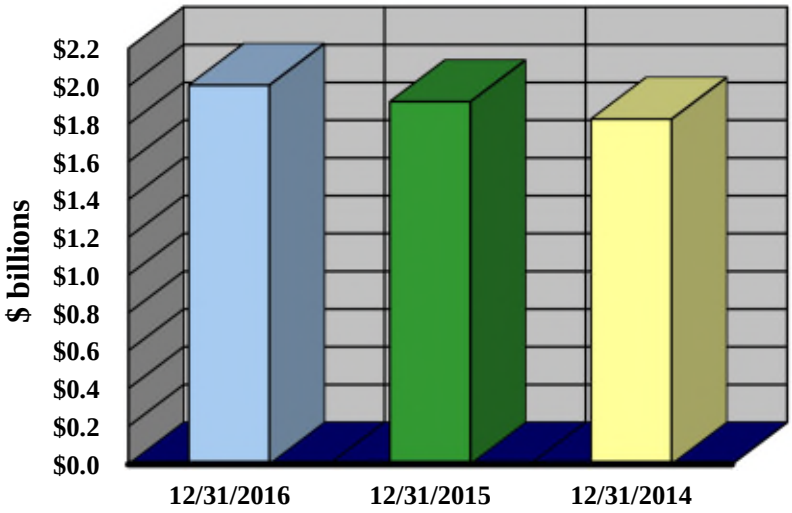


Table 1 - Condensed Statements of Net Position
(amounts expressed in thousands)

	As of December 31,			2016 - 2015		2015 - 2014	
	2016	2015	2014	Increase (Decrease)	% Change	Increase (Decrease)	% Change
Current and other assets	**$ 333,653**	$ 285,587	$ 280,894	$ 48,066	17%	$ 4,693	2%
Capital assets, net	**2,244,862**	2,146,900	2,069,581	97,962	5	77,319	4
Total assets	**2,578,515**	2,432,487	2,350,475	146,028	6	82,012	3
Deferred outflows of resources	**41,109**	20,295	20,910	20,814	103	(615)	(3)
Total assets and deferred outflows	**2,619,624**	2,452,782	2,371,385	166,842	7	81,397	3
Current liabilities	**76,467**	57,181	67,949	19,286	34	(10,768)	(16)
Noncurrent liabilities	**537,710**	467,905	461,733	69,805	15	6,172	1
Total liabilities	**614,177**	525,086	529,682	89,091	17	(4,596)	(1)
Deferred inflows of resources	**-**	9,666	16,079	(9,666)	(100)	(6,413)	(40)
Total liabilities and deferred outflows	**614,177**	534,752	545,761	79,425	15	(11,009)	(2)
Net position:							
Net investment in capital assets	**1,788,250**	1,735,020	1,641,601	53,230	3	93,419	6
Restricted	**14,505**	12,047	12,375	2,458	20	(328)	(3)
Unrestricted	**202,692**	170,963	171,648	31,729	19	(685)	(0.4)
Total net position	**$ 2,005,447**	$ 1,918,030	$ 1,825,624	$ 87,417	5%	$ 92,406	5%

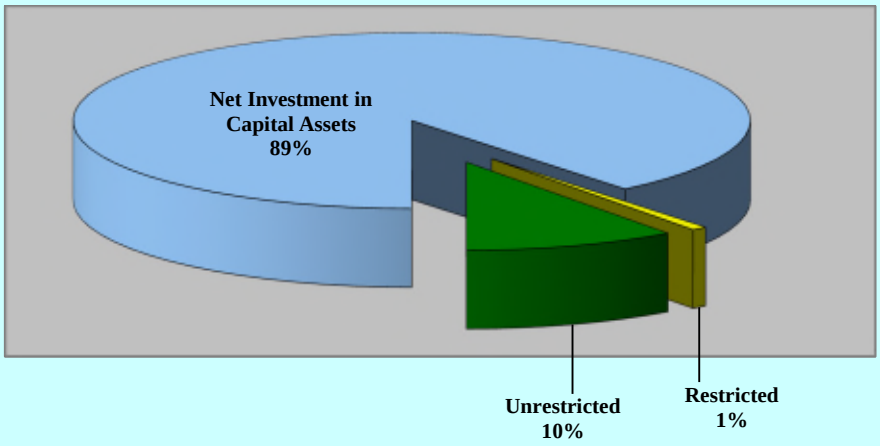
The largest portion of the Board's net position reflects its investment in capital assets; less any related debt used to acquire those assets. The Board uses these capital assets to provide water; consequently,

these assets are not available for future spending. Although the Board's investment in its capital assets is reported net of related debt, the resources to repay this debt must be provided from other sources, since the capital assets themselves are not intended to be liquidated to repay these liabilities.

A small portion of the Board's net position represents resources that are subject to external restrictions on how they may be used. The Board's 2016, 2015, and 2014 restricted net positions consisted of debt service reserve and debt reserve funds for revenue bonds. In 2016, amounts were also restricted for grants supporting the System Conservation Pilot Program.

The remaining balance of the Board's net position represents unrestricted net position and may be used to meet the Board's ongoing obligations to creditors.

Figure 2 - Net Position Categories as of December 31, 2016



The Board's increase in net position during 2016 of $87.4 million or 5% indicates an improved financial position.

Other changes in the statements of net position were as follows:

- **CURRENT AND OTHER ASSETS** in 2016 increased $48.1 million, or 17% from 2015. They increased $4.7 million, or 2% between 2015 and 2014 (see Table 1). The increase in 2016 was primarily due to an increase in investments from the 2016 bond issuance funds reimbursing 2015 capital project costs and the related increase in restricted investments from that issuance, and funds being held for the Walton Family Foundation grant. The increase in 2015 was primarily due to prepaid capacity use and an increase in investments.

- **CAPITAL ASSETS, NET** in 2016 increased $98.0 million, or 5% from 2015. They increased $77.3 million, or 4% between 2015 and 2014. The increase in both years was due to additions, offset by increased accumulated depreciation and asset retirements. See Table 8 for current year additions.

- **DEFERRED OUTFLOWS OF RESOURCES** represents the difference between the reacquisition price and the net carrying amount of defeased debt ("deferred amount on refunding") resulting from the Series 2012B, Series 2014A and Series 2016B water refunding bonds, and pension related outflows including economic/demographic losses, changes in the pension plan assumptions, net investment losses associated with differences between the expected and actual earnings on pension plan investments and amounts contributed to the pension plan after the net pension liability measurement date. They increased $20.8 million or 103% in 2016. $2.6M of this increase is a result of the 2016B refunding and $18.2M is due to pension related deferred outflows associated with economic/demographic losses, changes in plan assumptions, and the change in the net between projected and actual plan earnings, offset by the amortization of pension plan economic /demographic losses into pension expense and the amortization of the deferred amount on refunding as a component of interest expense. They decreased $0.6 million or 3% in 2015 as a result of the amortization of pension plan economic /demographic losses into pension expense and the amortization of the deferred amount on refunding as a component of interest expense.

- **CURRENT LIABILITIES** in 2016 increased $19.3 million, or 34% from 2015. They decreased $10.8 million, or 16% between 2015 and 2014. The increase in 2016 was primarily a result of an increase in construction contract accruals, increased accounts payable accruals, and an increase in the payroll and other benefits accrual due to the paid time off (PTO) conversion payout scheduled for 2017. The decrease in 2015 was primarily a result of a reduction in construction contract accruals and changes in the current portion of revenue bonds payable due to varying debt maturities, offset by an increase in accrued payroll.

- **NONCURRENT LIABILITIES** in 2016 increased $69.8 million, or 15% from 2015. They increased $6.2 million, or 1% between 2015 and 2014. The increase in 2016 was primarily the result of the 2016A and 2016B bond issuance and the recalculation of the pension liability incorporating changes in plan assumptions and investment experience, offset by the 2007A refunding and payment of the line of credit. The increase in 2015 was primarily a result of a line of credit draw offset by a reduction in long-term debt.

- **DEFERRED INFLOWS OF RESOURCES** represents net investment gains associated with differences between the expected and actual earnings on pension plan investments used in the calculation of the net pension liability. They decreased $9.6 million or 100% in 2016 and $6.4 million or 40% in 2015 as a result of pension related investment losses from differences between actual and expected plan earnings and the amortization of pension investment gains or losses as a component of pension expense.

CHANGE IN NET POSITION

While the statements of net position display the Board's assets, liabilities and net position at year-end, the statements of revenues, expenses, and changes in net position provide information on the source of the change in net position during the year. Net position increased $87.4 million in 2016 consisting of income before capital contributions of $26.3 million and capital contributions of $61.1 million. Net position increased $92.4 million in 2015 consisting of income before capital contributions of $23.0 million and capital contributions of $69.4 million (see Table 2).

Table 2 - Condensed Statements of Revenues, Expenses and Changes in Net Position
(amounts expressed in thousands)

	Years Ended December 31,			2016 - 2015		2015 - 2014	
	2016	2015	2014	Increase (Decrease)	% Change	Increase (Decrease)	% Change
Operating revenues	**$ 284,454**	$ 252,060	$ 250,668	$ 32,394	13%	$ 1,392	1%
Nonoperating revenues	**9,029**	7,074	7,695	1,955	28	(621)	(8)
Total revenues	**293,483**	259,134	258,363	34,349	13	771	0.3
Operating expenses	**247,520**	215,825	225,061	31,695	15	(9,236)	(4)
Nonoperating expenses	**19,655**	20,268	20,310	(613)	(3)	(42)	(0.2)
Total expenses	**267,175**	236,093	245,371	31,082	13	(9,278)	(4)
Income before capital contributions	**26,308**	23,041	12,992	3,267	14	10,049	77
Capital contributions	**61,109**	69,365	55,926	(8,256)	(12)	13,439	24
Increase in net position	**87,417**	92,406	68,918	(4,989)	(5)	23,488	34
Beginning net position	**1,918,030**	1,825,624	1,822,128	92,406	5	3,496	0.2
GASB 68 implementation			(65,422)				
Restated beginning net position			1,756,706				
Ending net position	**$ 2,005,447**	$ 1,918,030	$ 1,825,624	$ 87,417	5%	$ 92,406	5%

There was ***operating income*** (operating revenues less operating expenses—not reflected in Table 2, see *Statements of Revenues, Expenses and Changes in Net Position*) of $36.9 million in 2016, compared to $36.2 million in 2015 and $25.6 million in 2014 (see Figure 3).

There was ***income before capital contributions*** of $26.3 million in 2016 compared to $23.0 million in 2015 and $13.0 million in 2014 (see Figure 4).

Figure 3 - Operating Income

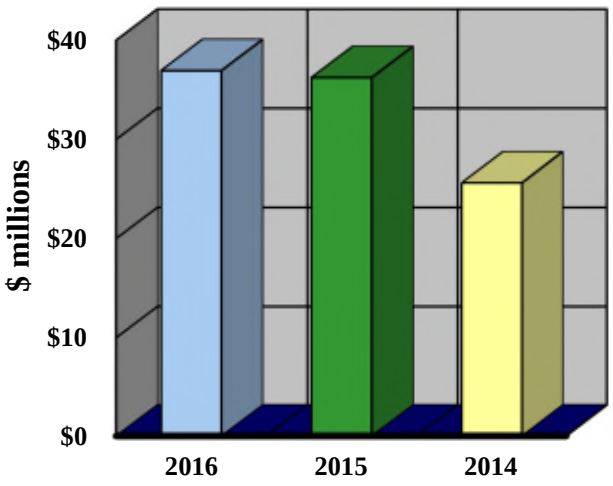
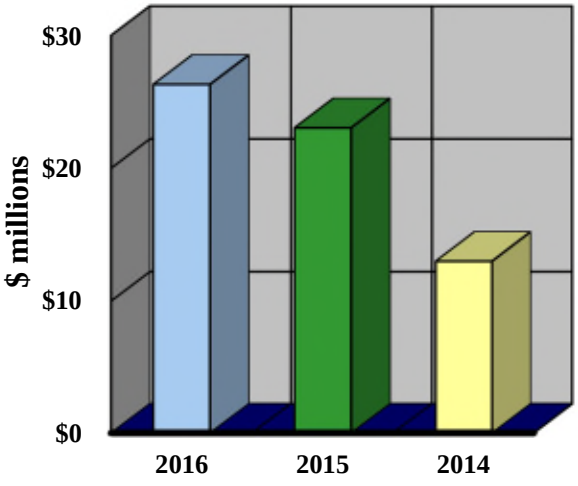


Figure 4 - Income before Capital Contributions



Specifically, major changes in the statements of revenues, expenses and changes in net position were as follows:

- **OPERATING REVENUES** in 2016 increased $32.4 million, or 13% from 2015. They increased $1.4 million, or 1% between 2015 and 2014 (see Figure 5 and Table 3).

Figure 5 - Operating Revenues

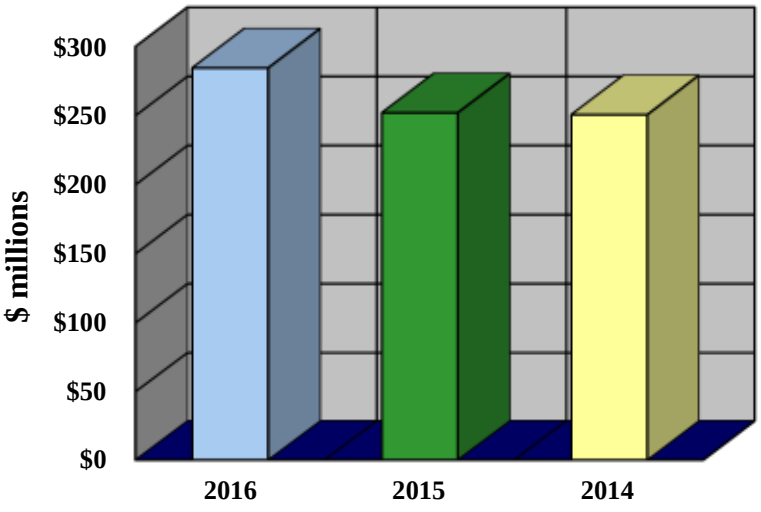


Table 3 - Operating Revenues
(amounts expressed in thousands)

	Years Ended December 31,			2016 - 2015		2015 - 2014	
	2016	2015	2014	Increase (Decrease)	% Change	Increase (Decrease)	% Change
Water:							
Water sales	**$ 273,238**	$ 241,836	$ 239,288	$ 31,402	13%	$ 2,548	1%
Power generation and other:							
Power sales	**4,009**	3,606	4,390	403	11	(784)	(18)
Special assessments	**6,844**	3,839	4,320	3,005	78	(481)	(11)
Other	**363**	2,779	2,670	(2,416)	(87)	109	4
	11,216	10,224	11,380	992	10	(1,156)	(10)
Total operating revenues	**$ 284,454**	$ 252,060	$ 250,668	$ 32,394	13%	$ 1,392	1%

Water sales in 2016 increased due to a rate increase effective April 1, 2016, designed to increase overall system water rate revenue by 3.8% as well as an increase in water sold (71.7 billion gallons sold in 2016 compared to 65.6 billion gallons sold in 2015). Changes in water consumption from year to year are generally directly related to changes in temperature, and inversely related to changes in precipitation, except for mandatory drought restrictions. Longer term changes in consumption are the result of changes in conservation habits on the part of consumers and changes in the customer base.

Water sales in 2015 increased due to a rate increase effective February 1, 2015, designed to achieve a 2.2% increase in revenue and a slight increase in water sold (65.6 billion gallons sold in 2015 compared to 65.5 billion gallons sold in 2014).

Power Sales consist of sales of electricity to Xcel Energy and Tri-State Generation and Transmission Associates from seven power generating facilities: Dillon, Foothills, Gross, Hillcrest, Roberts Tunnel, Strontia Springs, and Williams Fork. Because power is generated by use of water turbines, differences in power sales from year to year are caused primarily by increases or decreases in water flows due to weather conditions or interruptions of power generating operations for repairs and maintenance.

***Special* assessments** consist primarily of delinquent bill charges, hydrant meter revenue, turn-off/turn-on charges, and charges for water violations and exemption permits. Differences from year to year are caused by increases or decreases in one or more of these components.

Other consists of refunds, project reimbursements, and miscellaneous fees.

- **NONOPERATING REVENUES** in 2016 increased $2.0 million, or 28% from 2015. They decreased $0.6 million, or 8% between 2015 and 2014 (see Table 4).

Table 4 - Nonoperating Revenues
(amounts expressed in thousands)

	Years Ended December 31,			2016 - 2015		2015 - 2014	
	2016	2015	2014	Increase (Decrease)	% Change	Increase (Decrease)	% Change
Investment income	**$ 1,603**	$ 1,479	$ 1,552	$ 124	8%	$ (73)	(5)%
Other nonoperating income	**7,426**	5,595	6,143	1,831	33	(548)	(9)
Total nonoperating revenues	**$ 9,029**	$ 7,074	$ 7,695	$ 1,955	28%	$ (621)	(8)%

Investment income changes from year to year are due to a combination of changes in interest rates earned on assets, changes in fair market values of financial assets, and changes in average investment balances.

Other nonoperating income varied from year to year primarily due to external grant funds which were higher in 2016 and 2014.

- **OPERATING EXPENSES** in 2016 increased $31.7 million, or 15% from 2015. They decreased $9.2 million, or 4% between 2015 and 2014 (see Figures 6, 7, 8 and Table 5).

Figure 6 - Total Operating Expenses

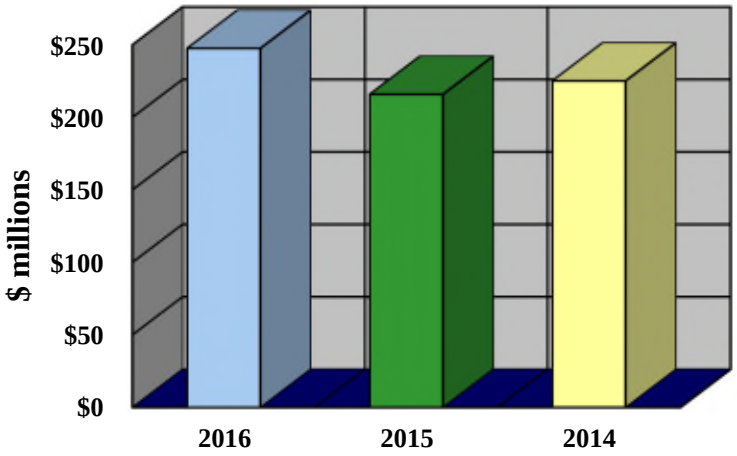


Table 5 - Operating Expenses by Category
(amounts expressed in thousands)

	Years Ended December 31,			2016 - 2015		2015 - 2014	
	2016	2015	2014	Increase (Decrease)	% Change	Increase (Decrease)	% Change
SOS, Treatment, T&D	**$ 82,418**	$ 75,972	$ 83,091	$ 6,446	8%	$ (7,119)	(9)%
General and administrative	**103,380**	81,994	85,347	21,386	26	(3,353)	(4)
Customer service	**11,370**	9,962	10,851	1,408	14	(889)	(8)
Depreciation and amortization	**50,352**	47,897	45,772	2,455	5	2,125	5
Total operating expenses	**$ 247,520**	$ 215,825	$ 225,061	$ 31,695	15%	$ (9,236)	(4)%

Major changes were as follows:

2016

Operating expenses increased in 2016 as compared to 2015. The increase was primarily due to operating costs associated with several large projects including flood repairs from the 2013 flood, cathodic protection expenses, the Aquifer Storage and Recovery Pilot, the reimplementation of the financial system, the Integrated Resource Plan (IRP), and costs associated with pollution remediation identified in the Operations Complex Redevelopment project. Operating expenses were also higher than 2015 as a result of a higher pension expense and the compensation study.

2015

Operating expenses decreased in 2015 as compared to 2014 primarily as a result of higher 2014 expenses for repairs at Dillon Reservoir and Cheesman Lake, expenses associated with the removal of sedimentation at Strontia Springs, and other repair costs associated with the 2013 flood. Additionally, expenses in 2014 were higher than 2015 because of repairs and maintenance at the Foothills Treatment Plant, an adjustment to the closure and postclosure care costs for the landfill and drying beds resulting from an updated cost study, and payments made as part of the Colorado River Cooperative Agreement.

The overall decrease in 2015 operating expenses was offset slightly by higher engineering and labor expenses associated with ongoing conduits, mains, and hydrants maintenance and repair, costs associated with the tear down of equipment at the Hillcrest Hydro Plant, and an increased payroll accrual for 2015.

- **NONOPERATING EXPENSES** in 2016 decreased $0.60 million, or 3% from 2015. They decreased $0.04 million, or 0.2% between 2015 and 2014 (see Table 6).

Table 6 - Nonoperating Expenses
(amounts expressed in thousands)

	Years Ended December 31,			2016 - 2015		2015 - 2014	
	2016	2015	2014	Increase (Decrease)	% Change	Increase (Decrease)	% Change
Interest expense	**$ 11,446**	$ 13,049	$ 12,664	$ (1,603)	(12)%	$ 385	3%
Loss on disposition of capital assets	**6,348**	4,720	5,394	1,628	34	(674)	(12)
Other nonoperating expense	**1,861**	2,499	2,252	(638)	(26)	247	11
Total nonoperating expenses	**$ 19,655**	$ 20,268	$ 20,310	$ (613)	(3)%	$ (42)	(0.2)%

Interest expense changes from year to year are due to a combination of differences in the amount of debt, interest rates paid on the debt, and interest expense capitalized for construction projects. When interest is capitalized, the interest is added to the cost of the project and deducted from interest expense.

Loss on disposition of capital assets in 2016 was primarily due to fleet equipment sold, write-offs of assets associated with the OCR project, and assets previously recorded in construction work in progress deemed to be not capital. The loss in 2015 was primarily due to fleet equipment sold and write-offs of mains, hydrants, and assets associated with the Ashland Reservoir tank replacement project.

Other nonoperating expense decreased $0.6 million, or 26% in 2016 primarily as a result of the reallocation of indirect costs between operating and nonoperating expenses offset by the write off of a prepaid long-term disability asset maintained under a self-insured plan that was sold to Unum. It increased $0.2 million, or 11% in 2015 primarily as a result of increased maintenance along the Highline Canal.

- **CAPITAL CONTRIBUTIONS** in 2016 decreased $8.3 million, or 12% from 2015. They increased $13.4 million, or 24% between 2015 and 2014 (see Table 7).

Table 7 - Capital Contributions
(amounts expressed in thousands)

	Years Ended December 31,			2016 - 2015		2015 - 2014	
	2016	2015	2014	Increase (Decrease)	% Change	Increase (Decrease)	% Change
Contributions in aid of construction	**$ 22,147**	$ 33,256	$ 23,190	$ (11,109)	(33)%	$ 10,066	43%
System development charges	**38,962**	36,109	32,736	2,853	8	3,373	10
Total capital contributions	**$ 61,109**	$ 69,365	$ 55,926	$ (8,256)	(12)%	$ 13,439	24%

Contributions in aid of construction represent facilities, or cash payments for facilities, conveyed to the distribution system from property owners, governmental agencies, and customers who receive

benefit from such facilities. Normally, differences from year to year are caused by the general level of construction activity in the Denver metropolitan area.

System development charges ("SDC") represent fees charged to customers to connect to the water system. Normally, differences from year to year are also caused by the general level of construction activity in the Denver metropolitan area.

CAPITAL ASSET ACTIVITY

The Board's capital assets at December 31, 2016 and 2015 amounted to $2.2 billion and $2.1 billion, net of accumulated depreciation and amortization, respectively. Capital asset additions in 2016 and 2015 were $152.5 million and $131.1 million, respectively, an increase of $21.4 million or 16%. Major projects were as follows (see Table 8):

Table 8 - Capital Additions
Year Ended December 31, 2016
(amounts expressed in thousands)

Operations Complex Redevelopment Project	$	47,158
Distribution Mains & Hydrants		31,903
Hillcrest Pump Station		16,341
North Water Treatment Plant		7,647
Motor Vehicles and Heavy Equipment		7,442
Ashland Pump Station		7,132
Antero Reservoir		6,651
Strontia Springs		4,349
Downstream Reservoirs		3,958
Treated Water Conduits		2,521
Moffat Tunnel		2,218
Highline Canal		1,890
Gross Reservoir		1,889
Other New Facilities		1,684
Recycled Water Conduits		1,672
Harvard Gulch		1,180
Foothills Treatment Plant		1,133
Treated Water Conduits		1,124
Cherry Hills Pump Station		1,013
Other		3,623
Total	$	152,528

Information on the Board's capital assets can be found in Note 4 to the basic financial statements.

LONG-TERM DEBT ACTIVITY

On November 20, 2013, the Board executed a credit agreement with Bank of America, N.A., to provide a variable rate revolving line of credit for a maximum initial principal amount of $30.0 million as an interim source of financing for capital improvements to the water works system. The agreement has the option to increase the commitment amount to a maximum of $50.0 million, subject to lender approval. The revolving agreement was amended in 2016 extending the termination date to November 15, 2018. In addition, certain terms of the agreement were amended to reflect market conditions present at the time of the amendment.

The Board drew $30.0 million on the line of credit in 2015 and paid the balance outstanding with proceeds from the Series 2016A bond issuance.

In 2016, the Board issued the Master Resolution Water Revenue Bonds Series 2016A and Series 2016B with principal amounts of $94.8 million and $63.5 million, respectively. After the payoff of the line of credit, the remaining proceeds from the Series 2016A bonds were used to fund capital improvements to the water works system. Proceeds from the Series 2016B bonds were placed in escrow with U.S. Bank, N.A. to advance refund $66.2 million in principal of the Master Resolution Water Revenue Bonds Series 2007A issue and to achieve a present value savings.

RATE CHANGE

Denver Water's previous rate structure had been in place for 20 years and in 2016 was updated to balance three objectives: affordability, conservation and revenue stability. The rate changes went into effect April 1, 2016. The new structure will begin to shift the Board's revenue from such a heavy reliance on usage to a more stable fixed fee over the next few years, which means that future rate increases will be less subject to bigger jumps because of unpredictable weather.

REQUESTS FOR INFORMATION

This financial report is designed to provide a general overview of the Board's finances for all those with an interest in the Board's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to:

Chief Finance Officer
Denver Water
1600 W. 12th Ave.
Denver, CO 80204-3412

BOARD OF WATER COMMISSIONERS
CITY AND COUNTY OF DENVER, COLORADO
Statements of Net Position
December 31, 2016 and 2015
(Amounts expressed in thousands)

	2016	2015
ASSETS		
CURRENT ASSETS:		
Cash	$ 21,277	$ 21,490
Short-term investments, at fair value, including accrued interest	232,590	172,065
Restricted investments - debt service	14,005	12,047
Restricted investments - other	500	-
Accounts receivable	21,261	20,633
Materials and supplies inventory, at weighted average cost	5,668	5,793
Prepaid expenses	456	543
Total current assets	295,757	232,571
NONCURRENT ASSETS:		
Capital assets:		
Capital depreciable	2,593,735	2,553,862
Capital non-depreciable	204,893	204,883
	2,798,628	2,758,745
Less accumulated depreciation and amortization	(844,614)	(806,830)
	1,954,014	1,951,915
Utility plant under capital lease, less accumulated amortization of $11,822 and $11,261, respectively	31,158	31,719
Construction in progress	259,690	163,266
Net capital assets	2,244,862	2,146,900
Other noncurrent assets:		
Long-term investments	19,022	33,558
Prepaid expenses and other assets	4,684	4,084
Long-term receivable	14,190	15,374
Total other noncurrent assets	37,896	53,016
Total noncurrent assets	2,282,758	2,199,916
Total assets	2,578,515	2,432,487
DEFERRED OUTFLOWS OF RESOURCES		
Deferred amount on refunding	6,941	4,316
Pension-related deferred outflows of resources	34,168	15,979
Total deferred outflows of resources	41,109	20,295
Total assets and deferred outflow of resources	2,619,624	2,452,782

BOARD OF WATER COMMISSIONERS
CITY AND COUNTY OF DENVER, COLORADO
Statements of Net Position
December 31, 2016 and 2015
(Amounts expressed in thousands)

	2016	2015
LIABILITIES		
CURRENT LIABILITIES:		
Accounts payable	$ 20,313	$ 11,936
Payroll and other employee benefits	17,344	14,017
Construction contracts (including retainages of $5,224 and $2,911 respectively)	13,951	6,243
Accrued interest on long-term debt	2,620	1,157
Unearned revenue	226	-
Current portion of revenue bonds payable	19,595	21,565
Current portion of obligation under capital lease	2,418	2,263
Total current liabilities	76,467	57,181
NONCURRENT LIABILITIES:		
Notes payable	-	30,000
Revenue bonds payable, net	434,743	353,153
Obligation under capital lease	6,797	9,215
Customer advances for construction	3,402	7,676
Compensated absences	3,463	4,577
Net pension liability	72,856	46,255
Other postemployment benefits	10,149	10,799
Waste disposal closure and postclosure care	6,300	6,230
Total noncurrent liabilities	537,710	467,905
Total liabilities	614,177	525,086
DEFERRED INFLOWS OF RESOURCES		
Pension-related deferred inflows of resources	-	9,666
Total deferred inflows of resources	-	9,666
Total liabilities and deferred inflows of resources	614,177	534,752
NET POSITION		
Net investment in capital assets	1,788,250	1,735,020
Restricted for debt service	14,005	12,047
Other Restricted	500	-
Unrestricted	202,692	170,963
Total net position	$ 2,005,447	$ 1,918,030

See accompanying notes to basic financial statements.

BOARD OF WATER COMMISSIONERS
CITY AND COUNTY OF DENVER, COLORADO
Statements of Revenues, Expenses, and Changes in Net Position
Years Ended December 31, 2016 and 2015
(Amounts expressed in thousands)

	2016	2015
OPERATING REVENUES:		
Water	$ 273,238	$ 241,836
Power generation and other	11,216	10,224
Total operating revenues	284,454	252,060
OPERATING EXPENSES:		
Source of supply, pumping, treatment and distribution	82,418	75,972
General and administrative	103,380	81,994
Customer service	11,370	9,962
Depreciation and amortization	50,352	47,897
Total operating expenses	247,520	215,825
OPERATING INCOME	36,934	36,235
NONOPERATING REVENUES (EXPENSES):		
Investment income	1,603	1,479
Interest expense, less capitalized interest of $4,193 and $3,084, respectively	(11,446)	(13,049)
Loss on disposition of capital assets	(6,348)	(4,720)
Other income	7,426	5,595
Other expense	(1,861)	(2,499)
Total nonoperating expenses, net	(10,626)	(13,194)
INCOME BEFORE CAPITAL CONTRIBUTIONS	26,308	23,041
CAPITAL CONTRIBUTIONS:		
Contributions in aid of construction	22,147	33,256
System development charges	38,962	36,109
Total capital contributions	61,109	69,365
INCREASE IN NET POSITION	87,417	92,406
NET POSITION:		
Beginning of year	1,918,030	1,825,624
End of year	$ 2,005,447	$ 1,918,030

See accompanying notes to basic financial statements.

BOARD OF WATER COMMISSIONERS
CITY AND COUNTY OF DENVER, COLORADO
Statements of Cash Flows
Years Ended December 31, 2016 and 2015
(Amounts expressed in thousands)

	2016	2015
CASH FLOWS FROM OPERATING ACTIVITIES:		
Receipts from customers	$ 285,261	$252,149
Payments to employees	(120,539)	(100,210)
Payments to suppliers	(68,298)	(71,434)
Other receipts	7,401	5,622
Other payments	(5,869)	(4,382)
Net cash provided by operating activities	97,956	81,745
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES:		
Proceeds from contributions in aid of construction ("CIAC") and prepaid CIAC	2,335	8,713
Proceeds from system development charges ("SDC") and prepaid SDC	38,752	36,109
Proceeds from sales of capital assets	2,143	1,117
Proceeds from notes payable	-	30,000
Proceeds from long-term revenue bonds, plus premium, less issuance costs	70,363	-
Acquisition of capital assets	(124,842)	(106,672)
Principal payments for long-term bonds	(21,565)	(27,000)
Principal payments for capital lease obligations	(2,263)	(2,117)
Interest paid (includes capitalized interest of $4,193 and $3,084, respectively)	(16,248)	(18,802)
Net cash used for capital and related financing activities	(51,325)	(78,652)
CASH FLOWS FROM INVESTING ACTIVITIES:		
Proceeds from sales and maturities of investments	250,540	122,892
Interest received from investments	1,373	1,648
Purchases of investments	(298,757)	(134,255)
Net cash used for investing activities	(46,844)	(9,715)
NET INCREASE (DECREASE) IN CASH	(213)	(6,622)
CASH, AT BEGINNING OF YEAR	21,490	28,112
CASH, AT END OF YEAR	$ 21,277	$ 21,490

BOARD OF WATER COMMISSIONERS
CITY AND COUNTY OF DENVER, COLORADO
Statements of Cash Flows
Years Ended December 31, 2016 and 2015
(Amounts expressed in thousands)

	2016	2015
RECONCILIATION OF OPERATING INCOME TO NET CASH PROVIDED BY OPERATING ACTIVITIES:		
Operating income	$ 36,934	$ 36,235
Adjustments to reconcile operating income to net cash provided by operating activities-		
Other revenues	7,426	5,595
Other expenses	(5,869)	(2,499)
Depreciation and amortization of capital assets	50,352	47,897
Change in assets and liabilities-		
Accounts receivable and long-term receivable	556	116
Materials and supplies inventory	88	605
Prepaid expenses - current	87	(109)
Prepaid expenses and other assets - noncurrent	(600)	(1,009)
Deferred outflows of resources - pension related	(18,189)	279
Accounts payable	8,377	1,380
Payroll and other employee benefits	2,213	1,532
Unearned revenue	226	-
Net pension liability	26,601	(1,764)
Other postemployment benefits	(650)	(191)
Waste disposal closure and postclosure care	70	91
Deferred inflows of resources - pension related	(9,666)	(6,413)
Net cash provided by operating activities	$ 97,956	$ 81,745
NONCASH CAPITAL AND RELATED FINANCING ACTIVITIES:		
Assets acquired through contributions in aid of construction	$ 19,812	$ 24,543
Assets acquired through system development charges	$ 210	$ -
Increase (decrease) in fair value of investments	(34)	(106)
Loss on disposition of capital assets	(6,348)	(4,720)
Deferred loss on refunding	2,625	(336)

See accompanying notes to basic financial statements.

BOARD OF WATER COMMISSIONERS
CITY AND COUNTY OF DENVER, COLORADO
Notes to Basic Financial Statements
December 31, 2016 and 2015

Note

1 Summary of Significant Accounting Policies:
- A. Reporting Entity
- B. Measurement Focus and Basis of Accounting
- C. Accounting Standards
- D. Use of Estimates
- E. Restricted Net Position and Flow Assumption for Restricted Net Position
- F. Cash
- G. Investments
- H. Materials and Supplies Inventory
- I. Capital Assets
- J. Capital Contributions
- K. Employee Compensated Absences
- L. Pension Plan
- M. Operating Revenues and Expenses
- N. Rates and Fees
- O. Financial System Reimplementation and Revised Chart of Accounts
- P. Recently Issued Accounting Standards

2 Deposits and Investments

3 Accounts Receivable

4 Capital Assets

5 Risk Management

6 Notes and Bonds Payable

7 Leases

8 Waste Disposal Closure and Postclosure Care

9 Changes in Long-Term Liabilities

10 Pension Plan

11 Other Retirement Plans

12 Other Postemployment Benefits

13 Pollution Remediation Liability

14 Capital Contributions

15 Contingencies

16 Contract Commitments

17 Subsequent Events

(1) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

A. Reporting Entity

The Board of Water Commissioners (the "Board") was created under the Charter of the City and County of Denver, Colorado (the "City") as an independent, nonpolitical board. The Board has complete charge and control of a water works system and plant, which supplies water to customers located within the City and to entities serving other customers located in certain outlying areas in the Denver metropolitan area. Also, as a byproduct of water operations, the Board operates seven hydropower plants which generate power for sale to Xcel Energy and Tri-State Generation and Transmission Association, for internal consumption, and for repayment to the U.S. Department of Energy for power interference.

The Board has a five-member governing body, which is appointed by the Mayor of the City for overlapping six-year terms. In accordance with Governmental Accounting Standards Board ("GASB") Statements No. 14, *The Financial Reporting Entity*, No. 39, *Determining Whether Certain Organizations Are Component Units, an amendment of GASB Statement No. 14*, and No. 61, *The Financial Reporting Entity: Omnibus*, the Board is classified as a special-purpose "other stand-alone government." A special-purpose other stand-alone government is defined as a legally separate governmental organization that (a) does not have a separately elected governing body and (b) does not meet the definition of a component unit because it does not have a financial benefit or burden relationship with a primary government.

The Board is a "related organization" in the City's financial reporting entity. A related organization is defined as an organization for which a primary government is not financially accountable (because it does not impose its will or have a financial benefit or burden relationship) even though the primary government appoints a voting majority of the organization's governing board.

The Board has no component units as defined in GASB Statements No. 14, 39, and 61.

B. Measurement Focus and Basis of Accounting

The Board, as a business type activity, is accounted for in an enterprise fund, which is used to report any activity for which a fee is charged to external users for goods or services. The Board's basic financial statements are accounted for on the flow of economic resources measurement focus, using the accrual basis of accounting. Under this method, all assets and liabilities associated with operations are included on the statements of net position, revenues are recorded when earned, and expenses are recorded at the time liabilities are incurred. Under the terms of grant agreements, the Board funds certain programs using a combination of cost-reimbursement grants and general revenues. It is the Board's policy to first apply cost-reimbursement grant resources to such programs, followed by general revenues.

C. Accounting Standards

The Board applies all applicable pronouncements of the GASB.

D. Use of Estimates

The preparation of basic financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions. These estimates may affect the reported amounts of assets and liabilities, disclosure of contingent assets and liabilities at the date of the basic financial statements, and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

E. Restricted Net Position and Flow Assumption for Restricted Net Position

Restricted net position consists of both the revenue bonds debt reserve fund, the revenue bonds debt service account and amounts restricted for grants included in cash and short-term investments. The revenue bonds debt service account is used to pay principal and interest on the revenue bonds as they become due. The revenue bonds debt reserve fund is set aside to pay bondholders in the event that funds are not available at the time the debt payment is due. These restricted funds are used for their intended purpose before unrestricted funds.

F. Cash

The definition of cash for purposes of the statements of cash flows is cash on deposit in the Water Works Fund, cash in lock box, and cash on hand.

G. Investments

The Board's investments consist of money market investments (commercial paper and money market mutual funds), local government investment pools, U.S. Treasury, U.S. agency, commercial paper, and corporate notes and bonds. The money market investments and local government investment pools are measured at net asset value which is generally equivalent to fair value. U.S. Treasury, U.S. agency, commercial paper, and corporate notes and bonds investments are fair value based on quoted market prices (see Note 2, *Deposits and Investments*).

H. Materials and Supplies Inventory

Materials and supplies inventory is valued at weighted average cost, which approximates lower of cost or market.

I. Capital Assets

Purchased and constructed capital assets are recorded at cost. Donated capital assets are recorded at their estimated fair market value on the date received. Assets are capitalized if they have a cost of $50,000 or more and have a useful life of more than one year.

Land and water rights are also recorded at cost. Land is not depreciated and water rights are granted in perpetuity and not amortized.

Depreciation and amortization are computed using the straight-line method over the estimated useful lives of the respective depreciable or amortizable asset classes as follows:

Depreciation Lives by Asset Class	Years
Buildings and components	10 - 80
Machinery and equipment	5 - 80
Furniture and office equipment	10 - 20
Motor vehicles and motorized equipment	10 - 15

Maintenance and repairs are charged to expense as incurred, whereas major betterments are capitalized and depreciated or amortized. At the time of retirement or disposition of depreciable property, the related cost

and accumulated depreciation are removed from the accounts, and the resulting gain or loss is reflected in nonoperating revenues (expenses).

Interest during the construction period is capitalized on major construction projects.

Beginning in 2015, process or system assets were capitalized rather than individual component units. Because the process or system asset may be made up of many component assets, the capitalization threshold was adjusted from $5,000 to $50,000.

J. Capital Contributions

Capital contributions consist of contributions in aid of construction ("CIAC") and system development charges ("SDC"). CIAC represent facilities, or cash payments for facilities, received from developers, property owners, governmental agencies, or customers who receive benefit from such facilities. SDC represent fees charged to customers to connect to the water system. Contributions are recognized in the statements of revenues, expenses, and changes in net position, after nonoperating revenues (expenses), when earned. Assets acquired through CIAC are included in capital assets. Depreciation applicable to such assets is computed using the straight-line method over the useful life associated with the contributed asset, and is included in operating expenses (see Note 14, *Capital Contributions*).

K. Employee Compensated Absences

The Board's policy is to accrue as an expense and liability employee vacation, sick leave and other compensated absences, including related payroll taxes. At the end of 2016, compensated absences were accrued at 100%, in preparation of the conversion to paid time off (PTO) in 2017.

L. Pension Plan

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Employees' Retirement Plan of the Denver Board of Water Commissioners (the "Plan") and additions to and/or deductions from the Plan's fiduciary net position have been determined on the same basis as they are reported by the Plan. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

M. Operating Revenues and Expenses

Operating revenues consist primarily of charges to customers directly or indirectly related to the sale of water. Operating expenses consist of the cost of providing water and power, including administrative expenses and depreciation on capital assets. All other revenues and expenses are classified as nonoperating.

The Board accrues for estimated unbilled revenues for water provided through the end of each year from the last reading of the meters, based on the billing cycle.

N. Rates and Fees

Under Article X, Section 10.1.9 of the City Charter, the Board is empowered to set rates for all of its customers. These rates "...may be sufficient to pay for operation, maintenance, reserves, debt service, additions, extensions, betterments, including those reasonably required for the anticipated growth of the Denver metropolitan area, and to provide for Denver's general welfare...."

Consumption and Service Charges

On December 14, 2016, the Board approved a water rate increase, effective April 1, 2017. The rate increase is designed to increase overall total system water rate revenue by 3.0%.

On December 16, 2015, the Board approved a water rate increase and rate structure change, effective April 1, 2016. The rate increase is designed to increase overall total system water rate revenue by 3.8%. The rate structure change is designed to make water rate revenues more stable and better reflect modern demands.

On October 8, 2014, the Board approved a water rate increase, effective February 1, 2015, designed to increase overall total system water rate revenue by 2.2%.

System Development Charges ("SDC")

There was no SDC adjustment made in 2015 or 2016.

O. Financial System Reimplementation and Revised Chart of Accounts

In 2016, the Board completed phase one of the Organizational Reporting and Communication Alignment (ORCA) project. As part of phase one, the financial structure and chart of accounts were completely overhauled resulting in certain variances in year over year comparisons, and a shift in how indirect costs are allocated to functions. In addition, certain reclassifications have been made to prior year's information to conform to the current year presentation.

P. Recently Issued Accounting Standards

There were no new GASB statements that impacted the Board in 2016.

In 2015, the Board implemented GASB Statement No. 68, *Accounting and Financial Reporting for Pensions*, and GASB Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date*, and restated the 2014 financial statements. The primary effect was to record the Board's net pension liability of $46.3 million and $48.0 million on the Statements of Net Position as of December 31, 2015 and 2014, respectively. The cumulative effect of applying these statements was reported as a restatement of beginning 2014 net position in the amount of $65.4 million. See Note 10, *Pension Plan*.

In 2015, the Board early implemented GASB Statement No. 72, *Fair Value Measurement and Application*. Because the Board was already reporting investments at fair value, the primary effect of the implementation was additional note disclosures. See Note 2, *Deposits and Investments*.

(2) DEPOSITS AND INVESTMENTS

A. Cash Deposits with Financial Institutions

Custodial Credit Risk - Deposits

Custodial credit risk for deposits is the risk that in the event of a bank failure, the Board's deposits may not be returned to it. All of the Board's cash deposits are either insured by FDIC or covered by the Colorado Public Deposit Protection Act ("PDPA") (C.R.S., 11-10.5-101). Under the PDPA all deposits exceeding the amount insured by the FDIC are required to be fully collateralized at 102% of the deposits with specific approved securities identified in the act. Deposits collateralized under the PDPA are considered

collateralized with securities held by the pledging financial institutions' trust department or agent in the Board's name. All of the deposits of the Board at December 31, 2016 and 2015 were either insured by FDIC or collateralized under the Colorado Public Depository Act and are therefore not exposed to custodial credit risk.

B. Investments

A reconciliation of cash and investments reported on the *Statements of Net Position* as of December 31, is as follows:

Cash and Investments (amounts expressed in thousands)	December 31, 2016	December 31, 2015
Cash	$ 21,277	$ 21,490
Short-term investments, at fair value, including accrued interest	232,590	172,065
Restricted investments - debt service	14,005	12,047
Restricted investments - other	500	-
Long-term investments	19,022	33,558
Total investments	266,117	217,670
Total cash and investments	$287,394	$239,160

Colorado statutes and the City Charter authorize the Board to expend funds for the operation of the Board, including the purchase of investments. It is the policy of the Board to invest funds in priority order to preserve principal, provide sufficient liquidity, and to obtain a market rate of return within the constraints of the Board's investment policy. Operational needs and prevailing market conditions affect the investment portfolio allocation at year-end. The table below identifies the investment types that are authorized by the Board's investment policy, as well as certain provisions of the investment policy that address interest rate risk, credit quality risk and concentration of credit risk.

Investments Authorized by the Board's Investment Policy
December 31, 2016 and 2015

Authorized Investment Type	Maximum Maturity	Minimum Issuer Credit Quality[1]	Maximum in Portfolio[2]	Maximum Investment One Issuer[2]
U.S. Treasury securities	5 years	Not applicable	No limit	No limit
U.S. agency securities	4 years	AA- / Aa3	50%	15%
Commercial paper	270 days	A-1 / P-1	25%[3]	5%[4]
Corporate fixed income securities	3 years	AA- / Aa3	25%[3]	5%[4]
Money market mutual funds	Not applicable	AAAm	25%	5%
Local government investment pools	Not applicable	AAAm	10%	5%
Certificates of deposit	180 days	AA- / Aa3	15%	10%
Bankers' acceptances	180 days	A-1 / P-1	25%[3]	5%[4]
Repurchase agreements	Overnight	AA- / Aa3	25%	25%
Municipal bonds	5 years	AA- / Aa3	15%	5%

[1]Investments must meet minimum credit quality at time of purchase. Investments that fall below minimum credit quality may be sold or held to maturity at the discretion of the Board. Ratings are S&P first and Moody's second.

[2]Calculated as a percentage of book value of the aggregate cash and investment portfolio at purchase.

[3]Maximum concentration in aggregate for commercial paper, corporate fixed income securities and bankers' acceptances.

[4]Maximum concentration in a single issuer of commercial paper, corporate fixed income securities and bankers' acceptances.

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Normally the longer the maturity of an investment the greater the sensitivity of its fair value to changes in market interest rates. The Board manages interest rate risk by purchasing investments with varying maturities, continuously investing a portion of the portfolio in readily available funds, limiting total investments maturing in more than 3 years to 25% of the portfolio and limiting the maximum maturity of investments by type of investment.

Investments with call features increase the sensitivity of their fair values to increasing interest rates. The Board's portfolio of U.S. agency securities includes callable securities. At December 2016 and 2015, the Board owned callable securities with a fair value of $3.0 million and $2.0 million, respectively. The Board's callable securities are categorized in accordance with their final maturity dates in the tables below.

The Board's cash and investments at December 31, 2016 and 2015, and their maturities were as follows:

Cash, Current and Long-Term Investments
December 31, 2016
(amounts expressed in thousands)

Investment type	Percent of Investment Portfolio	Fair Value	Investment Maturities (in years) 1 or less	1 - 3	3 - 5
U.S. Treasury securities	47.7%	$126,946	$122,921	$ 4,025	$ -
U.S. agency securities	28.0%	74,524	71,550	2,974 [1]	-
Commercial paper	3.8%	9,983	9,983	-	-
Corporate fixed income securities	7.0%	18,609	6,586	12,023	-
Money market funds	11.7% [2]	31,051	31,051	-	-
Local government investment pools	1.9%	5,004	5,004	-	-
Total investments	100.0%	266,117	$247,095	$ 19,022	$ -
Cash		21,277			
Total cash and investments		$287,394			

[1] $3.0 million in corporate fixed income securities are callable beginning in 2017.

[2] The Board's investment policy established maximum concentrations based on total cash, cash equivalents, and investments at the time of purchase. There is no requirement to sell investments if the concentration changes at a later date due to market factors.

Cash, Current and Long-Term Investments
December 31, 2015
(amounts expressed in thousands)

Investment type	Percent of Investment Portfolio	Fair Value	Investment Maturities (in years) 1 or less	1 - 3	3 - 5
U.S. Treasury securities	35.7%	$ 77,613	$ 60,577	$ 17,036	$ -
U.S. agency securities	41.1%	89,570	73,048	16,522 [1]	-
Commercial paper	4.1%	8,996	8,996	-	-
Corporate fixed income securities	1.2% [2]	2,510	2,510	-	-
Money market funds	17.9%	38,981	38,981	-	-
Total investments	100.0%	217,670	$ 184,112	$ 33,558	$ -
Cash		21,490			
Total cash and investments		$ 239,160			

[1] $2.0 million in agency securities are callable beginning in 2016.

[2] The Board's investment policy established maximum concentrations based on total cash, cash equivalents, and investments at the time of purchase. There is no requirement to sell investments if the concentration changes at a later date due to market factors.

Credit Risk

Credit risk is the risk that the issuer of a debt security will not fulfill its obligations to the holder of the obligation. National rating agencies assess this risk and assign a credit quality rating for most investments. U.S. agency securities held in the portfolio are securities issued by government sponsored enterprises. These securities are not explicitly guaranteed by the federal government. Presented below are the lowest credit ratings at December 31, 2016 and 2015, for each investment type.

Investment Ratings
December 31, 2016
(amounts expressed in thousands)

S&P/Moody's Ratings[1]	U.S. Treasury Securities	U.S. Agency Securities	Commercial Paper	Corporate Fixed Income Securities	Money Market Mutual Funds	Local Government Invetment Pools	Total
AAA/Aaa	$ -	$ 8,985	$ -	$ 5,188	$ -	$ -	$ 14,173
AAAm	-	-	-	-	31,051	5,004	$ 36,055
A-1/P-1	-	38,427	9,983	-	-	-	$ 48,410
AA/Aa	126,946	27,112	-	13,421	-	-	$ 167,479
A/A	-	-	-	-	-	-	$ -
	$ 126,946	$ 74,524	$ 9,983	$ 18,609	$ 31,051	$ 5,004	$ 266,117

[1]Actual credit ratings as of the year end for each investment type. For securities with split ratings the lowest rating is shown. Securities that fall below the minimum credit quality may be sold or held at the discretion of the Board.

Investment Ratings
December 31, 2015
(amounts expressed in thousands)

S&P/Moody's Ratings[1]	U.S. Treasury Securities	U.S. Agency Securities	Commercial Paper	Corporate Fixed Income Securities	Money Market Mutual Funds	Total
AAAm	$ -	$ -	$ -	$ -	$ 38,981	$ 38,981
A-1/P-1	-	55,441	8,996	-	-	64,437
AA/Aa	77,613	34,129	-	2,510	-	114,252
A/A	-	-	-	-	-	-
	$ 77,613	$ 89,570	$ 8,996	$ 2,510	$ 38,981	$ 217,670

[1]Actual credit ratings as of the year end for each investment type. For securities with split ratings the lowest rating is shown. Securities that fall below the minimum credit quality may be sold or held at the discretion of the Board.

Concentration of Credit Risk

The Board's investments comply with the requirements of the investment policy. Specific limitations within the investment policy are displayed in the schedule titled *Investments Authorized by the Board's Investment Policy*. Generally accepted accounting principles require disclosure of certain investments in any one issuer that exceed five percent concentration of total investments. The following investments represent five percent or more of the Board's total investments at December 31, 2016 and 2015:

Concentration of Credit Risk (amounts expressed in thousands)		
	December 31,	
Issuer	2016	2015
	Fair Value	Fair Value
Federal Farm Credit Bank - (FFCB)	$ -	$14,552
Federal Home Loan Bank - (FHLB)	17,988	12,999
Federal Home Loan Mortgage Corporation - (FHLMC)	16,504	27,493
Federal National Mortgage Association - (FNMA)	19,001	34,526

Fair Value

The Board categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are valued using a matrix pricing technique. Matrix pricing is used to value securities based on the securities' relationship to benchmark quoted process; Level 3 inputs are significant unobservable inputs.

The Board has the following recurring fair value measurements as of December 31, 2016 and 2015:

Investments Measured at Fair Value December 31, 2016 (amounts expressed in thousands)				
		Fair Value Measurements Using		
	12/31/2016	Level 1	Level 2	Level 3
Investments by fair value level:				
U.S. Treasury securities	$ 126,946	$126,946	$ -	$ -
U.S. agency securities	74,524	-	74,524	-
Commercial paper	9,983	-	9,983	-
Corporate fixed income securities	18,609	-	18,609	-
Total investments by fair value level	230,062	$126,946	$103,116	$ -
Investments measured at net asset value (NAV):				
Local government investment pools	5,004			
Money market funds	31,051			
Total investments by NAV	$ 36,055			
Total investments	$ 266,117			

Investments Measured at Fair Value
December 31, 2015
(amounts expressed in thousands)

	12/31/2015	Fair Value Measurements Using Level 1	Level 2	Level 3
Investments by fair value level:				
U.S. Treasury securities	$ 77,613	$ 77,613	$ -	$ -
U.S. agency securities	89,570	-	89,570	-
Commercial paper	8,996	-	8,996	-
Corporate fixed income securities	2,510	-	2,510	-
Total investments by fair value level	178,689	$ 77,613	$ 101,076	$ -
Money market funds (measured at net asset value)	38,981			
Total investments	$ 217,670			

The valuation method for investments measured at the net asset value (NAV) per share (or its equivalent) is presented on the following table:

Investments Measured at NAV
December 31, 2016
(amounts expressed in thousands)

	Fair Value	Unfunded Commitments	Redemption Frequency	Redemption Notice Period
Local government investment pools	$ 5,004	$ -	Daily	same day
Money market funds	31,051	-	Daily	same day
	$ 36,055	$ -		

Investments Measured at NAV
December 31, 2015
(amounts expressed in thousands)

	Fair Value	Unfunded Commitments	Redemption Frequency	Redemption Notice Period
Money market funds	$ 38,981	$ -	Daily	same day

The Colorado Local Government Liquid Asset Trust (COLOTRUST) (the Trust), is an investment vehicle established for local government entities in Colorado to pool surplus funds. The State Securities Commissioner administers and enforces all State statutes governing the Trust. The Trust operates similarly to a money market fund and each share is equal in value to $1.00. The Trust offers shares in two portfolios, COLOTRUST PRIME and COLOTRUST PLUS+. Both portfolios may invest in U.S. Treasury securities

and repurchase agreements collateralized by U.S. Treasury securities. COLOTRUST PLUS+ may also invest in certain obligations of U.S. government agencies, highest rated commercial paper and any security allowed under CRS 24-75-601. A designated custodial bank serves as custodian for the Trust's portfolios pursuant to a custodian agreement. The custodian acts as safekeeping agent for the Trust's investment portfolios and provides services as the depository in connection with direct investments and withdrawals. The custodian's internal records segregate investments owned by the Trust. COLOTRUST is rated AAAm by Standard & Poor's. There are no unfunded commitments, the redemption frequency is daily and there is no redemption notice period.

The money market funds include four money market funds that invest in U.S. Treasury securities, federal instrumentality securities, and agency securities. Unitized mutual funds are reported at fair value based upon the net asset value of shares/units held at year end, provided by fund administrators. All investments contained in the mutual funds are valued in accordance with the authoritative guidance on fair value measurements and disclosures. Funds are available for withdrawal daily.

(3) ACCOUNTS RECEIVABLE

Current and long-term accounts receivable at December 31, 2016 and 2015 were as described below. Other receivables include receivables for contributions in aid of construction, system development charges, non-potable and hydrant water sales, and power sales. Long-term receivables represent financing arrangements with various suburban water districts for the sale of water. The Board has no allowance for uncollectible accounts as it relates to water sales since non-payment of receivables may result in discontinuation of service that attaches to the property location. A $150,000 allowance for uncollectible accounts was established in 2016 to recognize the potential of uncollectible amounts in non-water sales receivables.

Accounts Receivable
(amounts expressed in thousands)

	December 31,			
	2016		2015	
Total Accounts Receivable				
Current				
Water sales	$ 16,783	79%	$ 16,412	80%
Other	4,478	21	4,221	20
Total Current	$ 21,261	100%	$ 20,633	100%
Long-term	$ 14,190		$ 15,374	
From the City and County of Denver (included above)				
Current				
Water sales	$ 195		$ 284	
Other	-		9	
Total Current	195		293	
Long-term	-		-	
Total from City and County of Denver	$ 195		$ 293	

(4) CAPITAL ASSETS

Capital asset activity for the years ended December 31, 2016 and 2015 were as follows:

Capital Assets
Year Ended December 31, 2016
(amounts expressed in thousands)

	December 31, 2015	Additions & Transfers	Sales & Retirements	December 31, 2016
Capital assets not being depreciated:				
Land and land rights	$ 99,098	$ 10	$ -	$ 99,108
Water rights and other	105,785	-	-	105,785
Construction in progress	163,266	96,424	-	259,690
Total capital assets not being depreciated	368,149	96,434	-	464,583
Capital assets being depreciated:				
Buildings and improvements	201,538	2,733	(4,942)	199,329
Improvements other than buildings	2,002,297	42,961	(835)	2,044,423
Machinery and equipment	393,007	10,400	(10,444)	392,963
Total capital assets being depreciated	2,596,842	56,094	(16,221)	2,636,715
Less accumulated depreciation:				
Buildings and improvements	(47,372)	(3,959)	2,878	(48,453)
Improvements other than buildings	(570,105)	(27,209)	727	(596,587)
Machinery and equipment	(200,614)	(19,184)	8,402	(211,396)
Total accumulated depreciation	(818,091)	(50,352)	12,007	(856,436)
Total capital assets being depreciated, net	1,778,751	5,742	(4,214)	1,780,279
Total capital assets, net	$ 2,146,900	$ 102,176	$ (4,214)	$ 2,244,862

Capital Assets
Year Ended December 31, 2015
(amounts expressed in thousands)

	December 31, 2014	Additions & Transfers	Sales & Retirements	Category Reclass[1]	December 31, 2015
Capital assets not being depreciated:					
Land and land rights	$ 115,291	$ 14,042	$ -	$ (30,235)	$ 99,098
Water rights and other	75,550	-	-	30,235	105,785
Construction in progress	171,215	(7,949)	-	-	163,266
Total capital assets not being depreciated	362,056	6,093	-	-	368,149
Capital assets being depreciated:					
Buildings and improvements	281,772	442	(184)	(80,492)	201,538
Improvements other than buildings	1,955,572	106,645	(4,858)	(55,062)	2,002,297
Machinery and equipment	246,368	17,874	(6,789)	135,554	393,007
Total capital assets being depreciated	2,483,712	124,961	(11,831)	-	2,596,842
Less accumulated depreciation:					
Buildings and improvements	(76,257)	(4,056)	138	32,803	(47,372)
Improvements other than buildings	(578,572)	(31,684)	2,252	37,899	(570,105)
Machinery and equipment	(121,358)	(14,040)	5,486	(70,702)	(200,614)
Total accumulated depreciation	(776,187)	(49,780)	7,876	-	(818,091)
Total capital assets being depreciated, net	1,707,525	75,181	(3,955)	-	1,778,751
Total capital assets, net	$ 2,069,581	$ 81,274	$ (3,955)	$ -	$ 2,146,900

[1]In 2015, assets were transferred between previous asset categories into functional program asset categories.

Depreciation and amortization for the years ended December 31, 2016 and 2015 were as follows:

Depreciation and Amortization
(amounts expressed in thousands)

	Years Ended December 31, 2016	Years Ended December 31, 2015
Operating expenses, water service	$ 50,352	$ 47,897
Nonoperating expenses	-	130
Other, as allocated	-	1,753
Total depreciation and amortization	$ 50,352	$ 49,780

Major retirements during 2016 were primarily the result of assets disposed of as part of the Operations Complex Redevelopment (OCR) project and fleet equipment sold. Major retirements during 2015 were primarily the result of fleet equipment sold and write-offs of mains, hydrants, and assets associated with the Ashland Reservoir tank replacement project.

(5) RISK MANAGEMENT

The Board is exposed to various risks of losses including torts, general liability, property damage (all limited under the Colorado Governmental Immunity Act to $350,000 per person and $990,000 per occurrence), and employee life, medical, dental, and accident benefits. The Board has a risk management program that includes self-insurance for liability, employee medical (including stop-loss coverage), dental, and vision. The Board carries commercial property insurance for catastrophic losses, including floods, fires, earthquakes and terrorism, for scheduled major facilities including the Westside Complex, Marston Treatment Plant and Lab, Moffat Treatment Plant, Foothills Treatment Plant, the Recycling Plant, and water turbines. It carries limited insurance for other nonscheduled miscellaneous locations. The Board also carries commercial insurance for life, accident, short and long term disability, employee dishonesty, and fiduciary exposure.

The Board is self-insured for workers' compensation and carries an excess liability (stop loss) policy for individual claims exceeding $500,000. Prior to February 1, 2016 the Board was insured for Workers' compensation insurance by a large deductible policy whereby the Board was responsible for the first $250,000 per claim with a maximum aggregate cost of $2.6 million. In addition, the Board is at times party to pending or threatened lawsuits under which it may be required to pay certain amounts upon their final disposition. Settled claims have not exceeded this commercial coverage in any of the past three fiscal years.

Claims expenses and liabilities are reported when it is probable that a loss has occurred and the amount of that loss can be reasonably estimated. These losses include an estimate of claims that have been incurred but not reported (IBNR). At December 31, 2016 and 2015 IBNR claims, consisting of workers compensation, and medical and dental benefits, were $1.3 million and $1.0 million, respectively. There were no legal claims outstanding at year-end. Changes in the balances of these liabilities during 2016 and 2015 were as follows:

Claims Liabilities
(amounts expressed in thousands)

	Beginning-of-Year Liability	Current-Year Claims and Changes in Estimates	Claim Payments	Balance at Year-End
2016	$ 1,041	$ 12,938	$ (12,636)	$ 1,343
2015	$ 919	$ 11,778	$ (11,656)	$ 1,041

Medical, dental, and workers compensation claims liabilities are reported in *Payroll and Other Employee Benefits*; and legal claims, if any, are reported in *Accounts Payable* on the *Statements of Net Position.* It is expected the claims will be paid in the next twelve months.

(6) NOTES AND BONDS PAYABLE

A. Notes Payable

On November 20, 2013, the Board executed a credit agreement with Bank of America, N.A., to provide a variable rate revolving note payable for a maximum initial principal amount of $30.0 million as an interim source of financing for capital improvements to the water works system. It was the intention of the Board

to periodically pay down the note payable by issuing revenue bonds. The revolving credit facility is payable solely from net revenue and is subordinate to the lien on the Board's outstanding revenue bonds. The credit facility was amended in 2016 extending the maturity to November 2018 and adjusting applicable margins. The credit facility contains an option to increase the credit amount to $50.0 million. The funds drawn on the line of credit are classified as long-term liabilities because the debt provisions permit refinancing the note on a long-term basis. Notes Payable activity for the years ended December 31, 2016 and 2015 was as follows:

Notes Payable
(amounts expressed in thousands)

	Beginning Balance	Draws	Repayments	Ending Balance
2016	$ 30,000	$ -	$ 30,000	$ -
2015	$ -	$30,000	$ -	$30,000

B. Revenue Bonds Payable

Revenue Bonds payable consists of water revenue improvement and refunding bonds of the Board. The Board has pledged to repay the bonds and related interest from net revenues, and to maintain adequate rates to ensure its ability to do so. Coupon rates for the revenue bonds outstanding at December 31, 2016 and 2015 ranged from 0.75% to 6.15% each year. The weighted average yield to maturity at issue for outstanding bonds was 2.73% and 3.24% for the years ended December 31, 2016 and 2015, respectively. The weighted average yield is calculated net of Build America Bond subsidy of 35% for the Series 2009A and Series 2010B revenue bonds adjusted in 2016 by 6.9% and in 2015 by 6.8% for the congressional sequestration. In accordance with the issuing bond resolutions, the Board has established a reserve fund for the revenue bonds totaling $14.0 and $12.0 million at December 31, 2016 and 2015, respectively.

The Board issued the Series 2016A and 2016B master resolution water revenue bonds on May 10, 2016 in an aggregate principal amount of $94.8 and $63.5 million, respectively. The true interest cost at sale was 2.7% for the Series 2016A and 2.3% for Series 2016B. The proceeds from the sale of the Series 2016A were used to finance additions and improvements to the water system operated by the Board and to pay down $30 million of the Bank of America credit facility. The Series 2016B master resolution water revenue bonds were used to advance refund a portion of the Series 2007A master resolution water revenue bonds. The proportionate share of proceeds for the advance refunding, together with cash funds of $1,045,000 from the Series 2007A debt service reserve fund were placed in an irrevocable trust with an escrow agent to defease $66.2 million in aggregate principal of the revenue bonds.

The advance refunding resulted in a difference between the reacquisition price and the net carrying amount of the old debt ("deferred amount on refunding") of $3.1 million. This difference, reported in the accompanying basic financial statements as a *Deferred Outflow of Resources*, is being amortized using the straight line method as a component of interest expense through 2037. The remaining unamortized amount of refunding of all bonds considered defeased is $6.9 million and $4.3 million at December 31, 2016 and 2015, respectively.

The Board completed the advance refunding to reduce its total debt service payments and to obtain an economic gain (difference between the present values of the old and new debt service payments). The

reduction in total debt service requirements over the next 22 years is $17.3 million, with an economic gain of $12.5 million.

A summary of debt maturity for the revenue bonds as of December 31, 2016 is as follows:

Revenue Bonds
December 31, 2016
(amounts expressed in thousands)

	Principal	Interest[1]	Total
Year of Maturity:			
Current:	$ 19,595	$ 18,452	$ 38,047
Long-term:			
2018	19,925	17,546	37,471
2019	19,390	16,615	36,005
2020	16,190	15,725	31,915
2021	16,910	14,964	31,874
2022-2026	72,620	64,064	136,684
2027-2031	72,780	49,477	122,257
2032-2036	86,380	34,031	120,411
2037-2041	71,590	16,213	87,803
2042-2045	43,200	3,425	46,625
	418,985	232,060	651,045
Plus premium	15,758	-	15,758
Total long-term	434,743	232,060	666,803
	$ 454,338	$ 250,512	$ 704,850

[1]Excludes Build America Bonds interest subsidy. Amounts received during 2016 and 2015 were $2,184,000 and $2,179,000, respectively. The Board is eligible to receive approximately $33.3 million over the remaining life of the bonds, subject to appropriations by Congress.

(7) LEASES

A. Capital Lease

On July 21, 1992, the Board entered into an agreement amending the lease agreement of March 3, 1987 with the Colorado River Water Conservation District ("District") whereby the District was required to construct Ritschard Dam and Wolford Mountain Reservoir ("Wolford") on Muddy Creek, a tributary of the Colorado River north of Kremmling, Colorado. In consideration of quarterly and semiannual lease payments for 27 years beginning after issuance of a notice of award for construction and payments of 40% of the annual operating costs of Wolford beginning after the end of the lease term, the District will convey to the Board at the end of the lease term ownership, use and control of 40% of the storage capacity of Wolford and 40% of the water rights. The present value of the minimum lease payments at the beginning of the lease term, including a $2.4 million nonrefundable deposit, was $43.0 million, and the Board recorded

an asset and obligation under capital lease of that amount in 1992. The project was completed in the fall of 1995. The assets under the Wolford capital lease by major asset class, recorded in Utility Plant under Capital Lease, are as follows:

Assets Under Capital Lease - Wolford Mountain
(amounts expressed in thousands)

	December 31, 2016	December 31, 2015
Improvements other than buildings	$ 42,980	$ 42,980
Less: accumulated amortization	(11,822)	(11,261)
	$ 31,158	$ 31,719

Minimum capital lease payments were $3.0 million during both 2016 and 2015. The following is a schedule by year of future minimum lease payments, together with the present value of the minimum lease payments as of December 31, 2016:

Obligation Under Capital Lease - Wolford Mountain
As of December 31, 2016
(amounts expressed in thousands)

Year Ending December 31:	
2017	3,000
2018	3,000
2019	3,000
2020	1,500
Total minimum lease payments	10,500
Less interest at 6.75%	(1,285)
Present value of minimum lease payments (obligation under capital lease)	9,215
Less current portion	(2,418)
Total long-term	$ 6,797

B. Operating Leases

The Board is committed under various cancellable operating leases for property and equipment. Lease expenses for the years ended December 31, 2016 and 2015 were $1.2 million and $1.0 million, respectively. The Board expects these leases to be replaced in the ordinary course of business with similar leases. Future lease payments should approximate the amount expensed in 2016.

(8) WASTE DISPOSAL CLOSURE AND POSTCLOSURE CARE

The Board operates a landfill and residuals drying beds at the Foothills Water Treatment Plant for disposal of aluminum sulfate solids/residuals generated as a by-product of the potable water treatment process at the

Foothills and Marston Water Treatment Plants. It also operates residuals drying beds near the Ralston Reservoir and at West 41st Avenue and Independence Court for dewatering of aluminum sulfate solids/residuals generated as a by-product of the potable water treatment process at the Moffat Water Treatment Plant. These sites have been in operation since 1995. State and federal laws and regulations require the Board to perform certain closing functions on these disposal sites when they stop accepting residuals, including placing a final cover on the Foothills landfill and performing certain maintenance and monitoring functions at the Foothills landfill for thirty years after closure.

Although these sites are not municipal solid waste landfills, and are outside the scope of GASB Statement No. 18, *Accounting for Municipal Solid Waste Landfill Closure and Postclosure Care Costs*, ("GASB No. 18"), the Board voluntarily implemented the provisions of that statement in 2000 to meet State of Colorado and federal financial assurance requirements discussed below.

During 2013, Colorado revised its Solid Waste regulations to require reporting for the Foothills and 41st and Independence drying beds, which were previously not required to be reported. Also, the change in regulations no longer requires recording a liability for postclosure care costs for drying beds if they are "clean closed," which means that all residuals are removed upon closure. Despite this, the postclosure care liability for Ralston drying beds of $767,000 and $760,000, respectively, has been included in 2016 and 2015 pending receipt of a revised Certificate of Designation from Jefferson County.

As required by GASB No. 18, although closure and postclosure care costs will be paid only near or after the date that the disposal sites stop accepting waste, the Board reports a portion of the Foothills closure and postclosure care costs as an operating expense and liability in each year based on landfill capacity used as of each *Statement of Net Position* date. The Board reports the entire liability for closure costs for the Foothills, Ralston, and 41st and Independence residual drying beds since they are not "filled" like a landfill, but are reusable.

Approximately $6.3 million and $6.2 million was reported as *Waste Disposal Closure and Postclosure Care* liability in the *Statements of Net Position*, at December 31, 2016 and 2015, respectively, for the sites as follows:

Waste Disposal Closure and Postclosure Care Liability
(amounts expressed in thousands)

	Foothills	Ralston	41st & Independence	Total
2016				
Closure Costs	$ 2,470	$ 2,142	$ 634	$ 5,246
Postclosure Care Costs	287	767	-	$ 1,054
	$ 2,757	$ 2,909	$ 634	$ 6,300
2015				
Closure Costs	$ 2,446	$ 2,120	$ 628	$ 5,194
Postclosure Care Costs	276	760	-	1,036
	$ 2,722	$ 2,880	$ 628	$ 6,230

These costs are based on the use of 24.8% and 24.1% of the active portion of the Foothills landfill at December 31, 2016 and 2015, respectively, and 100% of the Foothills, Ralston, and 41st and Independence drying beds. The Board will recognize the remaining estimated cost of the Foothills postclosure care of

$868,000 as the remaining capacity is filled. These amounts are based on what it would cost to perform all closure and postclosure care in 2016. Actual cost may be higher due to inflation, changes in technology, or changes in regulations. The remaining life of the Foothills landfill is estimated to be approximately 72.5 years for the active disposal area of 61.7 acres. In addition, there is expansion capability of 62 acres with an indefinite life. The Foothills, Ralston, and 41st and Independence drying beds have an indefinite life.

The Board is required by state and federal laws and regulations to establish financial assurance sufficient to ensure full payment of closure and postclosure care of its disposal sites by selecting one of a variety of financial mechanisms. The Board chose the "Local Government Financial Test" which includes profitability requirements, minimum general obligation bond ratings, unmodified audit opinions, and the implementation of GASB No. 18.

(9) CHANGES IN LONG-TERM LIABILITIES

Long-term liability activity for the years ended December 31, 2016 and 2015 were as follows:

Long-Term Liabilities
Year Ended December 31, 2016
(amounts expressed in thousands)

	December 31, 2015 (Current and Long-Term)	2016 Additions	2016 Reductions	December 31, 2016 (Current and Long-Term)	Due Within One Year
Notes Payable	$ 30,000	$ -	$ (30,000)	$ -	$ -
Revenue bonds payable, net	374,718	172,365	(92,745)	454,338	19,595
Obligation under capital lease	11,478	-	(2,263)	9,215	2,418
Customer advances for construction	7,676	21,883	(26,157)	3,402	-
Compensated absences	7,421	13,412	(4,859)	15,974	12,511 [1]
Net Pension Liability	46,255	26,601	-	72,856	-
Other postemployment benefits	10,799	1,605	(2,255)	10,149	-
Waste disposal closure	6,230	70	-	6,300	-
	494,577	$ 235,936	$ (158,279)	572,234	$ 34,524
Less current portion	(26,672)			(34,524)	
Total long-term liabilities	$ 467,905			$ 537,710	

[1] Included in Payroll and Other Employee Benefits in the Statements of Net Position.

Long-Term Liabilities
Year Ended December 31, 2015
(amounts expressed in thousands)

	December 31, 2014 (Current and Long-Term)	2015 Additions	2015 Reductions	December 31, 2015 (Current and Long-Term)	Due Within One Year
Notes Payable	$ -	$ 30,000	$ -	$ 30,000	$ -
Revenue bonds payable, net	404,605	-	(29,887)	374,718	21,565
Obligation under capital lease	13,595	-	(2,117)	11,478	2,263
Customer advances for construction	3,010	11,126	(6,460)	7,676	-
Compensated absences (accrued sick leave)	7,417	554	(550)	7,421	2,844 [1]
Net Pension Liability	48,019	-	(1,764)	46,255	-
Other postemployment benefits	10,990	2,722	(2,913)	10,799	-
Waste disposal closure	6,139	91	-	6,230	-
	493,775	$ 44,493	$ (43,691)	494,577	$ 26,672
Less current portion	(32,042)			(26,672)	
Total long-term liabilities	$ 461,733			$ 467,905	

[1]Included in Payroll and Other Employee Benefits in the Statements of Net Position.

(10) PENSION PLAN

The Board implemented GASB Statement No. 68, *Accounting and Financial Reporting for Pensions*, and GASB Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date* in 2015 and restated 2014 financial statements.

General Information about the Pension Plan

Plan Description

The Board sponsors and administers a trusteed, single-employer defined benefit pension plan, (the "Plan"). The Plan provides retirement benefits with limited annual cost-of-living adjustments to retired members and, if elected by the member, to his or her surviving spouse. Members of the Plan include substantially all regular and discretionary full-time and part-time employees of the Board. Article X, Section 10.1.6 of the Charter of the City assigns the authority to establish and amend benefit provisions to the Board. The Plan contains provisions regarding amendments, including a provision for employee voting on amendments in specifically described situations. The Plan issues a publicly available financial report that includes financial statements and required supplementary information for the Plan. That report may be obtained by writing to: Treasurer, MC 210, Denver Water, 1600 West 12th Avenue, Denver, CO 80204-3412. It can also be obtained from the Denver Water website.

Benefits Provided

The Plan provides retirement benefits with limited annual cost-of-living adjustments to retired members and, if elected by the member, to his or her surviving spouse. It also provides retirement service in the event of disability, and a $5,000 death benefit to retirees receiving monthly payments from the plan. Retirement benefits are calculated based on the employee's (a) average final compensation during the 36 consecutive months out of the last 120 completed calendar months of employment with the Board that produce the highest average; (b) the "Covered Compensation" for Social Security tax purposes; (c) years of credited service; (d) age when pension benefit begins; and (e) the form chosen to receive pension benefits. The basic monthly benefit from the Plan for the normal retirement age of 65 will equal the sum of the following amounts: (1) .015 times the average final compensation times the number of years of credited service, and (2) .0045 times the amount by which the average final compensation exceeds the covered compensation times the number of years of credited service. There are also early retirement options beginning at age 55. Monthly pension benefits are automatically adjusted at the beginning of each year to reflect the annual rate of change in the Consumer Price Index from the previous year, limited to no more than 4.4%.

Employees Covered by Benefit Terms

At January 1, 2015 and 2014, the valuation date, the following employees were covered by the benefit terms:

Employees Covered by Pension Plan Benefit Terms

	2015	2014
Inactive employees or beneficiaries currently receiving benefits	587	558
Inactive employees entitled to but not yet receiving benefits	90	91
Active employees	1,034	1,023
	1,711	1,672

Contributions

Article X, Section 10.1.6 of the Charter of the City assigns the authority to establish and amend the contribution requirements to the Board. The Board's funding policy is established and may be amended by the Board, which acts as trustee of the Plan. The Board reserves the right to suspend, reduce, or permanently discontinue all contributions at any time, pursuant to the termination provisions of the Plan.

On August 28, 2013, the Board adopted the Employees' Retirement Plan Funding Policy effective for 2014 and future years. The Policy defines the objectives of the Board in funding the Plan. In accordance with the policy, the Board will base its contributions to the Plan on Actuarially Determined Contributions ("ADC") calculated annually by an independent actuary using agreed upon methods and assumptions developed by the Actuarial Standards Board and specified in the funding policy. The primary objective of the Policy is to provide sufficient assets to pay all benefits promised under the Plan and to minimize the volatility of contribution payments from year to year. Plan members are not allowed to make contributions. For the years ended December 31, 2016 and 2015, the Board contributed $14.5 million to the Plan.

Net Pension Liability

The Board has elected a measurement date for the current year-end as of the prior year-end. Therefore, the net pension liability reported as of December 31, 2016 was measured as of December 31, 2015, and the net pension liability reported as of December 31, 2015 was measured as of December 31, 2014. The total pension liability used to calculate the net pension liability for 2016 and 2015 was determined by an actuarial valuation performed as of January 1, 2015 and January 1, 2014.

Actuarial Assumptions

The Entry Age Normal actuarial cost method was used to measure the total pension liability. The actuarial assumptions for 2016 included (a) 7.25% investment rate of return, (b) age based salary increases ranging from 6.25% to 3.35% per year for funding, and (c) 2.75% inflation factor. The actuarial assumptions for 2015 included (a) 7.50% investment rate of return, (b) projected salary increases ranging from 6.1% to 3.6% per year, and (c) 3.0% inflation factor. The actuarial value of Plan assets was determined using techniques that smooth the effects of short-term volatility in the market value of investments over a three-year period. Effective January 1, 2014, the Plan's unfunded actuarial accrued liability will be amortized in level dollar amounts over 15 years on a layered basis, which more closely reflects the average period of active service of Plan members.

Mortality rates used for 2016 were based on the RP-2000 Combined Healthy Mortality Table, projected to 2020 using Scale BB. Mortality rates used for 2015 were based on the RP-2000 Combined Healthy Mortality Table, blended 50% blue collar adjusted and 50% white collar adjusted, and projected to 2021 using Scale AA.

The actuarial assumptions that determined the total pension liability as of January 1, 2015 and January 1 2014, were based on the results of an actuarial experience study for the period 2005 through 2009.

Discount Rate

The discount rate used to measure the total pension liability for 2016 was 7.25% and 7.50% for 2015. The projection of cash flows used to determine the discount rate assumed that Board contributions will be made at approximately the current actuarially determined contribution rate. Based on this assumption, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimate of the 30-year geometric mean return for each major asset class are summarized in the following table:

Target Asset Allocation and Long-Term Expected Return As of January 1, 2015		
Asset Class	Target Allocation	Long-Term Expected Real Rate of Return
Domestic equity	32.5%	5.1%
International equity	20.0%	5.0%
Domestic fixed income	15.0%	0.8%
Hedge funds	10.0%	3.0%
Public real assets	5.0%	3.8%
Real estate	17.5%	3.8%
	100.0%	

Sensitivity of the Net Pension Liability to Changes in Discount Rate

The following presents the net pension liability of the Board, calculated using the discount rate of 7.25% for 2016 and 7.50% for 2015, as well as what the Board's net pension liability would be if it were calculated using the discount rate that is one percentage point lower or one percentage point higher than the current rate:

Sensitivity of the Net Pension Liability to Changes in Discount Rate As of December 31, 2016 (amounts expressed in thousands)			
	1% Decrease (6.25%)	Current Discount Rate (7.25%)	1% Increase (8.25%)
Net pension liability	$ 114,468	$ 72,856	$ 37,689

Sensitivity of the Net Pension Liability to Changes in Discount Rate As of December 31, 2015 (amounts expressed in thousands)			
	1% Decrease (6.5%)	Current Discount Rate (7.5%)	1% Increase (8.5%)
Net pension liability	$ 84,924	$ 46,255	$ 13,420

Pension Plan Fiduciary Net Position

Detailed information about the Plan's fiduciary net position is available in the separately issued Plan financial report discussed above.

Changes in the Net Pension Liability

Changes in Net Pension Liability
As of December 31, 2016
(amounts expressed in thousands)

	Increase (Decrease)		
	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net Pension Liability (a) - (b)
Balances at 12/31/15	$ 348,594	$ 302,339	$ 46,255
Changes for the year:			
Service cost	6,757	-	6,757
Interest on total pension liability	25,820	-	25,820
Effect of plan changes	-	-	-
Effect of economic/demographic gains or losses	801	-	801
Effect of assumptions changes or inputs	10,152	-	10,152
Benefit payments	(20,693)	(20,693)	-
Employer contributions	-	14,500	(14,500)
Member contributions	-	-	-
Net investment income	-	2,473	(2,473)
Administrative expenses	-	(44)	44
Net changes	22,837	(3,764)	26,601
Balances at 12/31/16	$ 371,431	$ 298,575	$ 72,856

Changes in Net Pension Liability As of December 31, 2015 (amounts expressed in thousands)			
	Increase (Decrease)		
	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net Pension Liability (a) - (b)
Balances at 12/31/14	$ 337,844	$ 289,825	$ 48,019
Changes for the year:			
Service cost	6,071	-	6,071
Interest on total pension liability	25,044	-	25,044
Effect of plan changes	-	-	-
Effect of economic/demographic gains or losses	-	-	-
Effect of assumptions changes or inputs	-	-	-
Benefit payments	(20,365)	(20,365)	-
Employer contributions	-	14,500	(14,500)
Member contributions	-	-	-
Net investment income	-	18,523	(18,523)
Administrative expenses	-	(144)	144
Net changes	10,750	12,514	(1,764)
Balances at 12/31/15	$ 348,594	$ 302,339	$ 46,255

For the years ended December 31, 2016 and 2015, the Board recognized pension expense of $13.2 million and $ 6.6 million, respectively. At December 31, 2016 and 2015, the Board reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

Deferred Outflows and Inflows of Resources Related to Pensions As of December 31, 2016 (amounts expressed in thousands)		
	Deferred Inflows of Resources	Deferred Outflows of Resources
Economic/demographic gains or losses	$ -	$ 1,883
Net difference between projected and actual earnings	-	9,132
Assumption changes	-	8,653
Contributions made subsequent to measurement date	-	14,500
Total	$ -	$ 34,168

Deferred Outflows and Inflows of Resources Related to Pensions As of December 31, 2015 (amounts expressed in thousands)	Deferred Inflows of Resources	Deferred Outflows of Resources
Economic/demographic gains or losses	$ -	$ 1,479
Net difference between projected and actual earnings	(9,666)	-
Contributions made subsequent to measurement date	-	14,500
Total	$ (9,666)	$ 15,979

The $14.5 million reported as deferred outflows of resources related to pensions, resulting from contributions subsequent to the measurement date, as of December 31, 2015, was recognized as a reduction of the net pension liability in the year ended December 31, 2016. The $14.5 million reported as deferred outflows of resources related to pensions, resulting from contributions subsequent to the measurement date, as of December 31, 2016, will be recognized as a reduction of the net pension liability in the year ended December 31, 2017.

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Amortization of Deferred Outflows and Inflows of Resources Related to Pensions As of December 31, 2016 (amounts expressed in thousands)	
Year ended December 31,	
2017	2,319
2018	2,319
2019	6,339
2020	5,741
2021	1,702
Thereafter	1,248

Amortization of Deferred Outflows and Inflows of Resources Related to Pensions As of December 31, 2015 (amounts expressed in thousands)		
Year ended December 31,		
2016	$	(3,142)
2017		(3,143)
2018		(3,143)
2019		878
2020		279
Thereafter		84

(11) OTHER RETIREMENT PLANS

The Board sponsors and administers the Denver Water Supplemental Retirement Savings Plan ("SRSP"). The SRSP is a 401(k) defined contribution plan. Article X, Section 10.1.6 of the Charter of the City assigns the authority to establish and amend benefit provisions to the Board. All regular and discretionary employees are eligible to participate in the plan. Under the terms of the plan, the Board will make a matching contribution to the SRSP's trust fund each year in an amount equal to 100% of each participant's elective contributions, limited to 3% of the participant's base salary for the year. During 2016 and 2015, the Board made contributions totaling approximately $2.0 million in both years, respectively and members contributed approximately $4.5 million in both years, respectively, to the SRSP. Employee rollovers from other plans to the SRSP were $1.2 million in 2016 and $1.3 million in 2015.

The Board sponsors and administers a deferred compensation plan that is available for its employees, created in accordance with Internal Revenue Code Section 457. The plan, available to all regular and discretionary employees, permits them to defer a portion of their salary until future years. The deferred compensation is not available to employees until termination, retirement, death, or qualifying unforeseeable emergency. Participation in the plan is voluntary. The Board may make discretionary employer contributions to a qualified participant. Discretionary employer contributions are limited by Treasury Regulations under I.R.S. Code §415, 401(a)(17).

(12) OTHER POSTEMPLOYMENT BENEFITS

Plan Description

The Board provides two types of other postemployment benefits ("OPEB") as follows:

a. Postemployment Healthcare Benefits

For employees hired before January 16, 2012, the Board provides a postemployment healthcare benefit through a single-employer, defined benefit plan. The benefit is in the form of partially subsidized health care costs, until the retiree attains age 65. The benefit is provided through the Board's self-insured health plan to employees and dependents who meet eligibility requirements of the postemployment healthcare benefit plan. The eligibility requirements include retiring under the Special Early Retirement (Rule of 75) provision of the Board's defined benefit pension plan, taking an immediate distribution of pension benefits, and being covered as an employee or dependent under the employee healthcare plan, excluding COBRA

coverage, at the time of retirement. The subsidy is separate from the Board's defined benefit retirement plan and is not paid out of retirement plan funds. Currently, 155 retirees are receiving this benefit. The Board provides this benefit under authority of Article X, Section 10.1.6 of the City Charter, which assigns the authority to establish and amend benefit provisions to the Board. In January 2012, the Board discontinued its subsidy for this benefit for employees hired on or after January 16, 2012. However, employees can still access this program upon reaching age 60, at full cost. In January 2014, the Board changed the benefit for those hired after January 16, 2012, by increasing the minimum age from 55 to 60, with some transition options.

b. *Long-Term Disability*

A long-term disability ("LTD") insured plan is provided for each employee who attains regular status. Prior to 2007, this benefit was self-insured. Beginning January 2016, Unum took over the remainder of the self-insured plan. Any employee who becomes disabled on or after January 1, 2007, is covered under the terms of an insured plan. The insured plan is an 84-day elimination period for LTD benefits with a benefit of 60% of pay to a maximum of $10,000 per month. Benefits are payable during the first two years if the disabled employee is incapable of employment at his or her own occupation with a 20% or more loss in indexed monthly earnings. Thereafter, benefits are payable provided the disabled employee continues to experience 20% or more reduction in indexed monthly earnings while working in any occupation or is incapable of employment at any occupation. Benefit duration depends on age at disability. Benefits are payable to age 65 for disabilities that occur before age 60. If the disability occurs after age 60, benefit duration depends on a benefit payment schedule. Under the insured plan, the obligation for the payment of benefits has been effectively transferred to the insurance company. The Board has guaranteed benefits in the event of the insurance company's insolvency.

Neither OPEB plan issues a separate report.

Funding Policy

The Board's funding policy is established and may be amended by the Board. The Board is not required to establish an irrevocable trust fund to accumulate assets for payment of future OPEB benefits, and has elected not to do so. Payments of OPEB benefits are made on a pay-as-you-go basis in amounts necessary to provide current benefits to recipients. For the year ended December 31, 2016, the Board contributed $2.3 million to the postemployment healthcare benefits plan (approximately 74% of estimated premium equivalent costs). Retirees receiving benefits contributed $800,000, or approximately 26% of the estimated premium equivalent costs. The Board paid $1,000 in LTD benefits in 2016 and $240,000 in LTD insurance premiums. For the year ended December 31, 2015, the Board contributed $2.0 million to the postemployment healthcare benefits plan (approximately 71% of estimated premium equivalent costs). Retirees receiving benefits contributed $798,000, or approximately 29% of the estimated premium equivalent costs. The Board paid $28,000 in LTD benefits in 2015 and $462,000 in LTD insurance premiums.

Annual OPEB Cost and Net OPEB Obligation

The Board's annual OPEB cost (expense) is calculated based on the annual required contribution of the employer ("ARC"), an amount actuarially determined in accordance with the parameters of GASB Statement 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial liabilities over a period not to exceed thirty years. As of January 2016, all long term disability benefits are maintained in an insured plan. As such, long term disability benefits are no longer considered when calculating the annual OPEB cost and net OPEB obligation. The following tables show the components of the Board's annual OPEB costs, the amount

actually contributed to the OPEB plan, and changes in the Board's net OPEB obligation for the years ended December 31, 2016 and 2015:

Annual OPEB Cost and Net OPEB Obligation
Year Ended December 31, 2016
(amounts expressed in thousands)

	Healthcare	LTD[1]	Total
Annual required contribution (ARC)	$ 1,773	$ -	$ 1,773
Interest on net OPEB obligation (asset)	432	-	432
Adjustment to ARC	(600)	-	(600)
Annual OPEB cost	1,605	-	1,605
Contributions made	(2,255)	(1)	(2,256)
Increase in net OPEB obligation (asset)	(650)	(1)	(651)
Net OPEB obligation (asset) - beginning of year	10,799	(568)	10,231
Write off of LTD prepaid asset		569	569
Net OPEB obligation (asset) - end of year	$ 10,149	$ -	$ 10,149

[1]Denver Water no longer has a self insured long-term disability plan.

Annual OPEB Cost and Net OPEB Obligation
Year Ended December 31, 2015
(amounts expressed in thousands)

	Healthcare	LTD[1]	Total
Annual required contribution (ARC)	$ 1,974	$ 13	$ 1,987
Interest on net OPEB obligation (asset)	439	(22)	417
Adjustment to ARC	(611)	31	(580)
Annual OPEB cost	1,802	22	1,824
Contributions made	(1,993)	(28)	(2,021)
Increase in net OPEB obligation (asset)	(191)	(6)	(197)
Net OPEB obligation (asset) - beginning of year	10,990	(562)	10,428
Net OPEB obligation (asset) - end of year	$ 10,799	$ (568)	$ 10,231

[1]This is the self-insured portion only. The LTD asset is recorded in *Prepaid Expenses and Other Assets* in the Statements of Net Position.

The Board's annual OPEB cost, the percentage of annual OPEB cost contributed to the OPEB plan, and the net OPEB obligation for 2016 and the two preceding years were as follows:

Annual OPEB Cost and Percentage of Required Contribution (amounts expressed in thousands)				
Year Ended December 31,	Annual OPEB Cost	Contributions Made	Percentage of Annual OPEB Cost Contributed	Net OPEB Obligation
2016	$ 1,605	$ 2,256	140.6%	$ 10,149
2015	1,824	2,021	110.8	10,231
2014	2,044	1,972	96.5	10,428

Funded Status and Funding Progress

As of January 1, 2016 the most recent actuarial valuation date, the plan was 0% funded. The actuarial accrued liability for benefits was $19.2 million, and the actuarial value of assets was $0, resulting in an unfunded actuarial accrued liability (UAAL) of $19.2 million. The covered payroll (annual payroll of active employees covered by the OPEB plan) was $75.7 million, and the ratio of the UAAL to the covered payroll was 25.4%

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. A schedule of funding progress, presented as required supplementary information, presents multiyear trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liability for benefits. See Exhibit I-C *OPEB Plan Schedule of Funding Progress*.

Actuarial Methods and Assumptions

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and the plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

In the January 1, 2016 actuarial valuation, the projected unit credit with 30-year open, level dollar amortization, actuarial cost method was used. The actuarial assumptions included a 4.00 percent investment rate of return (net of administrative expenses and including an inflation component of 2.75%). The annual healthcare cost trend rate based on the Getzen Trend Model smoothed each year out to 2030 is 4.50 percent. The actuarial value of assets was not determined as the Board has not advance funded the obligation. The amortization period of the UAAL is a level dollar amount over 30 years on an open basis.

(13) POLLUTION REMEDIATION LIABILTY

In 2016, as part of the Operations Complex Redevelopment project, a site assessment determined that a portion of the soil around the Operations Complex was contaminated with Polycyclic Aromatic

Hydrocarbons, or ash. The source of the ash is unknown. Approximately $890,000 was expended in 2016 for the disposal of the contaminated soil. At the end of 2016, a liability was accrued for $500,000 to cover the estimated costs to dispose of the remaining identified contaminated soil during 2017. This liability is shown in Accounts Payable on the Statements of Net Position. The assumptions used to estimate the remaining liability were 1) the estimated area to be disturbed of 392,526 square feet, 2) exploratory boring results indicating that approximately two-thirds of that area will need remediation, and 3) the average cost of the previous remediation work was $1.80 per square foot. The actual cost could vary depending on depth and the soil conditions discovered once the work commences.

(14) CAPITAL CONTRIBUTIONS

Inception-to-date and current year proceeds from contributions in aid of construction ("CIAC") and system development charges ("SDC") were as follows:

Capital Contributions
Years Ended December 31, 2016 and 2015
(amounts expressed in thousands)

	CIAC	SDC
Inception through December 31, 2014	$ 488,622	$ 708,802
2015 Additions	33,256	36,109
Inception through December 31, 2015	521,878	744,911
2016 Additions	22,147	38,962
Inception through December 31, 2016	$ 544,025	$ 783,873

(15) CONTINGENCIES

In the normal course of business, there are various outstanding legal proceedings, claims, commitments, and contingent liabilities. In the opinion of management, the ultimate disposition of these matters will not have a materially adverse effect on the Board's financial statements.

(16) CONTRACT COMMITMENTS

Contractual commitments as of December 31, 2016 for construction and other purposes are estimated at $306.5 million.

Organizational Reporting and Communication Alignment

The Organizational Reporting and Communication Alignment (ORCA) project is a multi-year, multi-phase effort to re-implement and rebuild the financial structure and chart of accounts in the enterprise financial system. Phase one of the project was completed mid-year 2016. Phase two, beginning in 2017, expands

the utilization of the enterprise financial system to include procurement and expense management, and changes to time and attendance reporting. The total estimated budget for the project is $7 million.

Northwater Treatment Plant

The Northwater Treatment Plant (NTP) is a new 150 million gallons per day (MGD) facility to be constructed on Denver Water's Ralston Reservoir property north of Golden on Colorado State Highway 93. The new facility will replace the Moffat Water Treatment Plant, which is approaching the end of its useful life. The new treatment plant is expected to increase system reliability and flexibility with its modern design. The design of the NTP will be split into several different packages allowing for various components to be conducted by different prime consultants. The design execution will be completed by seven prime consultants and multiple subconsultants. There is an Owner's Representative (OR) that is responsible for the oversight and delivery of the Project. The OR will be part of an integrated team including Denver Water's Project Manager and the Construction Manager at Risk (CMAR) Project Manager. Early phases of construction are estimated to begin in 2018. The preliminary budget for the project is estimated at $400 million.

Operations Complex Redevelopment

A new campus master plan was approved by the Board in 2013. Design started in 2014, with construction expected to be complete by December 2019. The plan includes two phases of construction. Phase 1 includes the operations buildings and site work, with Phase 2 including the administration and wellness buildings, and parking structure. Construction commenced at the end of 2015 and into 2016 with all Phase 1 design components under construction. The meter shop is nearly 70% complete, the warehouse, fleet and trades buildings are roughly 68%, 50%, and 45% complete respectively. Design efforts are underway for Phase 2 with the issuance of the construction documents for the parking structure in December and the March release of the construction documents for the administration building. The goal is to build a modern site that improves the efficiency, functionality, security and safety of the Board's operations. Many of the current buildings are more than 50 years old and are no longer adequate for today's demands. The new layout will improve traffic and work flow, while taking advantage of matching functions with building adjacencies. Sustainability is a key factor, as the complex is being designed to incorporate LEED certification, educational demonstrations of net zero energy and leading-edge concepts around the management of all water sources. The projected budget for this project has been set at $195.8 million.

(17) SUBSEQUENT EVENTS

The Board has evaluated subsequent events through April 28, 2017 which is the date the basic financial statements were available to be issued and has identified the following subsequent event:

The Board is planning to issue approximately $205 million in Series 2017A-B capital improvement revenue bonds on May 10 and May 11, 2017 with and expected close date of May 24, 2017. The Series 2017A bonds, in the amount of $160 million will be designated "Green Bonds" and the Series 2017B bonds, in the amount of $45 million will be designated water revenue bonds.

The term "Green Bonds" is used to describe bonds that are issued specifically to finance environmentally beneficial projects. Proceeds from the Series 2017A will be used to partially finance the redevelopment of Denver Water's main operating and administrative complex (the "Operations Complex Redevelopment Project"). Proceeds from the Series 2017B will be used to fund other large capital projects such as the Hillcrest Reservoir Tank Replacement project and Denver Water's Northwater Treatment Plant design.

REQUIRED SUPLEMENTARY INFORMATION

BOARD OF WATER COMMISSIONERS
CITY AND COUNTY OF DENVER, COLORADO

REQUIRED SUPPLEMENTARY INFORMATION
Schedule of Changes in the Net Pension Liability and Related Ratios
2007 - 2016
(amounts expressed in thousands)

	2016	2015	2014	2013	2012	2011	2010	2009	2008	2007
Total pension liability										
Service cost	$ 6,757	$ 6,071	$ 6,046	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Interest	25,820	25,044	24,051	-	-	-	-	-	-	-
Effect of plan changes	-	-	-	-	-	-	-	-	-	-
Effect of economic/demographic (gains) or losses	801	-	2,037	-	-	-	-	-	-	-
Effect of changes of assumptions	10,152	-	-	-	-	-	-	-	-	-
Benefit payments	(20,693)	(20,365)	(17,850)	-	-	-	-	-	-	-
Net change in pension liability	22,837	10,750	14,284	-	-	-	-	-	-	-
Total pension liability-beginning	348,594	337,844	323,560	-	-	-	-	-	-	-
Total pension liability-ending (a)	371,431	348,594	337,844	-	-	-	-	-	-	-
Plan fiduciary net position										
Employer contributions	14,500	14,500	15,000	-	-	-	-	-	-	-
Member contributions	-	-	-							
Net investment income	2,473	18,523	39,023	-	-	-	-	-	-	-
Benefit payments	(20,693)	(20,365)	(17,850)	-	-	-	-	-	-	-
Administrative expense	(44)	(144)	(116)	-	-	-	-	-	-	-
Net change in plan fiduciary net postion	(3,764)	12,514	36,057	-	-	-	-	-	-	-
Plan fiduciary net position-beginning	302,339	289,825	253,768	-	-	-	-	-	-	-
Plan fiduciary net position-ending (b)	298,575	302,339	289,825	-	-	-	-	-	-	-
Net pension liability-ending (a)-(b)	$ 72,856	$ 46,255	$ 48,019	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Plan fiduciary net position as a percentage of the total pension liability	80.39%	86.73%	85.79%	-	-	-	-	-	-	-
Covered-employee payroll	$ 75,990	$ 71,847	$ 71,940	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Net position liability as a percentage of covered-employee payroll	95.88%	64.38%	66.75%	-	-	-	-	-	-	-

Notes to schedule:
Information prior to 2014 was not available.
Because the measurement date is December 31 of the previous year, these amounts will differ by one fiscal year when comparing to information displayed on page II-57.

EXHIBIT I-B

BOARD OF WATER COMMISSIONERS
CITY AND COUNTY OF DENVER, COLORADO

REQUIRED SUPPLEMENTARY INFORMATION
Schedule of Board Pension Contributions
2007 - 2016
(amounts expressed in thousands)

	2016	2015	2014	2013	2012	2011	2010	2009	2008	2007
Actuarially determined contribution	$ 14,017	$ 14,068	$ 13,532	$ 11,958	$ 12,256	$ 12,414	$ 12,639	$ 11,872	$ 7,233	$ 6,982
Contributions in relation to the actuarially determined contribution	14,500	14,500	14,500	15,000	14,300	15,400	12,639	14,500	7,590	7,277
Contribution deficiency (excess)	$ (483)	$ (432)	$ (968)	$ (3,042)	$ (2,044)	$ (2,986)	$ -	$ (2,628)	$ (357)	$ (295)
Covered-employee payroll	$ 75,740	$ 75,990	$ 71,847	$ 71,940	$ 71,172	$ 69,927	$ 70,372	$ 65,721	$ 60,347	$ 58,579
Contributions as a percentage of covered-employee payroll	19.14%	19.08%	20.18%	20.85%	20.09%	22.02%	17.96%	22.06%	12.58%	12.42%

Notes to schedule:

Valuation date:
Actuarially determined contribution rates are calculated as of January 1, the beginning of each fiscal year.

Methods and assumptions used to determine contribution rates:

Actuarial cost method	Entry age normal
Amortization method	Level dollar amount, layered
Remaining amortization period	15 years
Asset valuation method	3-year smoothed market
Inflation	2.75%
Salary increases	Aged-based rates from 6.25% to 3.35%
Investment rate of return	7.25% investment rate of return (net of administrative expenses and including an inflation component of 3.0%)
Retirement age	Experience based table of rates that are specific to the type of eligibility condition.
Mortality	Mortality rates were based on the RP-2000 Combined Healthy Mortality Table projected to 2020 usinf Scale BB.

EXHIBIT I-C

BOARD OF WATER COMMISSIONERS
CITY AND COUNTY OF DENVER, COLORADO

REQUIRED SUPPLEMENTARY INFORMATION
Other Post-Employment Benefits Plan Schedule of Funding Progress
(amounts expressed in thousands)

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (AAL) (b)	Unfunded AAL (UAAL) (b - a)	Funded Ratio (a/b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll [(b-a)/c]
1/1/16	$ -	$ 19,208	$ 19,208	-	$ 75,740	25.4%
1/1/15	$ -	$ 22,188	$ 22,188	-	$ 75,990	29.2%
1/1/14	-	24,264	24,264	-	71,847	33.8%

APPENDIX D

SYSTEM INFORMATION, RATE SCHEDULES AND WATER SUPPLY

Set forth in this Appendix D are selected tables of Denver Water's customer information, system data and adopted rates for 2016 and a summary of the prior appropriation system of water rights that governs, in part, the System's water supply.

The following table summarizes Denver Water's customer groups.

Denver Water Customer Groups

		Outside City				
Service Type	**Inside City**	**Read & Bill**	**Total Service**	**Master Meter**	**All Others**	**OCSA[(1)]**
Treated						
Single Family	X	X	X			
Nonresidential	X	X	X			
Irrigation	X	X	X			
Nonpotable						
Raw	X				X	X
Recycled	X					X
Wholesale-Treated				X	X	X

(1) CSA: Outside Combined Service Area. Special contracts for treated and nonpotable services outside Denver Water's combined service area.

Source: Denver Water Rates Section.

The following tables set forth certain Denver Water customer information for Fiscal Years 2016 and 2015.

Customer Accounts for Treated Water[1]
2016 and 2015

		Number of Customers[2]		
		12/31/2016	12/31/2015	Increase (Decrease)
METERED GENERAL CUSTOMERS				
Residential	Denver	135,398	135,020	378
	Outside City	33,261	33,245	16
	Total Service	32,150	32,158	(8)
Non-Residential	Denver	24,961	24,809	152
	Outside City	3,193	3,148	45
	Total Service	3,590	3,570	20
Irrigation	Denver	1,390	1,360	30
	Outside City	443	439	4
	Total Service	599	587	12
TOTAL METERED GENERAL CUSTOMERS		234,985	234,336	649
PUBLIC AUTHORITIES				
City & County of Denver	Irrigation	696	723	(27)
	Non-Irrigation	409	407	2
TOTAL PUBLIC AUTHORITIES		1,105	1,130	(25)
RESALE ACCOUNTS (MASTER METER)[3]		76,322	76,341	(19)
TOTAL TREATED WATER CUSTOMERS		312,412	311,807	605

[1] A customer account is defined as a person or legal entity to which Denver Water currently provides services or has provided service at any time during the last five consecutive years. A customer may have more than one license, tap and/or premise.
[2] Represents the number of active metered services at year-end.
[3] See "Sales of Treated Water for Resale" on page D-7.

Source: Data compiled by Denver Water Finance Department.

Operating Revenue and Related Water Consumption – 2016
(Non-Accrual Basis)[1]
(amounts expressed in thousands)

			Revenue	Gallons Sold (000)	Number of Customers[2]	Revenue Per 1,000 Gallons
I.	SALES OF TREATED WATER					
A.	METERED GENERAL CUSTOMERS					
	Residential	Inside City	$58,477	$12,435,755	$135,398	$4.7023
		Outside City-Read and Bill	21,461	4,231,865	33,261	5.0713
		Outside City-Total Service	27,095	4,533,837	32,150	5.9762
	Irrigation	Inside City	4,430	911,999	1,390	4.8575
		Outside City-Read and Bill	3,056	554,832	443	5.5080
		Outside City-Total Service	4,129	624,619	599	6.6104
	Non-Residential	Inside City	47,711	15,543,153	24,961	3.0696
		Outside City-Read and Bill	12,214	3,073,586	3,193	3.9739
		Outside City-Total Service	11,750	2,570,546	3,590	4.5710
			190,323	44,480,192	234,985	4.2788
B.	PRIVATE FIRE PROTECTION SERVICE[3]					
	Sprinklers -	Inside City	895	-		
		Outside City-Read and Bill	88	-		
		Outside City-Total Service	146	-		
			1,129	-		
C.	OTHER SALES TO PUBLIC AUTHORITIES					
	City & County of Denver	Irrigation	3,452	1,266,661	696	2.7253
		Non-Irrigation	2,298	914,444	409	2.5130
			5,750	2,181,105	1,105	2.6363
D.	SALES OF TREATED WATER FOR RESALE[4]					
	Outside City - Master Meter		65,479	15,767,447	76,322	4.1528
	Outside the Combined Service Area		3,704	828,540	-	4.4705
			69,183	16,595,987	76,322	4.1687
	TOTAL SALES OF TREATED WATER[5]		$266,385	$63,257,284	$312,412	$4.2111

[1] This schedule represents actual billings made for water during the year. No accruals were made for revenue earned on unbilled accounts. Therefore, amounts in this schedule do not agree with amounts on the Statement of Revenues, Expenses and Changes in Net Assets. The difference from amounts on an accrual basis is immaterial.

[2] Represents the number of active metered services at year-end.
[3] Private fire protection consumption is unmetered and is considered part of non-revenue water. See “Sales of Treated Water between Denver and Outside City" on pages D-5 and D-6, for this estimate.

[4] See "Sales of Treated Water for Resale" on page D-7.

[5] See “Sales of Treated Water Between Denver and Outside City” on pages D-5 and D-6.

(Continued on next page)

	Revenue	Gallons Sold (000)	Number of Customers	Revenue Per 1,000 Gallons
II. SALES OF NON-POTABLE WATER[6]				
Inside City	$945	1,209,519	92	$0.7813
Outside City	5,824	6,012,847	23	0.9686
Outside the Combined Service Area	1,364	1,225,109	8	1.1134
	8,133	8,447,475	123	0.9628
TOTAL SALES OF WATER	$274,518	71,704,759	312,535	$3.8284
III. OTHER NON-POTABLE WATER DELIVERIES[6]		1,291,218		
TOTAL GALLONS SOLD		72,995,977		
IV. OTHER OPERATING REVENUE				
A. POWER SALES REVENUE[7]				
Foothills Treatment Plant	$365			
Strontia Springs	199			
Dillon Dam	575			
Roberts Tunnel	651			
Hillcrest	405			
Williams Fork	680			
Gross Reservior	1,135			
	$4,010			
B. SPECIAL ASSESSMENTS				
Administrative Fees	3,484			
Penalty Fees	39			
Stub-in, Taps and Meter Fees	1,931			
Hydrant Fees	1,619			
Plan Review, Easement, Distribution Inspection	1,089			
Other Assessments	(1,175)			
	$6,987			
TOTAL OTHER OPERATING REVENUE	$10,997			
TOTAL OPERATING REVENUE	$285,515			

[6] See "Sales of Non-Potable Water Between Denver and Outside City" on page III-21.
[7] Power Sales Revenue represents actual billings made for power during the year. No accruals were made for unbilled revenue. Therefore, amounts on this schedule do not agree with amounts on other schedules which report the value of power produced.
[8] Billions of gallons sold reported on the MD&A may differ from the information above because the MD&A information is financial transaction based whereas the information presented above is service point based.

Source: Data compiled by Denver Water Finance Department.

Sales of Treated Water Between Denver and Outside City – 2016
(Non-Accrual Basis)[1]
(amounts expressed in thousands)

	Revenue		Gallons Sold		
	Amount	Percent of Total	Amount (000)	Percent of Total	Number of Customers
I. INSIDE CITY					
A. METERED GENERAL CUSTOMERS					
Residential	$58,477	21.95%	12,435,755	19.66%	135,398
Irrigation	4,430	1.66	911,999	1.44	1,390
Non-Residential	47,711	17.91	15,543,153	24.57	24,961
	$110,618	41.52%	28,890,907	45.67%	161,749
B. PRIVATE FIRE PROTECTION SERVICE[2]					
Sprinklers	$895	0.34%	-		
C. OTHER SALES TO PUBLIC AUTHORITIES					
City And County of Denver-Irrigation	3,452	1.30%	1,266,661	2.00%	696
City and County of Denver-Non-Irrigation	2,298	0.86	914,444	1.45	409
	5,750	2.16%	2,181,105	3.45%	1,105
TOTAL SALES OF TREATED WATER - DENVER	$117,263	44.02%	31,072,012	49.12%	162,854
Revenue per 1,000 Gallons - Denver			$3.7739		
II. OUTSIDE CITY					
A. METERED GENERAL CUSTOMERS					
Residential - Read & Bill	$21,461	8.06%	4,231,865	6.69%	33,261
Irrigation - Read & Bill	3,056	1.15	554,832	0.88	443
Non-Residential - Read & Bill	12,214	4.59	3,073,586	4.86	3,193
Residential - Total Service	27,095	10.17	4,533,837	7.17	32,150
Irrigation - Total Service	4,129	1.55	624,619	0.99	599
Non-Residential - Total Service	11,750	4.41	2,570,546	4.06	3,590
	$79,705	29.93%	15,589,285	24.65%	73,236

[1] This schedule represents actual billings made for water during the year. No accruals were made for revenue earned on unbilled accounts. Therefore, amounts on this schedule do not agree with amounts on the Statement of Revenues, Expenses and Changes in Net Assets. The difference from amounts on an accrual basis is immaterial.
[2] Private fire protection consumption is unmetered and is considered part of non-revenue water. See "Operating Revenue and Related Water Consumption" on pages III-17 and III-18, for this estimate.

(Continued next page)

	Revenue		Gallons Sold		
	Amount	Percent of Total	Amount (000)	Percent of Total	Number of Customers
II. OUTSIDE CITY (Continued)					
B. PRIVATE FIRE PROTECTION SERVICE[2]					
Sprinklers	$88	0.03%	-		
Sprinklers - Total Service	146	0.05	-		
	234	0.08%	-		
C. SALES OF TREATED WATER FOR RESALE[3]					
Master Meter Distributors	65,479	24.58%	15,767,447	24.93%	76,322
Outside CSA-Fixed Limit Contracts	3,704	1.39	828,540	1.31	-
	69,183	25.97%	16,595,987	26.24%	76,322
TOTAL SALES OF TREATED WATER - OUTSIDE CITY	149,122	55.98%	32,185,272	50.88%	149,558
Revenue per 1,000 Gallons - Outside City			$4.6332		
TOTAL SALES OF TREATED WATER	$266,385	100.00%	63,257,284	100.00%	312,412
Revenue per 1,000 Gallons - Total			$4.2111		

RECONCILIATION/CALCULATION OF NON-REVENUE WATER		
Total Water Treated (Production)	59,141	
(Increase) Decrease in Clear Water Storage	975	
Total Treated Water Delivered	60,116	
Water Purchased	-	
Total Treated Water Available (Consumption)	60,116	100.00%
Less Sale of Treated Water	(63,257,284)	(105,225.42%)
Less Load Shifted Treated Water	-	0.00
Non-revenue Water[3]	(63,197,168)	(105,125.42%)

[2] Private fire protection consumption is unmetered and is considered part of non-revenue water.

[3] See “Sales of Treated Water for Resale” on page D-7.

Source: Data compiled by Denver Water Finance Department.

Sales of Treated Water for Resale – 2016
(Non-Accrual Basis)[1]
(amounts expressed in thousands)

Treated Water Sold Outside Denver to Municipalities and Distributors through Master Meters[2]

	Revenue	Gallons Sold (000)	Number of Taps
MASTER METER DISTRIBUTORS			
Alameda Water & Sanitation District	$336	79,750	335
Bancroft-Clover Water & Sanitation District	6,219	1,498,464	8,817
Bonvue Water & Sanitation District	59	14,326	169
Bow-Mar Water & Sanitation District	471	112,194	290
Cherry Creek Valley Water & Sanitation District	3,845	925,485	1,975
Cherry Creek Village Water & Sanitation District	568	136,057	475
City of Edgewater	832	199,138	1,483
City of Glendale	1,112	268,548	237
City of Lakewood	800	192,906	732
Consolidated Mutual Water Company	8,562	2,062,821	15,702
Crestview Water & Sanitation District	2,343	566,548	4,528
Green Mountain Water & Sanitation District	6,709	1,620,672	10,111
High View Water District	587	141,510	891
Ken-Caryl Water & Sanitation District	3,278	790,056	3,742
Lakehurst Water & Sanitation District	3,702	889,251	5,519
Meadowbrook Water & Sanitation District	649	154,821	1,321
North Pecos Water & Sanitation District	653	156,268	404
North Washington Street Water & Sanitation District	3,322	800,917	3,637
Northgate Water District	20	4,496	4
South Adams County Water & Sanitation District	261	61,252	167
Valley Water District	2,201	529,454	1,782
Wheat Ridge Water District	3,339	803,998	5,849
Willowbrook Water & Sanitation District	2,032	488,137	3,415
Willows Water District	3,180	765,428	4,737
Chatfield South Water District	28	6,415	
City and County of Broomfield	6,456	1,556,508	
East Cherry Creek Valley Water District	876	195,590	
GSA	352	83,581	
Inverness Water District	657	157,692	
Rocky Mountain Arsenal	27	4,650	
South Adams County Special Contract Area	3,356	761,710	
Suncor Energy USA	2,351	567,344	
Total Sales of Treated Water for Resale	$69,183	16,595,987	76,322

[1] This schedule represents actual billings made for water during the year. No accruals were made for revenue earned on unbilled accounts. Therefore, amounts on this schedule do not agree with amounts on the Statement of Revenues, Expenses, and Changes in Net Assets. The difference from amounts on an accrual basis is immaterial.
[2] Sales on Total Service or Read and Bill Contracts are not included.

Sales of Nonpotable Water Between Inside City and Outside City – 2016
(Non-Accrual Basis)[1]
(amounts expressed as thousands)

	Revenue		Gallons Sold			
	Amount	Percent of Total	Amount (000)	Percent of Total	Number of Customers[3]	Revenue Per 1,000 Gallons
I. INSIDE CITY						
Raw Water Sales						
City & County of Denver	$64	0.79%	213,834	2.53%	2	$0.2993
All Other	8	0.10	5,649	0.07	4	1.4162
	72	0.89%	219,483	2.60%	6	0.3280
Effluent Sales						
City & County of Denver	15	0.18%	50,418	0.60%	1	0.2975
All Other	11	0.14	21,889	0.26	2	0.5025
	26	0.32%	72,307	0.86%	3	0.3596
Recycle Sales						
City & County of Denver	113	1.39%	512,383	6.07%	12	0.2205
All Other	460	5.66	405,346	4.79	71	1.1348
	573	7.05%	917,729	10.86%	83	0.6244
Minimum Contract Payment[2]- All Other	274	3.36%	-	0.00%	-	-
Total Denver	945	11.62%	1,209,519	14.32%	92	0.7813
II. OUTSIDE CITY, WITHIN COMBINED SERVICE AREA						
Raw Water Sales-All Others	5,812	71.46%	6,001,252	71.04%	16	0.9685
Effluent Sales-All Others	12	0.15	11,595	0.14	7	1.0349
Total Outside City, Within Combined Service Area						
	5,824	71.61%	6,012,847	71.18%	23	0.9686
III. OUTSIDE COMBINED SERVICE AREA						
Raw Water Sales						
Centennial Water & Sanitation District	289	3.55%	275,181	3.26%	1	1.0502
Consolidated Mutual Water	151	1.86	144,026	1.70	1	1.0484
All Other	31	0.38	5,359	0.06	5	5.7847
	471	5.79%	424,566	5.02%	7	1.1094
Recycle Sales	893	10.98	800,543	9.48	1	1.1155
Total Outside Combined Service Area	1,364	16.77%	1,225,109	14.50%	8	1.1134
TOTAL SALES OF NON-POTABLE WATER	$8,133	100.00%	8,447,475	100.00%	123	$0.9628
IV. OTHER NON-POTABLE WATER DELIVERIES						
City Ditch at Washington Park			669,397			
City of Englewood (Cabin-Meadow Exchange)			621,821			
Total Other Non-Potable Water Deliveries			1,291,218			
TOTAL NON-POTABLE WATER DELIVERIES			9,738,693			

[1] This schedule represents actual billings made for water during the year. No accruals were made for revenue earned on unbilled accounts. The difference from amounts on an accrual basis is immaterial.
[2] The minimum contract payments category reflects contract stipulated payments with the ability to take a quantified amount of water. The payment is made in full regardless of consumption below the quantified amount.

[3] If the customer is reflected in the count of raw water customers, it is excluded from the count of effluent and minimum contract payment customers.

Source: Data compiled by Denver Water Finance Department.

This table compares typical monthly winter and summer water bills for single family residential customers within the City and County of Denver and outside the City and County of Denver.

Comparison of Typical Monthly Winter and Summer Water[1]

Type of Service	Based on Calendar Year 2016 Rates Winter	Summer
Inside City	$25.29	$66.69
Outside City (Read and Bill)	25.97	69.48
Outside City (Total Service)	29.24	82.81

Month	Consumption (Gallons)
January	5
February	4
March	4
April	6
May	9
June	14
July	18
August	16
September	17
October	11
November	6
December	5
Total Annual Consumption	115

(1) Estimated water bills are based on 2016 rates and service charges effective April 2016. Winter is defined as the six-month period November through April, and summer is defined as the six-month period May through October.

Source: Denver Water Budget/Rate Administration Section.

* * *

Denver Water
Rate Schedule No. 1
Treated Water Rates
For Meters Read On or After April 1, 2017

Applicability: See Chapter 2 of Denver Water's Operating Rules.

Payment: Bills are due and payable to Denver Water upon issuance. Monthly bills are delinquent 20 days after the billing date. Late charges will be assessed per Denver Water policy.

Single Family AWC: A customer's average winter consumption (AWC) is used to determine the tier 1 threshold. The AWC is calculated by averaging each customer's actual monthly water use from January through March, which is a way of determining essential indoor water use. Denver Water has set the tier 1 minimum threshold at 5,000 gallons, and a maximum of 15,000 gallons. For example, if the customer's AWC is less than 5,000 gallons, tier 1 is 0 to 5,000 gallons. If the AWC is over 15,000 gallons, tier 1 is 0 to 15,000 gallons. Volume rates are applied to actual monthly usage.

Nonresidential AWC: The tier 1 threshold is based on each customer's average winter consumption (AWC). This represents demands during the system off-peak period. The AWC is the average of a customer's actual water use for the months of January, February, and March. Volume Rates are applied to actual monthly usage. Tier 2 is equal to 4 times the customer's AWC. Tier 3 is for usage in excess of 4 times the AWC.

Small Multifamily: For 2016, the small multifamily class (duplex through 5-plex) is now included in the nonresidential class.

A. Monthly Fixed Charges, $ per Bill

Meter Size inches	Inside City of Denver	Outside City		
		Read & Bill	Total Service	Wholesale
5/8" & 3/4"	$11.86	$11.86	$11.86	$11.86
1"	15.13	15.13	15.13	15.13
1 1/2"	25.28	25.28	25.28	25.28
2"	39.35	39.35	39.35	39.35
3"	79.29	79.29	79.29	79.29
4"	135.26	135.26	135.26	135.26
6"	295.65	295.65	295.65	295.65
8"	519.87	519.87	519.87	519.87
10"	808.25	808.25	808.25	808.25
12"	1,161.14	1,161.14	1,161.14	1,161.14

B. Treated Water Volume Rates, $ per 1,000 gallons

Customer Class	Tier Threshold 1,000 gallons	Inside City of Denver	Outside City		
			Read & Bill	Total Service	Wholesale
Single Family Residential					
Tier 1	0 to AWC (note D.3)	$2.55	$2.68	$3.30	
Tier 2	AWC + 15	4.59	54.82	5.94	N/A
Tier 3	Greater than AWC + 15	6.12	6.43	7.92	
Nonresidential (note D.4, D.5)					
Tier 1	0 to AWC	$2.71	$3.25	$3.77	
Tier 2	AWC to 4 x AWC	3.79	4.55	5.28	N/A
Tier 3	Greater than 4 x AWC	4.34	5.20	6.03	
Irrigation					
Winter (Nov. 1 through April 30)		$1.27	$1.38	$1.74	N/A
Summer (May 1 through October 31)		5.08	5.52	6.96	
Wholesale					
Master Meter					$4.10
Outside the Combined Service Area					4.48

C. Private Fireline

Fireline Size inches	Inside City of Denver	Outside City		
		Read & Bill	Total Service	Wholesale
1"	$3.78	$2.46	$3.79	
2"	6.31	4.11	6.32	
4"	9.74	6.35	9.77	
6"	13.92	9.08	13.96	N/A
8"	24.36	15.88	24.43	
10"	34.80	22.69	34.90	
12"	55.68	36.31	55.85	
16"	139.20	90.77	139.62	
Fire Hydrants	$13.92	$9.08	$13.96	

* * *

Denver Water
Rate Schedule No. 2
Nonpotable Water Rates
For Meters Read On or After April 1, 2017

Applicability: See Chapter 2 of Denver Water's Operating Rules.

A. Monthly Fixed Charges, $ per Bill

Meter Size Inches	Inside City of Denver	Outside City	Outside Combined Service Area
5/8" & 3/4"	$11.86	$11.86	$11.86
1"	15.13	15.13	15.13
1 1/2"	25.28	25.28	25.28
2"	39.35	39.35	39.35
3"	79.29	79.29	79.29
4"	135.26	135.26	135.26
6"	295.65	295.65	295.65
8"	519.87	519.87	519.87
10"	808.25	808.25	808.25
12"	1,161.14	1,161.14	1,161.14

B. Nonpotable Water Volume Rates, $ per 1,000 gallons

Customer Class	Inside City of Denver	Outside City	Outside Combined Service Area
Recycled			
$ per 1,000 gallons	$0.99	N/A	$1.11
$ per Acre-Foot	322.59		361.69
Raw Water (Monthly Fixed Charges Not Applicable)			
$ per 1,000 gallons	$0.63	$0.98	$1.05
$ per Acre-Foot	205.29	319.33	342.14

* * *

Denver Water
Rate Schedule No. 3
City and County of Denver Government
For Meters Read On or After April 1, 2017

Applicability: Charges under this schedule are applicable to all licensees for treated raw or recycled water service outside the limits of the City and County of Denver.

Payment: Bills are due and payable to Denver Water upon issuance. Monthly bills are delinquent 20 days after the billing date. Late charges will be assessed per Denver Water policy.

A. Monthly Fixed Charges, $ per Bill

Meter Size inches	Fixed Charge
5/8" & 3/4"	$11.86
1"	15.13
1 1/2"	25.28
2"	39.35
3"	79.29
4"	135.26
6"	295.65
8"	519.87
10"	808.25
12"	1,161.14

B. Treated Water Volume Rates, $ per 1,000 gallons

Domestic	
Year-Round	$2.31
Irrigation	
Winter (Nov. 1 through April 30)	$1.06
Summer (May 1 through October 31)	$2.65

C. Nonpotable Water Volume Rates, $ per 1,000 gallons

Raw	$0.32
Recycled	$0.24

D. Private Fireline

Fireline Size inches	Fixed Charge
1"	$3.78
2"	6.31
4"	9.74
6"	13.92
8"	24.36
10"	34.80
12"	55.68
16"	139.20
Fire Hydrants	$13.92

Denver Water
Rate Schedule No. 4
System Development Charges
Effective February 1, 2013

Applicability: Licenses for treated and non-potable water taps within the City and County of Denver and Denver Water's service areas, including special contracts. System Development Charges are due and payable prior to issuance of a license to the customer.

I. SINGLE FAMILY RESIDENTIAL

	Treated Water	
	Inside Denver	**Outside Denver**
Base Charge per residence	$3,030	$4,240
First 22,000 square feet ($ per square foot)	0.70	0.98
Over 22,000 square feet ($ per square foot)	0.35	0.49
Auxiliary Dwelling Unit[1]	$1,940	$2,710

II. RESIDENTIAL MULTIPLEX

	Treated Water	
	Inside Denver	**Outside Denver**
Base charge $ per unit	$3,030	n/a
Lot size charge	0.70	n/a

III. RESIDENTIAL

	Treated Water	
	Inside Denver	**Outside Denver**
Base charge for the first two dwelling units that are on same parcel	$10,040	$14,060
Charge for next 6 dwelling units that are on the same parcel	2,420	3,390
Charge for each additional dwelling units above 8 that are on the same parcel	1,940	2,710

IV. IRRIGATION ONLY

	Treated Water	
	Inside Denver	**Outside Denver**
Minimum charge: first 5,000 sq. ft.	$5,820	$8,150
Over 5,000 sq. ft., $ per sq. ft.	0.87	1.22

V. NON-RESIDENTIAL[2][3][4]

	Treated Water		Nonpotable Water	
	Inside	**Outside**	**Inside**	**Outside**
Tap Size	**Denver**	**Denver**	**Denver**	**Denver**
¾"	$10,730	$15,030	$9,370	$13,120
1"	19,170	26,840	16,730	23,420
1½"	42,180	59,050	36,810	51,540
2"	76,690	107,360	66,930	93,710

VI. MIXED USE [5]

Sum of the following SDC's	Treated Water	
	Inside Denver	**Outside Denver**
Multi-family component	As set forth in Section III	
Nonresidential component	$2.91	$4.08
$ per square feet of non-residential gross floor area irrigation, if applicable	As set forth in Section IV	

VII. SPECIAL CONTRACTS, FIXED VOLUME CONTRACTS AND LARGE VOLUME CUSTOMERS

Applicability: Special contracts, fixed volume contracts and customers using large volumes of water within inside the City and County of Denver and Denver Water's service areas. System Development Charges are due and payable prior to issuance of a license to the customer.

	Treated Water		Nonpotable Water	
Description	**Inside Denver**	**Outside Denver**	**Inside Denver**	**Outside Denver**
Inside the Combined Service Area				
Acre Foot Conversion ($/AF)	$18,980	$26,570	$16,570	$23,190
1,000 Gallons Conversion ($/1,000 gallons)	58.26	81.57	50.85	71.19
Outside the Combined Service Area				
Acre Foot Conversion ($/AF)	n/a	37,210	n/a	32,470
1,000 Gallons Conversion ($/1,000 gallons)	n/a	114.10	n/a	99.60

Note: Several distributor contracts and water service agreements contain negotiated tap ratio conversions per acre foot and some agreements that contain negotiated and/or prepaid system development charges. These contracts will continue to be administered utilizing the system development charge calculations and/or tap ratio conversions specified in each of the contracts. Tap credit pools are administered consistent with the applicable water service agreement and Denver Water Operating Rules.

(1) Units such as a guest house or carriage house that are detached from the primary residence and contain provisions for sleeping, cooking, and sanitation.
(2) Includes commercial, industrial, institutional development.
(3) SDCs for nonpotable by tap size apply only to recycled water taps.
(4) Tap sizes greater than 2 inches are determined on an individual basis using peak demand requirements.
(5) Development containing two or more different principal or primary uses such as residential, office, manufacturing, retail, public or entertainment uses.

* * *

The Prior Appropriation System of Water Rights

The Colorado State Constitution provides that rights to use tributary water are rights of use, which means that water may be used pursuant to water rights but the water itself is not actually owned. While tributary water rights are transferred and encumbered in a manner similar to real estate, the ownership of land does not carry with it the ownership of tributary water rights. Rather, tributary water rights arise from the act of diverting water and putting it to particular beneficial uses as recognized by State law.

The seniority of a tributary water right, *i.e.*, its priority in the event that there is not enough water physically available for all who wish to divert water from the same source, is established mainly by reference to the date on which it was appropriated (*i.e.*, the taking of steps to put the tributary water to beneficial use) by the owner in a water court adjudication proceeding. Earlier adjudications are generally senior to later adjudications. Water court decrees typically specify the amount, place and type of use and the water rights must be used in that manner unless the water court approves a change of the place and type of use. State law also recognizes tributary storage rights and rights to exchange tributary water. Additionally, State laws provide for ownership of underground water.

Senior tributary water rights are often purchased by municipalities from agricultural users and then changed through a proceeding in the water court from their historically decreed agricultural use to municipal use. Court decrees of this kind generally include conditions meant to prevent injury to other users of water by replicating historic patterns of use. There exists an active market in senior tributary water rights, which are highly valued and sought after by municipal, industrial, agricultural and other users.

The process of water administration and ownership of rights to the use of water reflects the semi-arid climate and relative scarcity of water in the region. All of the available surface water comes from streams carrying seasonal snowmelt from the higher elevations of the Rocky Mountains. The physical availability of water from this source is substantially affected by seasonal weather patterns which cannot be relied on from year to year. In the event of low stream flows in a particular year, a "call" may result, in which owners of junior tributary water rights are required to cease diversions to accommodate owners of more senior tributary water rights. The seasonality of available flows and high variability in runoff conditions between years are the reasons large reservoirs are an important part of the Board's raw water infrastructure. The Board currently maintains reservoir storage capacity equivalent to approximately three years of customer demands to mitigate the effects of varying water runoff conditions and severe droughts.

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APPENDIX E
ECONOMIC AND DEMOGRAPHIC OVERVIEW OF THE DENVER METROPOLITAN AREA

The following information is provided to give prospective investors general information concerning selected economic and demographic conditions existing in the area within which Denver Water is located. The statistics presented below have been obtained from the referenced sources and represent the most current information available from such sources; however, certain of the information is released only after a significant amount of time has passed since the most recent date of the reported data and therefore, such information may not be indicative of economic and demographic conditions as they currently exist or conditions which may be experienced in the near future. Further, the reported data has not been adjusted to reflect economic trends, notably inflation. Finally, other economic and demographic information not presented herein may be available concerning the area in which Denver Water is located and prospective investors may want to review such information prior to making their investment decision. The following information is not to be relied upon as a representation or guarantee of the Board or its officers, employees or advisors.

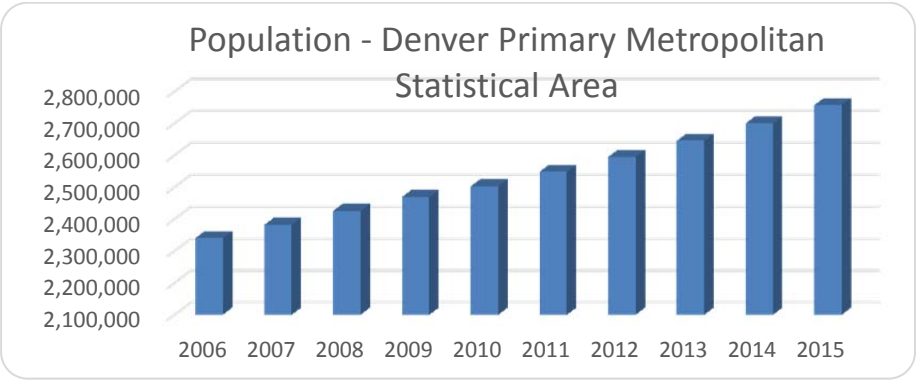
Population

The following table sets forth population statistics for Denver, the Denver Primary Metropolitan Statistical Area ("PMSA") and the State of Colorado. The Denver PMSA includes the counties of Adams, Arapahoe, Denver, Douglas and Jefferson.

Population Estimates(n/a = not available)

Year	Denver	Denver PMSA	State of Colorado
2006	562,862	2,340,064	4,745,660
2007	570,437	2,381,281	4,821,784
2008	581,903	2,424,992	4,901,938
2009	595,573	2,468,523	4,976,853
2010	604,879	2,502,291	5,050,332
2011	620,817	2,547,810	5,120,686
2012	634,940	2,594,563	5,193,097
2013	649,214	2,645,259	5,272,677
2014	664,453	2,699,638	5,356,626
2015	683,096	2,756,524	5,456,584
2016	n/a	n/a	n/a

Source: Colorado Department of Local Affairs, Division of Local Government, State Demography Office.



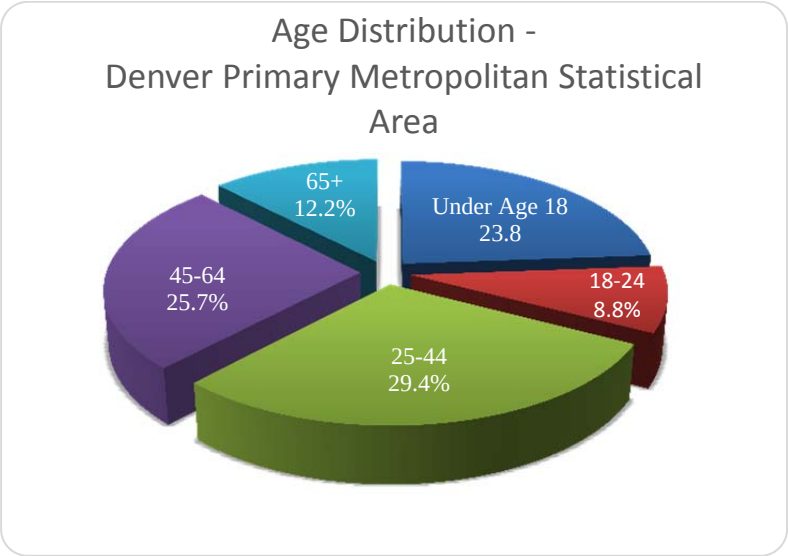
Age Distribution

The following table sets forth a forecasted age distribution profile for Denver, the Denver PMSA and the State of Colorado for 2016.

Forecasted Age Distribution for 2016
(Columns may not add to 100% due to rounding)

	Percent of Population		
	Denver	Denver PMSA	State of Colorado
Under 18	22.3%	23.8%	23.4%
18-24	8.4	8.8	9.8
25-44	36.3	29.4	27.4
45-64	21.7	25.7	26.0
65+	11.3	12.2	13.4

Sources: Colorado Department of Local Affairs, Division of Local Government, State Demography Office.



Income

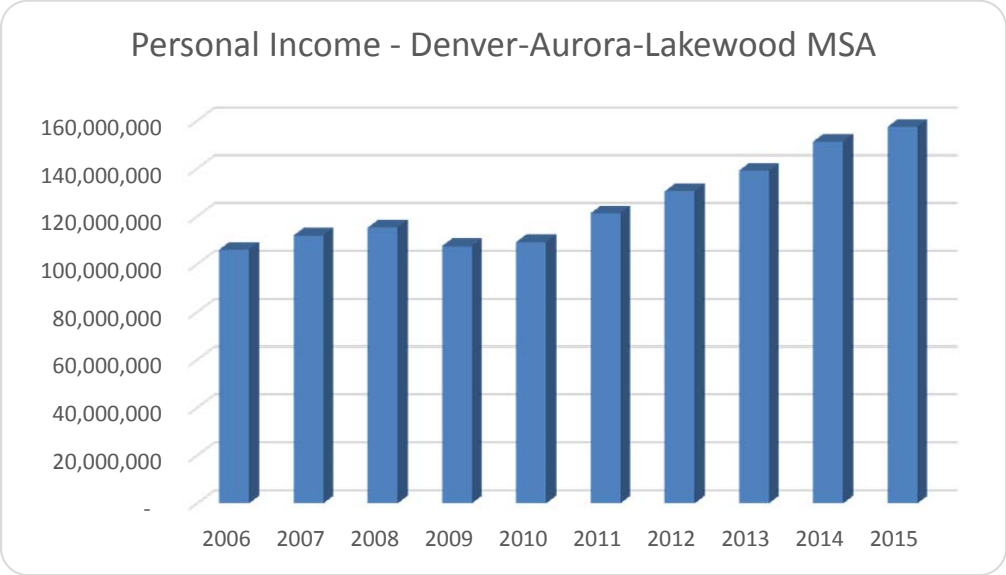
The following tables set forth recent annual personal income and per capita personal income levels for Denver, the Denver-Aurora-Lakewood Metropolitan Statistical Area ("MSA"), the State of Colorado and the United States from 2005 through 2014 as reported by the U.S. Department of Commerce, Bureau of Economic Analysis. The Denver-Aurora-Lakewood MSA includes the counties of Adams, Arapahoe, Broomfield, Clear Creek, Denver, Douglas, Elbert, Gilpin, Jefferson and Park.

Personal Income

(Current dollars, not adjusted for inflation. Amounts expressed in thousands. n/a = not available)

Year	Denver	Denver-Aurora Lakewood MSA	State of Colorado	United States
2006	28,573,465	106,200,622	189,492,643	11,381,350,000
2007	29,907,155	112,087,470	201,743,269	11,995,419,000
2008	31,995,450	115,393,714	208,608,111	12,492,705,000
2009	27,446,777	107,655,385	198,082,468	12,079,444,000
2010	28,829,542	109,386,712	201,569,924	12,459,613,000
2011	32,836,870	121,383,631	219,860,916	13,233,436,000
2012	36,287,725	130,544,627	234,005,901	13,904,485,000
2013	40,408,827	139,212,185	246,648,165	14,068,960,000
2014	45,351,613	151,397,505	266,534,568	14,801,624,000
2015	46,616,995	157,531,669	277,731,754	15,463,981,000
2016	n/a	n/a	n/a	n/a

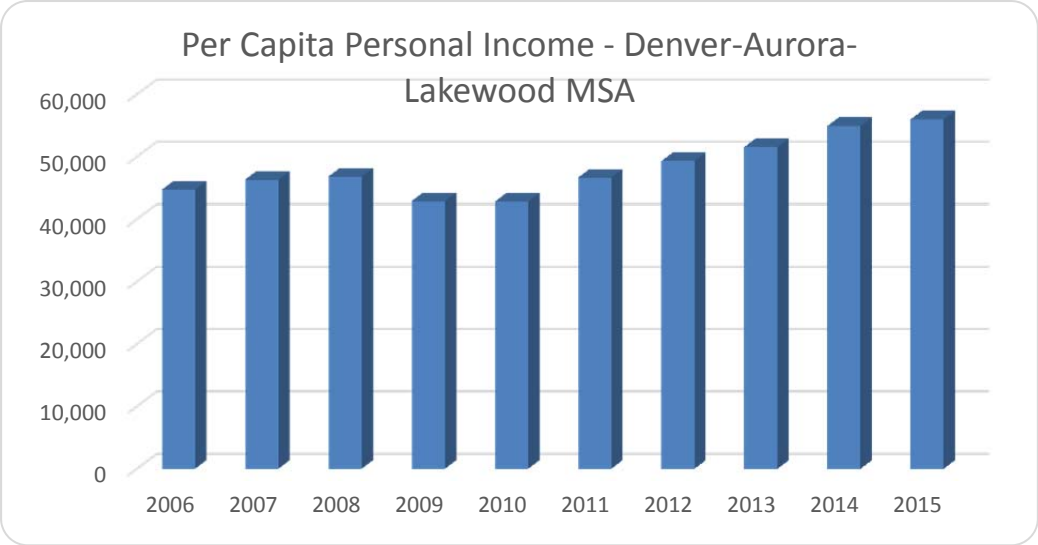
Source: U.S. Department of Commerce, Bureau of Economic Analysis.



Per Capita Personal Income
(Current dollars, not adjusted for inflation. n/a = not available)

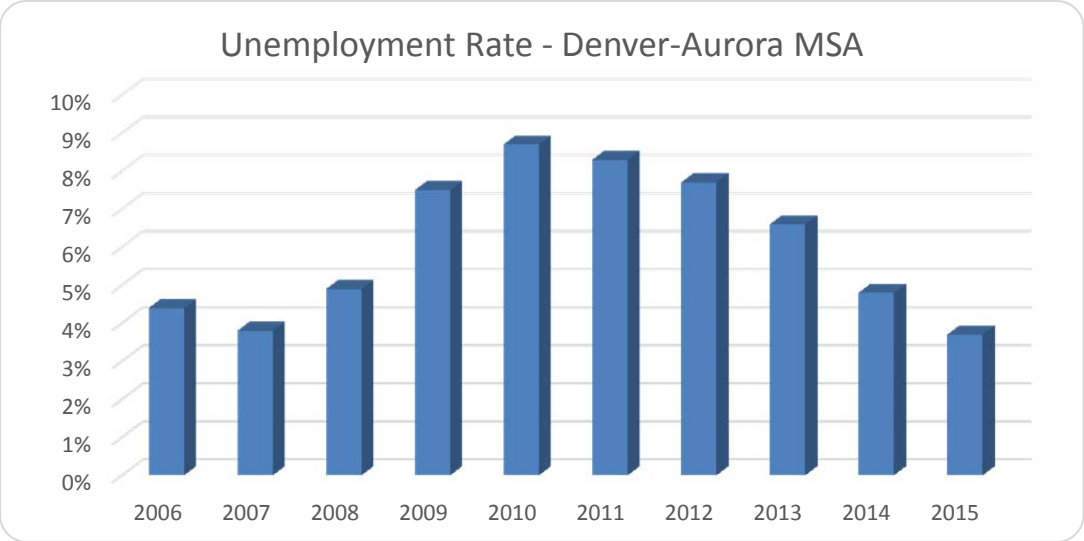
Year	Denver	Denver-Aurora-Lakewood MSA	State of Colorado	United States
2006	51,309	44,731	40,143	38,144
2007	52,990	46,342	41,996	39,821
2008	55,575	46,832	42,663	41,082
2009	46,598	42,901	39,838	39,376
2010	47,786	42,822	39,929	40,277
2011	53,016	46,666	42,946	42,453
2012	57,238	49,290	45,073	44,267
2013	62,320	51,558	46,792	44,462
2014	68,304	54,937	49,768	46,414
2015	68,299	55,975	50,899	48,112
2016	n/a	n/a	n/a	n/a

Source: U.S. Department of Commerce, Bureau of Economic Analysis.



Employment

The following table sets forth recent total labor force, employment and unemployment statistics for Denver, the Denver-Aurora MSA and the State of Colorado. The national unemployment rate is estimated to be approximately 5.0% as of December, 2015.



Local Area Employment Statistics
Annual averages, not seasonally adjusted)

Denver-Aurora MSA

Year	Labor Force (Thousands)	% Change	Unemployed (Thousands)	Unemployment Rate
2006	306.0	1.3	14.7	4.8
2007	314.8	2.9	13.0	4.1
2008	323.3	2.7	17.4	5.4
2009	324.3	0.3	26.3	8.1
2010	347.6	7.2	31.7	9.1
2011	352.2	1.3	30.3	8.6
2012	358.0	1.6	28.1	7.9
2013	364.6	1.8	24.2	6.6
2014	370.6	1.6	17.8	4.8
2015	373.1	0.7	13.8	3.7
2016	n/a	n/a	n/a	n/a

Denver-Aurora MSA

Year	Labor Force (Thousands)	% Change	Unemployed (Thousands)	Unemployment Rate
2006	1,338.7	1.9	58.5	4.4
2007	1,359.0	1.5	51.8	3.8
2008	1,393.4	2.5	68.9	4.9
2009	1,392.7	(0.1)	104.2	7.5
2010	1,423.4	2.2	123.6	8.7
2011	1,431.2	0.5	118.8	8.3
2012	1,449.5	1.3	112.0	7.7
2013	1,471.0	1.5	97.0	6.6
2014	1,494.5	1.6	71.8	4.8
2015	1,504.9	0.7	55.5	3.7
2016	n/a	n/a	n/a	n/a

State of Colorado

Year	Labor Force (Thousands)	% Change	Unemployed (Thousands)	Unemployment Rate
2006	2,622.2	2.3	112.5	4.3
2007	2,664.7	1.6	99.5	3.7
2008	2,716.6	1.9	131.4	4.8
2009	2,723.0	0.2	198.5	7.3
2010	2,724.4	0.1	238.0	8.7
2011	2,736.1	0.4	228.8	8.4
2012	2,759.4	0.9	217.2	7.9
2013	2,780.5	0.8	189.9	6.8
2014	2,815.2	1.2	140.6	5.0
2015	2,828.5	0.5	109.8	3.9
2016	n/a	n/a	n/a	n/a

Source: Colorado Department of Labor and Employment.

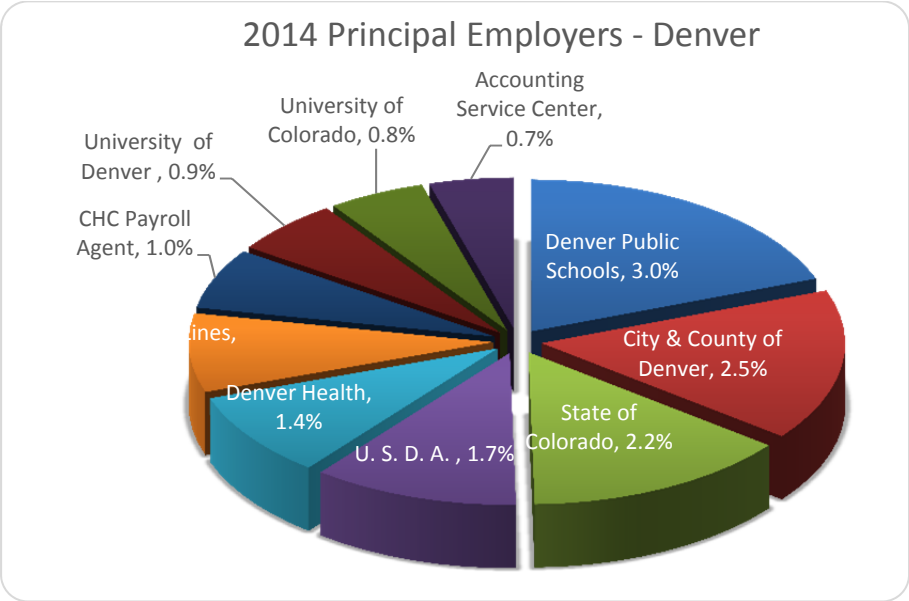
Principal Employers

Set forth in the following table are the ten largest employers in Denver for the current year and the period nine years prior, the number of persons each employs, and the percentage of total employment that each represents.

Principal Employers in Denver
Current Year and Nine Years Ago
(2016 data not available at time of publication)

	2015			2006		
	Employees	Rank	% of Total City Employment	Employees	Rank	% of Total City Employment
Denver Public School District #1	12,864	1	3.0%	9,421	2	2.5%
City & County of Denver	10,549	2	2.5	11,322	1	3.08
State of Colorado Central Payroll	9,401	3	2.2	8,885	3	2.4
U.S.D.A. National Finance Center	7,264	4	1.7	3,933	7	1.1
Denver Health & Hospital Authority	6,047	5	1.4	--	--	--
United Airlines, Inc.	5,412	6	1.3	5,805	6	1.6
CHC Payroll Agent, Inc. (HCA Health One)	4,264	7	1.0	3,630	10	1.0
University of Denver	3,759	8	0.9	--	--	--
University of Colorado Central	3,536	9	0.8	6,113	5	1.6
Accounting Service Center (U.S. Postal Svc.)	2,943	10	0.7	3,710	9	1.0
Frontier Airlines Inc.	--	--	--	3,746	8	1.0
Defense Civilian Pay System	--	--	--	8,352	4	2.2
Total	66,075		15.5%	64,917		17.4%

Source: Based on 2015 and 2006 Occupational Privilege Tax Remitters.



New Residential Building Construction

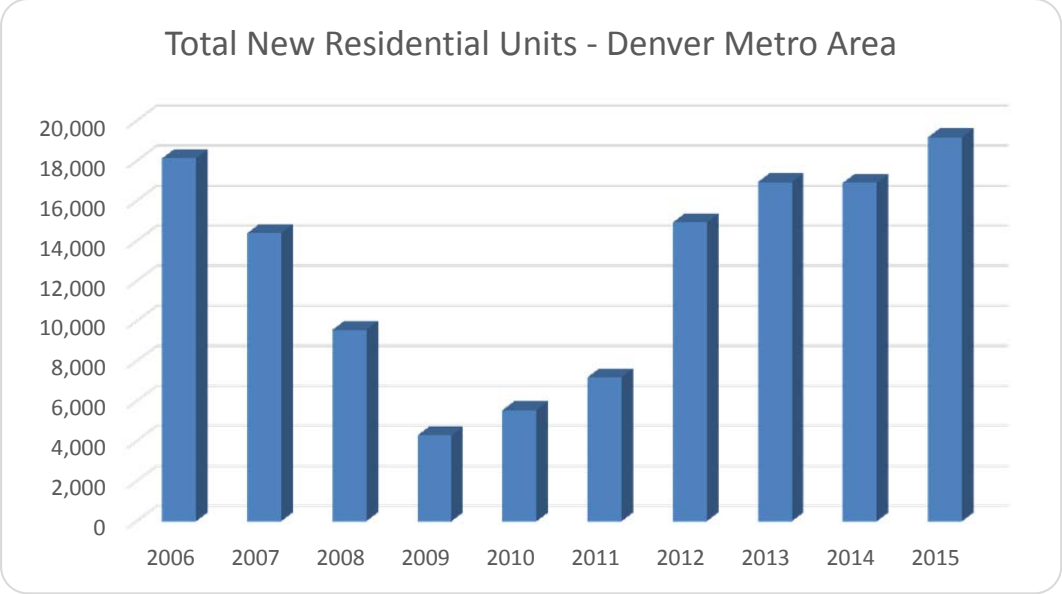
Set forth in the following table are recent historical residential building permit statistics for Denver and the Denver metropolitan area (Adams, Arapahoe, Boulder, Broomfield, Denver, Douglas and Jefferson counties).

New Residential Units in Denver and the Denver Metropolitan Area

	Denver				Denver Metropolitan Area			
Year	Single Family Detached	Single Family Attached[1]	Multi-Family[2]	Total	Single Family Detached	Single Family Attached[1]	Multi-Family[2]	Total
2006	1,800	170	1,882	3,852	12,938	428	4,769	18,135
2007	1,215	201	2,266	3,682	7,799	398	6,195	14,392
2008	837	148	2,195	3,180	4,037	224	5,296	9,557
2009	485	74	329	888	2,690	133	1,465	4,288
2010	632	130	470	1,232	3,791	285	1,478	5,554
2011	703	147	1,835	2,685	3,885	309	3,005	7,199
2012	1,056	166	4,356	5,578	5,947	299	8,679	14,925
2013	1,284	256	4,330	5,870	7,396	399	9,145	16,940
2014	1,710	287	3,961	5,958	8,396	440	8,074	16,910
2015	1,847	134	5,920	7,901	9,701	442	9,061	19,184
2016	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a

(1) Generally includes owner occupied residential units such as duplexes, tri-plexes, townhomes and condominiums.
(2) Generally includes non-owner occupied residential units such as apartments.

Source: Metro Denver Economic Development Corporation.



APPENDIX F

DTC BOOK-ENTRY SYSTEM

The information in this appendix concerning DTC and the DTC book entry system has been obtained from DTC and contains statements that are believed to describe accurately DTC, the method of effecting book-entry transfers of securities subject to the DTC book-entry system and certain related matters, but the Board takes no responsibility for the accuracy or completeness of such information. Beneficial Owners should confirm the following information with DTC or the DTC Participants.

None of the Board, the Paying Agent or the Registrar has any responsibility or obligation to any Beneficial Owner with respect to (1) the accuracy of any records maintained by DTC or any DTC Participant, (2) the distribution by DTC or any DTC Participant of any notice that is permitted or required to be given to the Owners of the Series 2017 Bonds under the Bond Resolution, (3) the payment by DTC or any DTC Participant of any amount received under the Bond Resolution with respect to the Series 2017 Bonds, (4) any consent given or other action taken by DTC or its nominee as the Owner of the Series 2017 Bonds or (5) any other related matter.

DTC will act as securities depository for the Series 2017 Bonds. The Series 2017 Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered certificate will be issued for the Series 2017 Bonds, as set forth on the cover page hereof, in the aggregate principal amount of each maturity of the Series 2017 Bonds and deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non U.S. securities brokers and dealers, banks, trust companies, clearing corporations and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation & Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non U.S. securities brokers and dealers, banks, trust companies and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

Purchases of the Series 2017 Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Series 2017 Bonds on DTC's records. The ownership interest of each actual purchaser of each Series 2016 Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or

Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Series 2017 Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Series 2017 Bonds, except in the event that use of the book entry-system for the Series 2017 Bonds is discontinued.

To facilitate subsequent transfers, all Series 2017 Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Series 2017 Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of Series 2017 Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Series 2017 Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants remain responsible for keeping accounts of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of the Series 2017 Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Series 2017 Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Series 2016 Bond documents. For example, Beneficial Owners of the Series 2017 Bonds may wish to ascertain that the nominee holding the Series 2017 Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices will be sent to DTC. If less than all of the Series 2017 Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Series 2017 Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to Denver Water as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Series 2017 Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the Series 2017 Bonds are to be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from Denver Water or Paying Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Paying Agent or City, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other name as may be requested by an authorized representative of DTC) is the responsibility of Denver Water or the Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

A Beneficial Owner shall give notice to elect to have its Series 2017 Bonds purchased or tendered, through its Participant, to Tender or Remarketing Agent, and shall effect delivery of such Series 2017 Bonds by causing the Direct Participant to transfer the Participant's interest in the Series 2017 Bonds, on DTC's records, to Tender or Remarketing Agent. The requirement for physical delivery of the Series 2017 Bonds in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the Series 2017 Bonds are transferred by Direct Participants on DTC's records and followed by a book-entry credit for tendered Series 2017 Bonds to Tender or Remarketing Agent's DTC account.

DTC may discontinue providing its services as securities depository with respect to the Series 2017 Bonds at any time by giving reasonable notice to Denver Water or the Paying Agent. Under such circumstances, in the event that a successor securities depository is not obtained, Series 2016 Bond certificates are required to be printed and delivered.

The City may decide to discontinue use of the system of book entry only transfers through DTC (or a successor securities depository). In that event, bond certificates will be printed and delivered to DTC.

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APPENDIX G

FORM OF CONTINUING DISCLOSURE UNDERTAKING

THIS CONTINUING DISCLOSURE UNDERTAKING (this "Undertaking") is executed and delivered by the City and County of Denver, Colorado, acting by and through its Board of Water Commissioners (the "Board"), in connection with the issuance of its Water Revenue Bonds, Series 2017A in the aggregate principal amount of $142,665,000 (the "Series 2017A Bonds") and its Water Revenue Bonds, Series 2017B in the aggregate principal amount of $41,765,000 (the Series 2017B Bonds" and collectively, with the Series 2017A Bonds, the "Series 2017A-B. The Series 2017A-B Bonds are being issued pursuant to the Resolution (as defined herein).

In consideration of the purchase of the Series 2017A-B Bonds by the Participating Underwriter (as defined below), the Board covenants and agrees as follows:

Section 1. Purpose of this Undertaking. This Undertaking is executed and delivered by the Board as of the date set forth below, for the benefit of the owners (the "Owners") of the Series 2017A-B Bonds and in order to assist the Participating Underwriter (as defined below) in complying with the requirements of the Rule (as defined below).

Section 2. Definitions. The definitions set forth in the Resolution apply to any capitalized term used in this Undertaking unless otherwise defined in this Section. As used in this Undertaking, the following capitalized terms shall have the following meanings:

"*Annual Financial Information*" means the financial information or operating data with respect to the Board, delivered at least annually pursuant to Section 4 hereof, substantially similar to the type set forth in the Official Statement as described in Exhibit I hereto. Annual Financial Information may, but is not required to, include Audited Financial Statements and may be provided in any format deemed convenient by the Board, but in the Prescribed Form.

"*Annual Financial Information Disclosure*" means the dissemination of disclosure concerning Annual Financial Information and the dissemination of the Audited Financial Statements as set forth in Section 4 hereof.

"*Audited Financial Statements*" means the audited financial statements of the Board, prepared pursuant to the standards and as described in Exhibit I.

"*Commission*" means the Securities and Exchange Commission.

"*Dissemination Agent*" means any agent designated as such in writing by the Board and which has filed with the Board a written acceptance of such designation, and such agent's successors and assigns.

"*EMMA*" means the Electronic Municipal Market Access facility for municipal securities disclosure of the MSRB.

"*Exchange Act*" means the Securities Exchange Act of 1934, as amended.

"*Material Event*" means the occurrence of any of the events with respect to the Series 2017A-B Bonds set forth in Exhibit II.

"*Material Events Disclosure*" means dissemination of a notice of a Material Event as set forth in Section 5.

"*MSRB*" means the Municipal Securities Rulemaking Board.

"*Owner(s)*" means the registered owner of the Series 2017A-B Bonds, and so long as the Series 2017A-B Bonds are subject to book-entry system, any person who, through any contract, arrangement or otherwise, has or shares investment power with respect to the Series 2017A-B Bonds, which includes the power to dispose, or direct the disposition of, the Series 2017A-B Bonds.

"*Participating Underwriter*" means each broker, dealer or municipal securities dealer acting as an underwriter in any primary offering of the Series 2017A-B Bonds.

"*Prescribed Form*" means, with regard to the filing of Annual Financial Information, Audited Financial Statements and notices of Material Events with the MSRB at www.emma.msrb.org (or such other address or addresses as the MSRB may from time to time specify), such electronic format, accompanied by such identifying information, as shall have been prescribed by the MSRB and which shall be in effect on the date of filing of such information.

"*Resolution*" means the amended and restated Master Bond Resolution (03/22/17) and the Series 2017A-B Supplemental Resolution, as amended and supplemented.

"*Rule*" means Rule 15c2 12 adopted by the Commission under the Exchange Act, as the same may be amended from time to time.

"*State*" means the State of Colorado.

Section 3. CUSIP Number/Final Official Statement. The base CUSIP© for the Series 2017A-B Bonds is 24916P. The final Official Statement relating to the Series 2017A-B Bonds is dated May 11, 2017 (the "Final Official Statement").

Section 4. Annual Financial Information Disclosure. Subject to Section 9 of this Undertaking, the Board hereby covenants that it will disseminate the Annual Financial Information and the Audited Financial Statements (in the form and by the dates set forth below and in Exhibit I) by the Board's delivery of such Annual Financial Information and Audited Financial Statements to the MSRB within 270 days of the last day of the Board's fiscal year.

The Board is required to deliver such information in Prescribed Form and by such time so that the MSRB receives the information by the dates specified.

If any part of the Annual Financial Information can no longer be generated because the operations to which it is related have been materially changed or discontinued, the Board will disseminate a statement to such effect as part of its Annual Financial Information for the year in which such event first occurs.

If any amendment is made to this Undertaking, the Annual Financial Information for the year in which such amendment is made (or in any notice or supplement provided to the MSRB) shall contain a narrative description of the reasons for such amendment and its impact on the type of information being provided.

Section 5. Material Events Disclosure. Subject to Section 9 of this Undertaking, the Board hereby covenants that it will disseminate in a timely manner, not in excess of 10 Business Days after the occurrence of the Material Event, Material Events Disclosure to the MSRB in Prescribed Form. Notwithstanding the foregoing, notice of optional or unscheduled redemption of any Bonds or defeasance of any Bonds need not be given under this Undertaking any earlier than the notice (if any) of such redemption or defeasance is given to the Owners of the Series 2017[A][B] Bonds pursuant to the Resolution. From and after the date of this Disclosure Undertaking, the Board is required to deliver such Material Events Disclosure in the same manner as provided by Section 4 of this Undertaking.

Section 6. Duty To Update EMMA/MSRB. The Board shall determine, in the manner it deems appropriate, whether there has occurred a change in the MSRB's e-mail address or filing procedures and requirements under EMMA each time it is required to file information with the MSRB.

Section 7. Consequences of Failure of the Board to Provide Information. The Board shall give notice in a timely manner, not in excess of 10 Business Days after the occurrence of the event, to the MSRB in Prescribed Form of any failure to provide Annual Financial Information Disclosure when the same is due hereunder.

In the event of a failure of the Board to comply with any provision of this Undertaking, the Owner of any Bond may seek specific performance by court order to cause the Board to comply with its obligations under this Undertaking. A default under this Undertaking shall not be deemed an Event of Default under the Resolution or any other agreement, and the sole remedy under this Undertaking in the event of any failure of the Board to comply with this Undertaking shall be an action to compel performance.

Section 8. Amendments; Waiver. Notwithstanding any other provision of this Undertaking, the Board, without the consent of the Owners may amend this Undertaking, and any provision of this Undertaking may be waived, if:

(i) The amendment or waiver is made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of the Board or type of business conducted; and

(ii) The amendment or waiver is otherwise permitted by the Rule.

Section 9. Termination of Undertaking. The Undertaking of the Board shall be terminated hereunder when the Board shall no longer have any legal liability under the terms of the Resolution pursuant to the terms of the Resolution for any obligation on or relating to the repayment of the Series 2017A-B Bonds. The Board shall give notice to the MSRB in a timely manner and in Prescribed Form if this Section is applicable.

Section 10. Dissemination Agent. The Board may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Undertaking, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent.

Section 11. Additional Information. Nothing in this Undertaking shall be deemed to prevent the Board from disseminating any other information, using the means of dissemination set forth in this Undertaking or any other means of communication, or including any other information in any Annual Financial Information Disclosure or notice of occurrence of a Material Event, in addition to that which is required by this Undertaking. If the Board chooses to include any information from any document or notice of occurrence of a Material Event in addition to that which is specifically required by

this Undertaking, the Board shall not have any obligation under this Undertaking to update such information or include it in any future disclosure or notice of the occurrence of a Material Event.

Section 12. Beneficiaries. This Undertaking has been executed in order to assist the Participating Underwriter in complying with the Rule; however, this Undertaking shall inure solely to the benefit of the Board, the Dissemination Agent, if any, the Board, and the Owners of the Series 2017A-B Bonds, and shall create no rights in any other person or entity.

Section 13. Recordkeeping. The Board shall maintain records of all Annual Financial Information Disclosure and Material Events Disclosure, including the content of such disclosure, the names of the entities with whom such disclosure was filed and the date of filing such disclosure.

Section 15. Assignment. The Board shall not transfer its obligations under the Resolution unless the transferee agrees to assume all obligations of the Board under this Undertaking or to execute a continuing disclosure agreement under the Rule.

Section 16. Governing Law. This Undertaking shall be governed by the laws of the State.

DATE: May 23, 2017

CITY AND COUNTY OF DENVER, COLORADO, ACTING BY AND THROUGH ITS BOARD OF WATER COMMISSIONERS

By: _____
Title: President of the Board

EXHIBIT I

"*Annual Financial Information*" means an update of the type of information contained in the tables identified in the "INDEX OF TABLES" on page iv of the Official Statement.

All or a portion of the Annual Financial Information and the Audited Financial Statements as set forth above may be included by reference to other documents which have been submitted to the MSRB or filed with the Commission, and such information need not be provided in the exact format as shown in the Final Official Statement. The Board shall clearly identify each such item of information included by reference.

Annual Financial Information will be provided to the MSRB within 270 days after the last day of the Board's fiscal year. Audited Financial Statements as described below should be filed at the same time as the Annual Financial Information. If Audited Financial Statements are not available when the Annual Financial Information is filed, unaudited financial statements shall be included, and Audited Financial Statements will be provided to the MSRB within 10 Business Days after availability to the Board.

Audited Financial Statements will be prepared in accordance with generally accepted accounting principles in the United States as in effect from time to time.

EXHIBIT II

EVENTS WITH RESPECT TO THE BONDS FOR WHICH MATERIAL EVENTS DISCLOSURE IS REQUIRED

1. Principal and interest payment delinquencies

2. Nonpayment related defaults, if material

3. Unscheduled draws on debt service reserves reflecting financial difficulties

4. Unscheduled draws on credit enhancements reflecting financial difficulties

5. Substitution of credit or liquidity providers, or their failure to perform

6. Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701 TEB) or other material notices or determinations with respect to the tax status of the security, or other material events affecting the tax status of the security

7. Modifications to rights of security holders, if material

8. Bond calls, if material, and tender offers

9. Defeasances

10. Release, substitution or sale of property securing repayment of the securities, if material

11. Rating changes

12. Bankruptcy, insolvency, receivership or similar event of the Board*

13. The consummation of a merger, consolidation or acquisition involving the Board or the sale of all or substantially all of the assets of the Board, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material

14. Appointment of a successor or additional Paying Agent or the change of name of a Paying Agent, if material.

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* This event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the Board in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the Board, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the Board.

APPENDIX H

FORM OF BOND COUNSEL OPINION

BECKER STOWE PARTNERS LLC
DENVER, COLORADO

[Closing Date]

Board of Water Commissioners
of the City and County of Denver, Colorado

Merrill Lynch, Pierce, Fenner & Smith Incorporated,
as Representative of the Underwriters

Re: $142,665,000 City and County of Denver, Colorado, acting by and through its Board of Water Commissioners, Water Revenue Bonds, Series 2017A (Green Bonds) and $41,765,000 City and County of Denver, Colorado, acting by and through its Board of Water Commissioners, Water Revenue Bonds, Series 2017B

Ladies and Gentlemen:

We have acted as bond counsel to the Board of Water Commissioners (the "Board") of the City and County of Denver, Colorado (the "City"), in connection with the issuance of its Water Revenue Bonds, Series 2017A (Green Bonds), in the aggregate principal amount of $142,665,000 (the "Series 2017A Bonds") and its Water Revenue Bonds, Series 2017B, in the aggregate principal amount of $41,765,000 (the "Series 2017B Bonds" and collectively, with the Series 2017A Bonds, the "Series 2017A-B Bonds"), each series of the Series 2017A-B Bonds dated the date hereof (the "Issue Date").

The Series 2017A-B Bonds mature on the dates, are subject to redemption, bear interest at the rates and are transferable and payable in the manner and subject to the conditions and limitations provided in the Master Bond Resolution as amended and restated in full by the Board on March 22, 2017 (the "Master Resolution"), as supplemented by the Series 2017A-B Supplemental Bond Resolution adopted by the Board authorizing the issuance of the Series 2017A-B Bonds (the "Series 2017A-B Supplemental Bond Resolution"), and each related Sale Certificate executed and delivered by the Chief Finance Officer of the Board (the Master Resolution, the Series 2017A-B Supplemental Bond Resolution and such related Sale Certificates, collectively, the "Series 2017A-B Bonds Authorizing Documents").

The Series 2017A-B Bonds Authorizing Documents provide that the Series 2017A-B Bonds are special and limited obligations of the Board, payable solely out of and secured by an irrevocable (but nonexclusive) pledge of the revenues of the System (as defined in the Series 2017A-B Bonds Authorizing Documents), after deduction of operation and maintenance costs (the "Net Revenue"). The Series 2017A B Bonds are not payable in whole or in part from the proceeds of general property taxes and are not general obligations of the City. The Series 2017A-B Bonds do not constitute a debt or an indebtedness or multiple fiscal year debt or other financial obligation of the City within the meaning of any constitutional or statutory provision or limitation.

We have examined the Home Rule Charter of the City, the Constitution and laws of the State of Colorado, the Internal Revenue Code of 1986, as amended (the "Code"), and the regulations, rulings and judicial decisions relevant to the opinions set forth in paragraphs 5 and 6 below, and such certified proceedings, certificates, documents, opinions and other papers as we deem necessary to render this opinion, including a certified copy of the record of proceedings of the Board taken preliminary to the issuance of the Series 2017A-B Bonds, including the Series 2017A-B Bonds Authorizing Documents and the tax compliance certificate executed and delivered in connection with the issuance of the Series 2017A-B Bonds (the "Tax Certificate"). As to questions of fact material to our opinion, we have relied upon the representations of the Board contained in the Series 2017A-B Bonds Authorizing Documents and other certifications of public officials furnished to us without undertaking to verify the same by independent investigation.

Based upon, subject to and limited by the foregoing, we are of the opinion, under existing law and as of the date hereof, that:

1. The Series 2017A-B Bonds have been duly authorized, executed and delivered under the Home Rule Charter of the City and the Constitution and laws of the State of Colorado now in force.

2. The Series 2017A-B Bonds and the Series 2017A-B Bonds Authorizing Documents are valid and binding special and limited obligations of the Board, enforceable according to their respective terms.

3. The Series 2017A-B Bonds are secured by a valid lien on and security interest in the Net Revenue to the extent provided in the Series 2017A-B Bonds Authorizing Documents.

4. The Series 2017A-B Bonds are secured on a parity with the Board's outstanding Master Resolution Water Revenue Bonds, Series 2007A, Master Resolution Water Revenue (Clean Renewable Energy Tax Credit) Bonds, Series 2008A, Master Resolution Water Revenue Bonds (Taxable-Direct Pay), Series 2009A, Master Resolution Water Revenue Bonds (Taxable Direct Pay Build America Bonds), Series 2010B, Master Resolution Water Revenue Bonds, Series 2012A, Master Resolution Water Revenue Refunding Bonds, Series 2012B, Master Resolution Water Revenue Refunding Bonds, Series 2012C (Taxable), Master Resolution Water Revenue Bonds, Series 2014A and Master Resolution Water Revenue Bonds, Series 2016A-B (collectively, the "Parity Bonds"), and any additional bonds subsequently issued on a parity with the Series 2017A-B Bonds and the Parity Bonds.

5. Under the laws and regulations of the United States of America as presently enacted and construed, interest on the Series 2017A-B Bonds is excludible from gross income for federal income tax purposes and is not a specific preference item for purposes of the federal individual or corporate alternative minimum tax. The opinions set forth in the preceding sentence assume the accuracy of certain representations and compliance by the Board with covenants designed to satisfy the requirements of the Code that must be met subsequent to the issuance of the Series 2017A-B Bonds. Failure to comply with such requirements could cause such interest to be includable in gross income for federal income tax purposes or could otherwise adversely affect such opinions, retroactive to the Issue Date. The Board has covenanted to comply with such requirements in the Series 2017A-B Bonds Authorizing Documents and in the Tax Certificate stating the reasonable expectations of the Board as of the Issue Date as to future events that are material for purposes of Sections 103 and 148 of the Code. We express no opinion regarding other federal tax consequences arising with respect to the Series 2017A-B Bonds. We note, however, that interest on the Series 2017A-B Bonds is taken into account in determining adjusted current earnings for purposes of the alternative minimum tax imposed on corporations (as defined for federal income tax purposes).

6. To the extent interest on the Series 2017A-B Bonds is excluded from gross income for federal income tax purposes, such interest is not subject to income taxation by the State of Colorado. We express no opinion regarding other tax consequences arising with respect to the Series 2017A-B Bonds under the laws of the State of Colorado or any other state or jurisdiction.

The rights of the owners of the Series 2017A-B Bonds and the enforceability of the Series 2017A-B Bonds and the Series 2017A-B Bonds Authorizing Documents may be subject to and limited by bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted, and may also be subject to and limited by the exercise of judicial discretion, procedural and other defenses based on particular factual circumstances and equitable principles in appropriate cases, to the reasonable exercise by the State of Colorado and its governmental bodies of the police power inherent in the sovereignty of the State of Colorado and to the exercise by the United States of America of powers delegated to it by the United States Constitution.

As bond counsel, we are passing only upon those matters set forth in this opinion. We express no opinion herein with respect to the creditworthiness or condition, financial or otherwise, of the Board, or with respect to the accuracy or completeness of any documents prepared or used or statements made in connection with the offering or sale of the Series 2017A-B Bonds, or with respect to any federal or Colorado tax consequences arising from the receipt or accrual of interest on or the ownership of the Series 2017A-B Bonds, except those specifically addressed herein.

This opinion is rendered as of the date hereof and we assume no obligation to update, revise or supplement this opinion to reflect any facts or circumstances that may hereafter come to our attention or any changes in law that may hereafter occur.

In performing our services as bond counsel, the Board is our sole client in this transaction and as bond counsel we have not been engaged by, nor have we undertaken to advise, any other party or to opine as to matters not specifically covered herein. The inclusion of addressees of this opinion letter other than the Board does not create or imply an attorney-client relationship between Becker Stowe Partners LLC, as bond counsel, and any such other addressee.

Very truly yours,

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